



ADVANCING

ANNUAL REPORT 2024





ADVANCING

As a pioneer in people-friendly insurance solutions, Amana Takaful PLC proudly upholds a legacy of service dedicated to the people of Sri Lanka.

With a diverse portfolio of products and services that redefine the insurance landscape, we look to the future with optimism, aiming to further enrich the lives of Sri Lankans through innovation and inclusivity. Driven by the efforts of a diverse workforce committed to exceeding expectations, honoring promises, and ensuring security for our customers, we have extended our reach across the island, making our presence felt even in the most rural areas. In everything we do, the customer remains our top priority.

As we close the chapter on a successful year of staying true to our values while advancing forward, we prepare to embrace the future with unwavering focus on our customers and their continued success.

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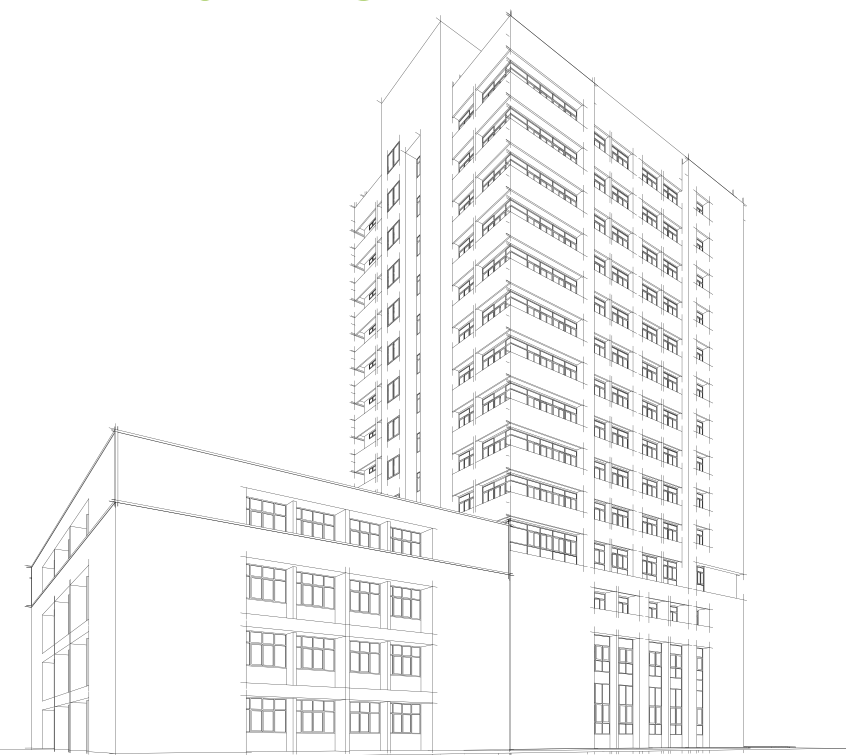
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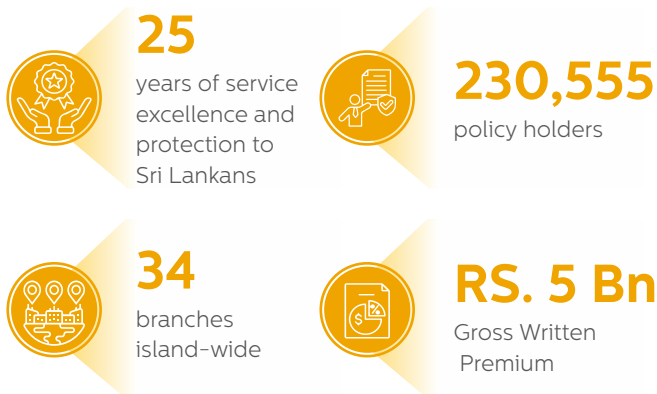
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ABOUT US



WE ARE AMANA TAKAFUL

A trusted provider of innovative insurance solutions to our customers



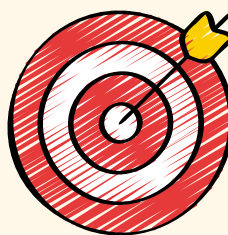
For 25 years, Amana Takaful PLC has been at the forefront of Sri Lanka's insurance landscape, pioneering ethical and inclusive insurance solutions rooted in the principles of Takaful. As we celebrate a quarter-century of trust, resilience, and innovation, we reflect on a journey defined by unwavering commitment to our policyholders, adaptability to an evolving market, and steadfast dedication to financial security for all. Since our inception, we have continuously redefined industry standards, fostering a sustainable and customer-centric approach to insurance.

Today, as we embark on our next era of growth, we remain committed to delivering progressive, Shariah-compliant insurance solutions that empower individuals, businesses, and communities alike.



VISION

Committed to providing peace of mind through World Class Insurance solutions



MISSION

We will stand apart from the rest by engaging all stakeholders, crafting unique insurance solutions, in a spirit of mutuality and solidarity



VALUES

CUSTOMER CENTERED: Interaction with Customers. We listen to our customers and go the Extra mile to serve them

OPEN MINDEDNESS: Changing the status quo, seeking new ideas. We foster a culture where ideas and opinions are shared freely

RISE FOR QUALITY: A culture of continuous improvement. We are driven to give all stakeholders a quality service

DIVERSITY: Our soul and spirit To every Sri Lankan as one

PERFORMANCE HIGHLIGHTS

	2024 Rs.Mn.	2023 Rs.Mn.	Growth
Group			
Total Gross Written Premium	12,030	10,208	18%
Profit/(Loss) After Tax	955	151	532%
Weighted Average Earning per Share	2.36	(0.06)	4818%
Diluted Earning per Share	1.95	(0.04)	4968%
Total Assets	19,268	15,685	23%
Net Assets value per Share (Rs.)	20.12	16.24	24%
Return on Equity	0.1414	0.0293	383%

General Takaful - Group			
Gross Written Premium	10,744	9,058	19%
Net Earned Premium	8,273	6,250	32%

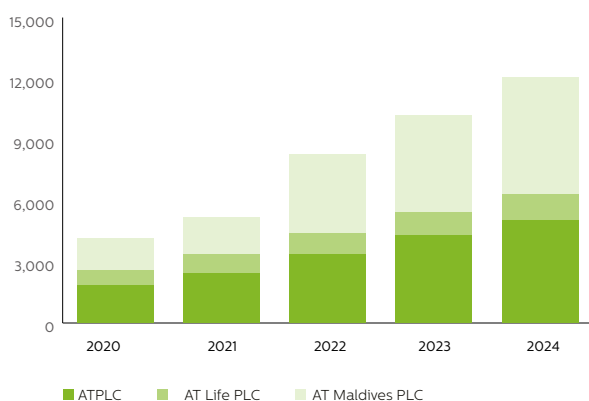
Life (Family) Takaful			
Gross Written Premium	1,297	1,151	13%
Life Fund - FTF	19	23	-19%
Life Fund - Unit Link	1,226	1,083	13%
Total Life(Family Takaful) Fund	1,245	1,106	13%

Company			
Profit/(Loss) After Tax	565	(14)	4167%
Weighted Average Earning per Share	2.77	(0.08)	3647%
Diluted Earning per Share	2.29	(0.06)	3916%
Net Assets value per Share (Rs.)	20	16	26%
Return on Equity	0.138	(0.004)	3338%
No of Employees	537	483	11%
No of Branches / Distribution Centres	34	31	10%

General Takaful - Company			
Gross Written Premium	5,036	4,298	17%
Net Earned Premium	3,307	2,618	26%

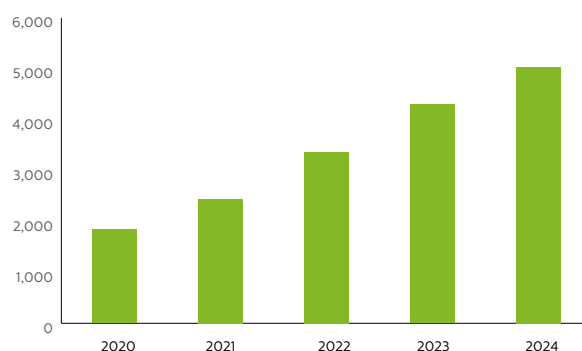
Group - Gross Written Premium

(Rs. Mn)



Company - Gross Written Premium

(Rs. Mn)



PRODUCT PORTFOLIO

- At Amana Takaful PLC, our product portfolio is designed to deliver comprehensive, Shariah-compliant insurance solutions that cater to the diverse needs of individuals and businesses. From motor and medical insurance to tailored corporate solutions, each offering is crafted to provide reliable protection, financial security, and peace of mind. With innovative features, seamless claims processes, and a commitment to ethical and inclusive coverage, we continue to redefine insurance by ensuring accessibility and sustainability for all.

MOTOR

➤ Private Car

Experience the ultimate convenience with Takaful Total Drive insurance, offering user-friendly options to streamline your claims process. Whether online, through our mobile app, or via customer service, we prioritise your preferences for a hassle-free experience, putting you first with straightforward solutions for a simplified claims journey.

➤ Private Car- Prestige

Explore Total Drive – Prestige, tailored motor insurance for luxury vehicles valued at Rs. 15 Million and above. Elevate your coverage and drive with confidence.

➤ Commercial Vehicle

Explore Amana Takaful's Commercial Vehicle insurance—crafted for a diverse range, including Dual Purpose

Vehicles, Lorries, Quadricycles, Tractors, and Trailers. Tailored for both private and hiring usages, our comprehensive coverage addresses unique challenges for businesses and individuals. Whether you operate a fleet or use vehicles personally, our flexible and inclusive insurance ensures precise protection, offering peace of mind on the road.

➤ Three Wheeler

Amana Takaful's TukTuk insurance is designed for Three Wheelers, providing comprehensive coverage for natural perils, riot & strike, third party property damage, and personal emergencies. The 'TukTuk Full' scheme goes further, offering extensive personal coverage, recognising and addressing the daily challenges

faced by 3 Wheel drivers, ensuring uninterrupted income flow during adversity.

➤ Motor cycle

With coverage for critical illnesses, funeral expenses, disability, death, and hospitalisation allowances, 'Smart Rider Cover' serves as a robust shield against various eventualities, ensuring a comprehensive safety net for policyholders



MY HOME

My Home

Welcome to "My Home," where absolute insurance coverage meets your home's needs. Safeguard against burglary, fire, and natural disasters with added benefits like personal accident covers for your family, protection against loss of rent and

cash, fire brigade charges, replacement of ATM/ credit cards, alternative accommodation, and more. Ensure comprehensive protection for your home with "My Home" insurance.



PRODUCT PORTFOLIO

MEDICAL

Hale & Hearty

Discover peace of mind with Amana Takaful's Hale and Hearty Medical Takaful. In a world where timely healthcare is a luxury, our comprehensive coverage acts as a crucial support system during unexpected health challenges. Tailored for every stage of life, from day one to beyond 73 years, Hale and Hearty is the essential solution for every citizen.

Suwasiri

While free healthcare is available in Sri Lanka, the limitations of government hospitals and the financial constraints of private nursing homes can be challenging. Suwasiri offers an optimal solution with a coverage of Rs. 100,000/- for just Rs. 2,299/- per year, ensuring accessible and affordable healthcare for everyone

Kruthaguna

Kruthaguna Insurance has been upgraded to offer even better protection for senior citizens aged 55 to 73. Now enhanced with Telemedicine and OPD benefits, it ensures easy access to medical care while covering pre-existing ailments after the first renewal. With hospitalisation coverage, unlimited doctor consultations, and a special wheelchair grant, Kruthaguna provides long-term health security and peace of mind for your loved ones.

Crystalline

Amana Takaful's Crystalline policy is a tailored fit for women's unique health concerns. From critical illnesses to aging challenges, this policy ensures you have the support you need, providing peace of mind as

you navigate the ups and downs of womanhood. Care for your loved ones, while we've got your back.

Young Minds

Experience peace of mind with Hale and Hearty Young Minds Medical Insurance—an ideal solution for parents who cherish their children's health. Tailor-made for children aged Day 1 to 18 years, this insurance offers a range of attractive benefits, ensuring your child's well-being during hospitalisation.



TRAVEL

Travel Pal

Discover worry-free adventures with Amana Takaful Travel Pal Insurance—the ultimate companion for your journeys abroad! From personal accidents to lost luggage, flight delays, and more, Travel Pal has you covered. Embark on your travels with peace of

mind, knowing we've got your back. Make every moment count with Travel Pal Travel Insurance!

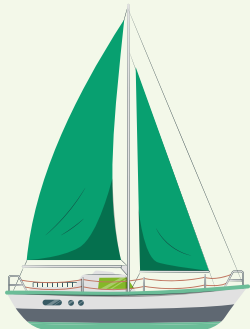


MARINE

Easy Marine

Explore Amana Takaful's comprehensive Marine Takaful—an insurance designed for the unique risks of marine activities and goods transportation by sea. This coverage safeguards against physical loss or damage to ships, cargo, terminals, and all modes of transport. With a commitment to fairness and

transparency, Amana Takaful ensures that the coverage aligns with Islamic financial principles, meeting the specific needs of marine activities.



BUSINESS

Commercial Fire

Amana Takaful Fire Insurance is an unwavering safeguard against a spectrum of risks, from fire to natural disasters. Our comprehensive coverage extends to water damage from fire fighting and explosion-triggered damage. This insurance acts as a financial safety net for your property and possessions, providing reassurance and peace of mind. Choose Amana Takaful Fire Insurance for reliable support in times of need, ensuring a resilient financial safety net for your recovery.

Personal Accident

Discover peace of mind with Amana Takaful Personal Accident Insurance—a crucial form of coverage providing financial security in the wake of unforeseen accidents. Crafted to extend support during challenging times, this insurance safeguards individuals and their beneficiaries, offering relief for accidental death, permanent disablement, and temporary disablement. Act with confidence, knowing that this insurance serves as a reliable safety net, alleviating financial burdens when needed most.

Electronic Equipment

Electronic All Risk Insurance is a robust policy offering extensive coverage for electronic equipment, shielding against a myriad of risks and perils. Tailored for businesses and individuals reliant on electronic assets, it provides comprehensive defence against financial losses due to accidental damage, breakdowns, and unforeseen events. Particularly beneficial for sectors like IT firms, manufacturing units, medical facilities, and research laboratories, this insurance ensures a protective barrier, allowing confident navigation through potential setbacks. It serves as a safeguarding tool

designed to preserve financial stability amid the unpredictable nature of electronic equipment usage.

Public Liability

Public Liability Insurance is an essential shield for individuals and businesses facing potential financial losses from thirdparty claims. Especially vital for those engaging with the public or hosting visitors, this insurance serves as a bulwark against legal liabilities arising from accidents or incidents involving third parties. Offering comprehensive coverage, it empowers businesses to manage risks effectively, ensuring a secure operational environment without succumbing to the burden of legal costs and compensation claims. It's a strategic risk-management tool for businesses and individuals interacting with the public.

Workmen compensation

Amana Takaful Workmen's Compensation Insurance is a crucial safety net providing financial protection to employees facing work-related injuries or illnesses. In the unfortunate event of workplace incidents, employees receive essential medical care and financial support for their recovery, simultaneously shielding employers from potential legal actions. This coverage demonstrates employers' commitment to workforce welfare and fulfils legal obligations, ensuring a fair and comprehensive support system in accordance with the Workmen's Compensation Ordinance and subsequent amendments or common law.

Business cover

Amana Takaful Business Cover is your comprehensive shield for business, employees, and financial well-being. Beyond ordinary coverage, it ensures Income continuity in case of property destruction, offering financial

support and addressing financial commitments. With a forward-thinking approach, it considers relocation expenses, providing a holistic solution for robust business protection in today's dynamic landscape.

Money

Money Insurance is a comprehensive protection for the loss or damage of money in transit or securely stored. This specialised coverage goes beyond the standard, including money in drawers, safes, or strong rooms. Safeguard your financial assets at every step, ensuring protection against unforeseen events like theft or damage, whether in transit or on your premises. Covering dynamic movements and secure confinement, this insurance ensures your money is shielded in various scenarios.

Burglary

Discover peace of mind with Amana Takaful's Burglary Insurance—an essential financial safety net providing compensation for losses due to burglary or hold-ups. This comprehensive coverage ensures protection and financial support, going beyond compensation to offer assurance that your valuable possessions are safeguarded. Whether it's contents within your premises or the impact of a hold-up, our insurance is designed to ease the financial burden and provide a sense of security, allowing you to navigate unexpected challenges with confidence. Choose Amana Takaful for reliable protection against the unexpected.



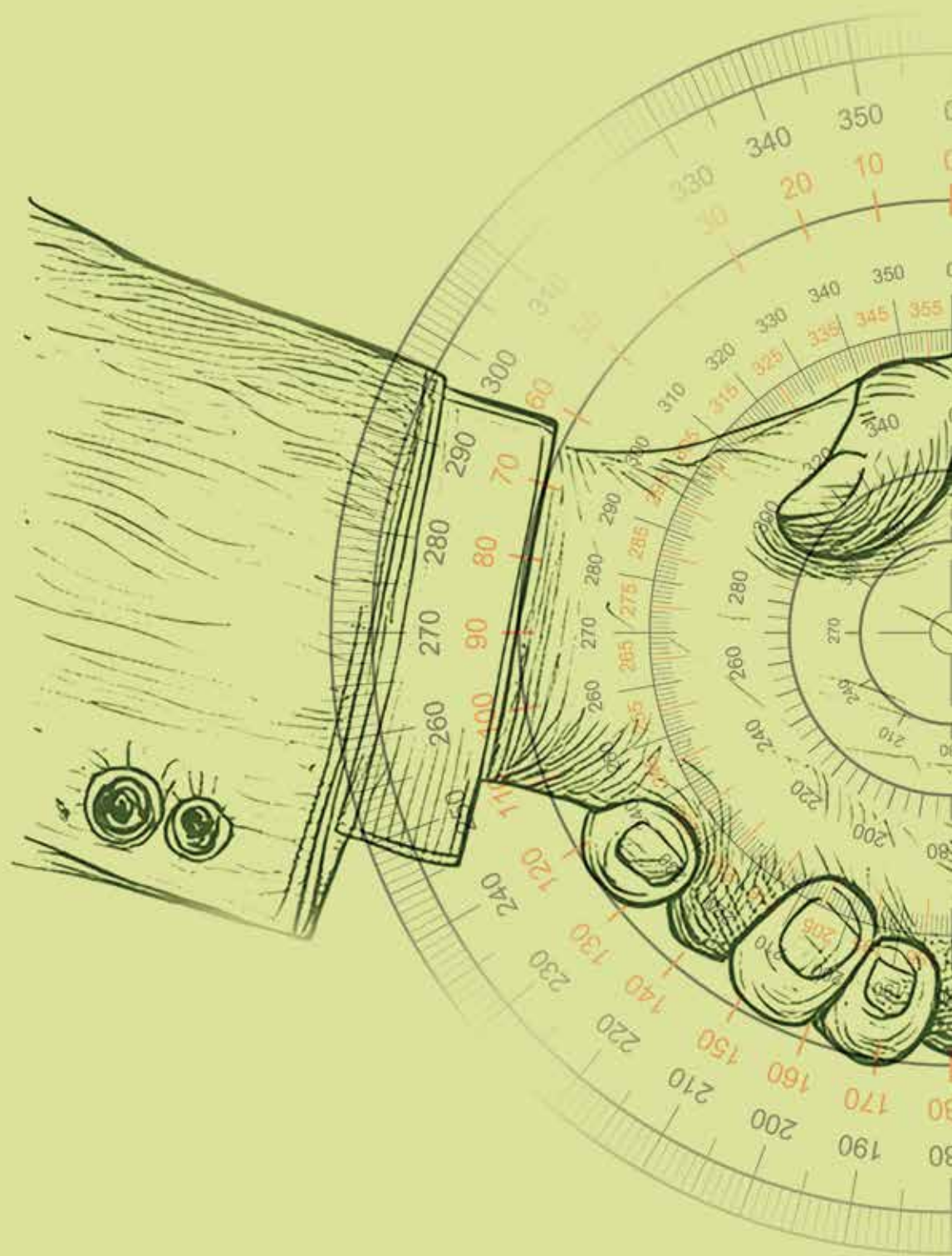
AWARDS

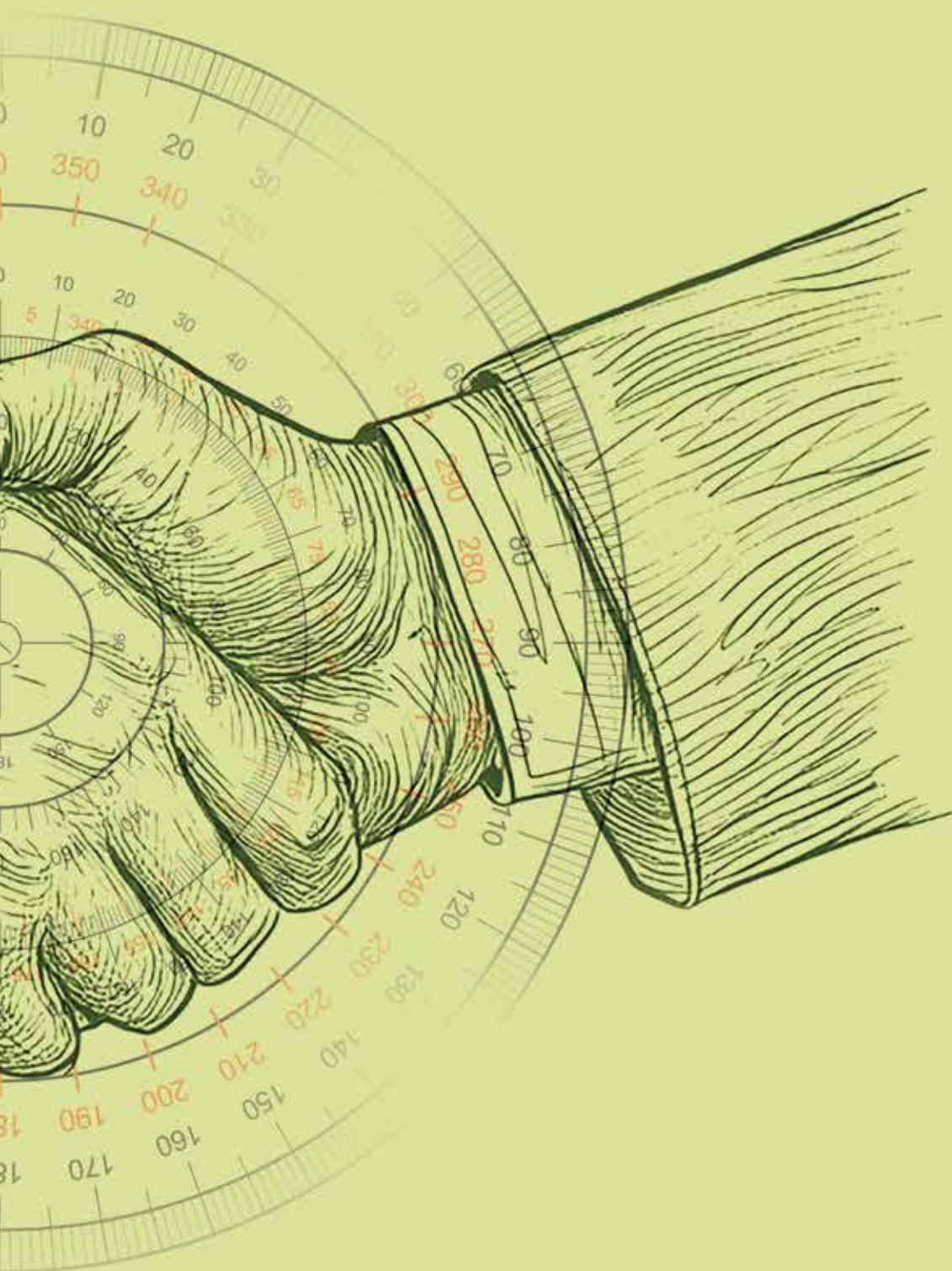
OUR WINS

At Amana Takaful PLC, excellence is more than a goal—it is a continuous commitment. Over the years, our dedication to innovation, ethical insurance practices, and customer-centric solutions has earned us numerous accolades. These awards serve as a testament to our industry leadership, financial strength, and unwavering trust among policyholders. As we celebrate our 25th anniversary, each recognition reinforces our mission to set new benchmarks in Sri Lanka's insurance sector while staying true to our core values of transparency, integrity, and inclusivity.

No	Awarding Body	Award Categories
1	Awards International Investor Magazine 2024	➤ Best Islamic Insurance Company - 2024
2	The Institute of Chartered Professional Managers of Sri Lanka	➤ Top Ten Companies in Best Management Practices Company Awards
3	Lanka Monthly Digest (LMD)	➤ 8th Most awarded company in Sri Lanka ➤ 1st Most awarded company in the Insurance Category
4	Gazet International Annual awards 2024	➤ Most Innovative Motor Insurance Provider Sri Lanka 2024 ➤ Most Innovative Business Insurance Solutions Sri Lanka 2024
5	World Economic Magazine Award 2024	➤ Best Takaful Insurance Provider Sri Lanka 2024 ➤ Best General Insurance App Sri Lanka 2024 ➤ Best Life Insurance Product Sri Lanka 2024 (GOLD FUND)
6	International Business Magazine Award 2024	➤ Best General Insurance App Sri Lanka 2024 ➤ General Insurance Company of the year Sri Lanka 2024
7	TAGS Awards	➤ CA Sri Lanka TAGS Compliant
8	The Global Economics Awards 2024	➤ Most Innovative New Motor Insurance App "Amana Takaful" – Sri Lanka 2024
9	Finance Derivative Magazine 2024	➤ Best Takaful Insurance Company Sri Lanka 2024
10	2024 Global Recognition Award	➤ Winner
11	BIZZ Awards 2022	➤ Business Excellence
12	Global Business Magazine Awards 2024	➤ Best Takaful Insurance Company Sri Lanka 2024 ➤ Most Innovative New Motor Insurance App "Amana Takaful" – Sri Lanka 2024 ➤ Best General Insurance App Sri Lanka 2024
13	Brands Review Magazine Awards 2024	➤ Best General Insurance App Sri Lanka 2024 ➤ Best Takaful Insurance Provider Sri Lanka 2024 ➤ General Insurance Company of the Year Sri Lanka 2024
14	Insurance Asia Awards 2024	➤ Mobile App of the Year – Sri Lanka
15	Brands and Business Magazine Awards 2024	➤ Best General Insurance App Sri Lanka 2024 ➤ Most Innovative New Motor Insurance App Amana Takaful Sri Lanka 2024 ➤ Most Innovative Motor Insurance Provider Sri Lanka 2024 ➤ Fastest Growing General Insurance Company Sri Lanka 2024

No	Awarding Body	Award Categories
16	Global Business and Finance Magazine Awards 2024	➤ Best Life Insurance Product Sri Lanka 2024 (GOLD FUND) ➤ Best Takaful Insurance Provider Sri Lanka 2024 ➤ Best General Insurance App Sri Lanka 2024"
17	Global Business Review Magazine Award 2024	➤ Most Innovative Insurance Company Sri Lanka 2024 ➤ Fastest Growing General Insurance Company Sri Lanka 2024
18	Global Banking & Finance Awards 2024	➤ Best General Insurance App Sri Lanka 2024
19	Global Brand Frontier Awards 2024	➤ Best General Insurance App Sri Lanka 2024 ➤ Best Life Insurance Product (GOLD FUND) Sri Lanka 2024
20	"Sri Lanka Islamic Banking & Finance Industry Awards (SLIBFI)"	➤ Takaful Entity of the Year ➤ Rising Islamic Finance Personality of the Year [Male] – Imran Halaldeen
21	World Finance Insurance Awards 2024	➤ Best General Insurance Company – Sri Lanka – 2024
22	Insurance Asset Management Awards 2024	➤ Insurance Company of the Year
23	Global Insurance Innovation Awards 2024	➤ Best Mobile App – Takaful
24	Asian Experience Awards 2024	➤ Sri Lanka Customer Experience of the Year – General Insurance
25	ESGBusiness Awards 2024	➤ Digital Inclusion Award – Sri Lanka
26	Global Excellence Chronicle Magazine Awards 2024	➤ Best Takaful Insurance Provider Sri Lanka 2024 ➤ Best General Insurance App Sri Lanka 2024 ➤ Best Life Insurance Product Sri Lanka 2024 (GOLD FUND) ➤ General Insurance Company of the Year Sri Lanka 2024
27	Global Business & Finance Magazine 2024	➤ Best General Insurance App Sri Lanka 2024 ➤ Best Takaful Insurance Provider Sri Lanka 2024 ➤ Fastest Growing General Insurance Company – Sri Lanka 2024 ➤ Best Life Insurance Product Sri Lanka 2024 (GOLD FUND)."
28	9th IFFSA Awards (Islamic Finance Forum of South Asia)	➤ Takaful Entity of the Year (Fully-Fledged) 2023/2024 – Gold Winner ➤ Islamic Finance Entity of the Year – Bronze Winner ➤ Digital Product /Fintech offering of the Year 2023/2024 – Silver Winner





LEADERSHIP

CHAIRMAN'S MESSAGE



ZULFICAR GHOUSE
Chairman

OVER THE PAST FIVE YEARS, WE HAVE EXTENDED OUR OFFERINGS BEYOND FAITH-BASED SEGMENTS UNDER THE VERSATILE AMANA BRAND, ENSURING WORLD CLASS PROTECTION FOR ALL.

Dear stakeholders

It is my pleasure to welcome you to Amana Takaful PLC's 26th Annual General Meeting and present the company's annual report and audited financial statements for the financial year ended 31 December 2024.

25 YEARS OF RESILIENCE AND COMMITMENT

The year 2024 marked a significant milestone as we celebrated 25 years of providing Shariah-compliant general insurance to Sri Lankans. Reflecting on our journey, we are delighted to take immense delight in the trust and confidence instilled in us by individuals and corporates alike. Despite challenges such as the civil war, the Easter Sunday attacks in 2019, the COVID-19 pandemic in 2020, and the economic crisis in 2022, we remained resilient, consistently delivering on our promise of protection and peace of mind.

As we celebrate this milestone, I extend my heartfelt appreciation to our policyholders, Board members past and present, former and current employees, the Insurance Regulatory Commission of Sri Lanka, our reinsurers, and all stakeholders who have been part of this journey.

THE YEAR IN REVIEW

Sri Lanka's economic recovery gained traction in 2024, with three consecutive quarters of positive GDP growth. Inflation declined significantly, leading to deflation from September, aided by lower energy and food prices and a stronger Sri Lankan Rupee. Interest rates eased as the Central Bank of Sri Lanka lowered the Average Weighted Prime Lending Rate from 12.39% at the end of 2023 to 9.11% by December 2024. The external sector strengthened, with the Rupee appreciating by 10.7% against the US dollar, and gross official reserves rising to USD 6.1 Bn. A major milestone was the successful restructuring of Sri Lanka's International Sovereign Bonds, leading to credit rating upgrades by Fitch and Moody's.

On the political front, 2024 was marked by both presidential and parliamentary elections, resulting in a historic power shift. The newly elected leadership provided policy stability, reinforcing investor and consumer confidence.

The insurance sector navigated a changing landscape, with general insurance experiencing a slowdown while health insurance demand surged. Consumers sought convenience and personalisation, driving digital adoption in insurance solutions. Vehicle insurance remained subdued due to continued import restrictions. Economic recovery measures introduced in the 2024 Budget restored confidence, indirectly supporting the sector as individuals and businesses renewed focus on risk protection.

Amana Takaful – Realigned and Results-Driven

In this evolving landscape, Amana Takaful swiftly realigned itself, delivering strong results. Gross written premium grew by 18% YoY to Rs. 12 Bn, driving profitability up by 532% to Rs. 955 Mn. Earnings per share reached Rs. 2.36 (2023: Rs. -0.06). More details on our financial performance are provided in the Managing Director's Review on pages 20 to 23.

Strength of Good Governance

As a strong advocate of corporate governance best practices, Amana Takaful proactively adopted new regulatory requirements ahead of deadlines. We revised and strengthened our governance policies to align with the latest standards set by the Colombo Stock Exchange (CSE). Mandatory policies were formally established and made accessible to shareholders. The Board played a pivotal role in shaping the company's strategic direction, providing guidance in response to evolving regulatory and economic conditions. Key governance matters were actively discussed, reinforcing corporate resilience and ensuring long-term value creation.

A collaborative relationship between the Board and Management ensured that strategic priorities translated into actionable initiatives aligned with our long-term vision. Further details on our governance framework and key policy updates are available in our Corporate Governance Report on page 41.

Delivering Value to Stakeholders

Our commitment to delivering value is reflected in our sustainable growth and expansion of insurance accessibility. Over the past five years, we have extended our offerings beyond faith-based segments under the versatile Amana brand, ensuring world-class protection for all. Our diversified portfolio includes motor, medical, housing, travel, business, and marine insurance. In 2024, we disbursed Rs. 5,919 Mn in Takaful claims and benefits, a 11% increase over the prior year, reinforcing our commitment to policyholders.

At Amana Takaful, we cultivate a work environment where employees thrive. Our workforce empowerment initiatives are detailed in the Managing Director's Review (page 20). We have also made a lasting impact on communities through targeted CSR initiatives, financial contributions, and employee volunteerism, outlined in the Chief Executive Officer's Review (page 16).

CHAIRMAN'S MESSAGE

Vision for Tomorrow – The Way Forward

As we celebrate 25 years of service excellence, we remain ambitious about the future. Our strategy will guide us through the next phase of growth, with innovation and digitisation at the forefront. Investments in IT infrastructure will enhance digital transformation, ensuring seamless customer experiences from policy onboarding to claims management. By prioritising accessibility and convenience, we aim to encourage greater insurance penetration in Sri Lanka.

Simultaneously, we plan to expand our presence nationwide and upgrade physical infrastructure to enhance customer engagement. Internal process digitisation will drive efficiency, improving both service delivery and employee experience. As Sri Lanka embarks on its next phase of economic growth, Amana Takaful stands ready to support individuals and businesses with innovative, future-ready insurance solutions.

Appreciation

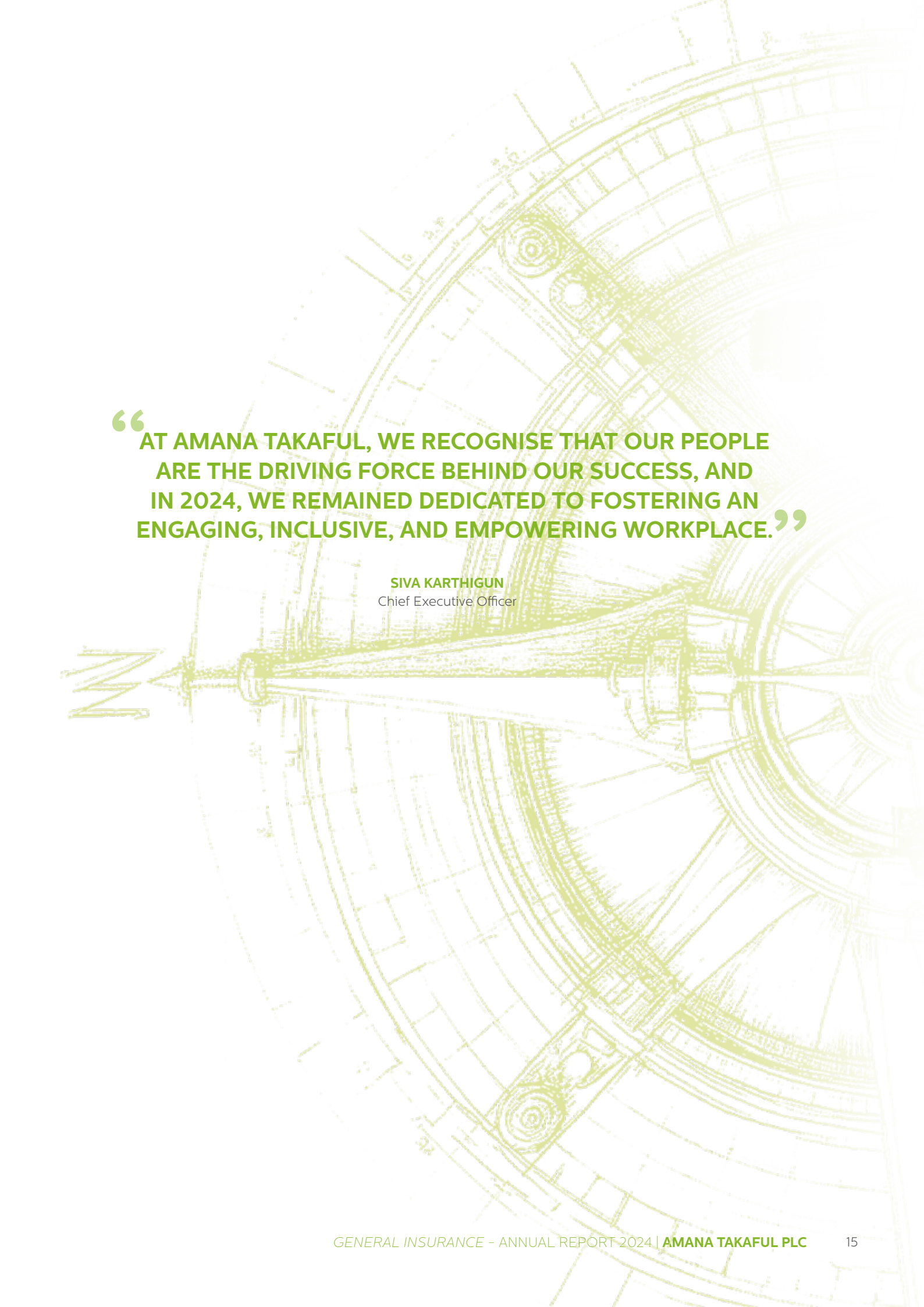
The past year tested our resilience and ability to manage risks while ensuring operational stability. Our success was made possible by the unwavering dedication of our team. I extend my sincere gratitude to the Board of Directors for their leadership, the Management team and employees for their commitment, our shareholders and business partners for their continued trust, and our policyholders for their loyalty. We also appreciate the Insurance Regulatory Commission of Sri Lanka for their guidance.

The strength of Amana Takaful today is a testament to the dedication and passion of all those who have contributed to our journey over the past 25 years. As we move forward, let us continue building on this legacy, striving for long-term value and sustainable growth.



Zulficar Ghouse
Chairman

16 May 2025
Colombo



“AT AMANA TAKAFUL, WE RECOGNISE THAT OUR PEOPLE ARE THE DRIVING FORCE BEHIND OUR SUCCESS, AND IN 2024, WE REMAINED DEDICATED TO FOSTERING AN ENGAGING, INCLUSIVE, AND EMPOWERING WORKPLACE.”

SIVA KARTHIGUN
Chief Executive Officer

CHIEF EXECUTIVE OFFICER'S REVIEW



SIVA KARTHIGUN
Chief Executive Officer

DURING THE YEAR WE RECORDED ONE OF THE HIGHEST GROSS WRITTEN CONTRIBUTION (PREMIUM) OF RS. 5,036 BN, WHICH WAS A GROWTH OF 17% OVER THE PRIOR YEAR.

Dear stakeholders,

Demonstrating its characteristic resilience, Amana Takaful delivered yet another year of solid results, generating sustained value for all stakeholders.

As elaborated in detail under the Chairman's Reflections and the Managing Director's Review on pages 12 and 20, we forged ahead, capitalising on emerging opportunities in Sri Lanka.

PERFORMANCE DEFINING EXCELLENCE

Strategic foresight and unwavering focus enabled Amana Takaful to achieve solid financial results in 2024. We are pleased to have met our top-line targets and surpassed profitability expectations, despite the persistent challenges of Sri Lanka's recovering economy. Our ability to navigate these complexities reflects our resilience, adaptability, and commitment to sustainable growth. During the year we recorded one of the highest Gross Written Contribution (Premium) of Rs. 5,036 BN, which was a growth of 17% over the prior year. Similarly our profitability at 564 Mn – impressive within the operating environment, particularly in one where restriction on vehicle imports continued, affecting our vehicle insurance portfolio.

Beyond financial performance, we remained dedicated to delivering meaningful value to our stakeholders through well-curated and impactful engagements. As we marked 25 years of exceptional service to the nation, we commemorated this milestone with a Silver Jubilee Felicitation event "Executive Edge" for our esteemed corporate clients and broker community. This event served as a platform to express our gratitude and provided valuable insights into prevailing economic trends and emerging opportunities, reinforcing our role as a trusted partner in their success.

Strategic partnerships remained a cornerstone of our success, which enabled us to expand our reach

and strengthen our market position. Our long-standing collaborations with leasing companies have significantly contributed to the growth of our vehicle insurance portfolio, ensuring seamless protection for customers acquiring vehicles through financing. Simultaneously, our strong bancassurance alliances with Amana Bank PLC and Pan Asia Banking Corporation PLC have created a powerful platform to offer tailored insurance solutions to a broad customer base. These synergies drive revenue growth and reinforce our commitment to providing accessible, comprehensive, and convenient insurance solutions across diverse segments.

TAKING THE MESSAGE AND PROTECTION TO ALL OF SRI LANKA

The majority of our business is concentrated in the Western Province, Sri Lanka's most economically active region. This strategic positioning has enabled us to serve a large segment of the market effectively. However, our presence extends beyond, with 34 branches strategically located across the island.

We remain committed to expanding our reach to better serve our customers.

AMANA TAKAFUL WAS RECOGNISED WITH OVER 25 AWARDS FROM INDEPENDENT THIRD-PARTY BODIES, AFFIRMING THE EXCELLENCE OF OUR PERFORMANCE.

CHIEF EXECUTIVE OFFICER'S REVIEW

During the year, we established 2 new branches in the Uva and Western provinces, reinforcing our footprint in high-growth areas. Our expansion strategy is driven by a focus on economically active townships across all provinces where we currently lack a presence. Notably, the Uva Province, as well as the key city centers of Anuradhapura and Kurunegala, have emerged as high-potential business hubs outside the Western Province.

As we move forward, we continue to identify strategically significant locations to strengthen our network, ensuring accessibility and convenience for our growing customer base.

HARNESSING THE STRENGTH OF DIGITISATION

Aman Takaful has been steadily advancing its digital transformation journey, embedding technology into both internal processes and customer-facing platforms. This strategic focus aligns with our vision of driving smart, sustainable, and future-ready growth. By integrating automation and digital solutions, we have significantly enhanced operational efficiency, improved customer experiences, and optimised resource utilisation.

A key aspect of this transformation has been the adoption of Robotic Process Automation (RPA) and workflow automation solutions, streamlining backend operations and eliminating inefficiencies. These enhancements have resulted in faster turnaround times, enabling quicker service delivery to customers while also reducing the administrative burden on employees. As a result, our teams are now able to focus more on high-value tasks such as customer engagement and product innovation.

On the customer front, digital accessibility has been a core priority.

Our health insurance product is now available via a mobile app, offering seamless access to policy information, claims processing, and other essential services at the customer's fingertips. Recognising the success of this initiative, we are actively working towards expanding app-based solutions across other insurance segments, ensuring convenience, transparency, and enhanced digital engagement for our policyholders. Through these efforts, we aim to build a more agile, efficient, and digitally empowered organisation that delivers superior value to all stakeholders.

THE PEOPLE FACTOR

At Amana Takaful, we recognise that our people are the driving force behind our success, and in 2024, we remained dedicated to fostering an engaging, inclusive, and empowering workplace. As was elaborated in the Managing Director's Review, through equitable compensation, continuous learning, and well-being initiatives, we nurtured a culture where employees feel valued and motivated. A range of engagement activities, from staff outings, wellness programs, and cultural celebrations to leadership interactions such as "Coffee with the CEO" - strengthened team spirit and collaboration. Our proactive approach to employee satisfaction was further reinforced by pulse checks, recognition programmes, and initiatives like Fit N Fab, promoting work-life integration. By embracing innovation in HR practices and fostering camaraderie, we ensured higher productivity, job satisfaction, and overall organisational growth. More details on our people-centric initiatives are available in the Human Capital section of this report.

AWARDS AND ACCOLADES

During the year under review, Amana Takaful was recognised with over 25 awards from independent third-party bodies, affirming the excellence of our performance. The

awards acknowledged a wide range of achievements, including our core insurance business, management practices, product innovation, technological/ digital advancements (such as app usage), and customer experience, among others.

Notable highlights include being named Best Islamic Insurance Company 2024 by Awards International Investor Magazine and Fastest Growing General Insurance Company in Sri Lanka 2024 by the Global Economics Awards.

The Amana Takaful team draws inspiration from these achievements and remains committed to delivering even greater value and service to our customers.

APPRECIATION

As we reflect on the year gone by, I extend my deepest gratitude to our Board of Directors for their vision and leadership, which have been instrumental in steering Amana Takaful towards sustained growth and success. My sincere appreciation also goes to our Managing Director and the senior management team for their strategic foresight and unwavering commitment in navigating challenges and seizing opportunities.

A heartfelt thank you to the entire Amana Takaful team for their passion, dedication, and relentless pursuit of excellence. Your hard work and resilience have been the driving force behind our achievements. To our valued policyholders, we are profoundly grateful for your trust and confidence in our ability to protect what matters most to you.

We also acknowledge with gratitude the guidance and direction provided by the Sri Lanka Insurance Regulatory Commission, as well as the invaluable support of our reinsurance partners. To all our stakeholders, including our

business partners, shareholders, and the wider community, thank you for your continued collaboration and belief in our vision.

Looking ahead, Amana Takaful remains steadfast in its commitment to safeguarding the people of Sri Lanka through innovative, dynamic, and customer-centric solutions. As the nation transitions into an era of renewed economic growth and opportunity, we stand ready to empower individuals and businesses alike, ensuring they are well-equipped to thrive in a more prosperous future.



Siva Karthigun
Chief Executive Officer

16 May 2025
Colombo

MANAGING DIRECTOR'S REVIEW



HASSAN KASSIM
Managing Director

AT GROUP LEVEL, WE DELIVERED A PRE-TAX PROFIT OF RS. 1,150MN, AN IMPRESSIVE 422% INCREASE OVER THE PRIOR YEAR.

Dear stakeholders,

As Sri Lanka continued its path to economic recovery and stability, Amana Takaful remained steadfast in executing its strategy, ensuring alignment with our long-term goals. Our commitment to medium-term success and a focused approach to business and operational objectives have strengthened the foundation we began laying in the previous financial year. With this strategic clarity, we entered 2024 with precision, resilience, and a clear vision for the future.

DELIVERING STRONG FINANCIAL RESULTS

As discussed in detail in the Reflections from the Chairman on page 12, Sri Lankan economy and the insurance sector showed signs of positive recovery, affording a conducive environment for business growth and sound performance. During the financial year, Amana Takaful delivered notable financial results for the year. At Group level, we delivered a pre-tax profit of Rs. 1,152 Mn, an impressive 422% increase over the prior year (year-on-year/ YoY). Profitability was driven by enhancement in the gross written contribution, prudent cost management and a notable reduction in our finance costs, in a low interest rate environment. Gross written contribution (Premium) grew to Rs. 12,030 Mn, a YoY growth of 18%. Income from investments also made a considerable contribution to overall profitability, a YoY reduction of 7%, understandably in a low interest rate environment.

As was mentioned in the reflections from the Chairman, we rewarded our policyholders with Takaful (Insurance) claims and benefits of Rs. 5,919Mn. Other operating and administration charges of Rs. 2,586 Mn also drove costs. However, the YoY increase in this cost was curtailed at 13%, despite relatively high prices – an achievement attributable to conscious cost management initiatives across the organisation. The resultant profit from operations was Rs.1,243 Mn, a 422% increase YoY. Post tax profit at

the Group level was Rs. 955 Mn. The dynamism and strength of our balance sheet continued through 2024. The total asset base grew to Rs. 19.2 Bn, a 23% growth over 2023. Total equity grew to Rs. 6.8 Bn, an increase of 31%.

The result translated to tangible rewards generated to our shareholders as reflected in a Return on Equity of 383%, earnings per share of Rs. 2.36 and a net asset value per share of 20.12.

STRATEGIC RISK MANAGEMENT AND RESILIENCE

Throughout the year, managing risk remained a key focus for us, particularly in an environment marked by certain volatility and external uncertainties. We continuously assessed and adapted our risk management framework, ensuring it remained robust and responsive to emerging challenges. Our proactive approach allowed us to identify potential risks early, implement mitigation strategies, and maintain a stable operational environment. In particular, our diversified portfolio of insurance products and strong

OUR WELL-BALANCE MIX OF EXPERIENCED PROFESSIONALS AND YOUNG TALENT BRINGS TOGETHER DEEP INDUSTRY EXPERTISE AND FRESH PERSPECTIVES, ENSURING A CULTURE OF CONTINUOUS LEARNING AND INNOVATIONS

MANAGING DIRECTOR'S REVIEW

reinsurance partnerships provided a solid foundation, enabling us to protect our business and our policyholders. Moving forward, we will continue to refine our risk management strategies to ensure resilience and safeguard long-term growth

EMPOWERING OUR PEOPLE FOR GROWTH

At Amana Takaful, we foster a strong and dynamic workforce of 537 team members. Our commitment to diversity and inclusion is reflected in the steady increase in female representation, now at 22%, up from 20% in 2023. Additionally, our well-balanced mix of experienced professionals and young talent brings together deep industry expertise and fresh perspectives, ensuring a culture of continuous learning and innovation.

Employee growth and well-being remain at the core of our people strategy. Our structured leadership development initiatives, including the Executive Edge MBA programme at the Postgraduate Institute of Management (PIM), reinforce our commitment to cultivating future leaders and strengthening our talent pipeline.

We also prioritised employee engagement, launching various initiatives to foster teamwork and a strong sense of camaraderie. Despite external challenges, we upheld our commitment to our people by ensuring full remuneration and benefits, reinforcing our people-first approach and providing financial security to our workforce.

Looking ahead, we remain steadfast in our commitment to aligning human resource development with our strategic growth objectives, ensuring that our people continue to thrive and contribute to the shared prosperity of our organisation as we move towards a future of sustained success.

ACKNOWLEDGEMENT

The performance of Amana Takaful in the past year would not have been possible without the invaluable contributions from many stakeholders. I extend my heartfelt gratitude to the Board of Directors for their insightful guidance and strategic leadership, which have been instrumental in steering the company through both challenging and prosperous times.

I am deeply appreciative of our senior management team and employees for their unwavering commitment and resilience in managing difficult situations and consistently delivering exceptional results. Their dedication remains the cornerstone of our success.

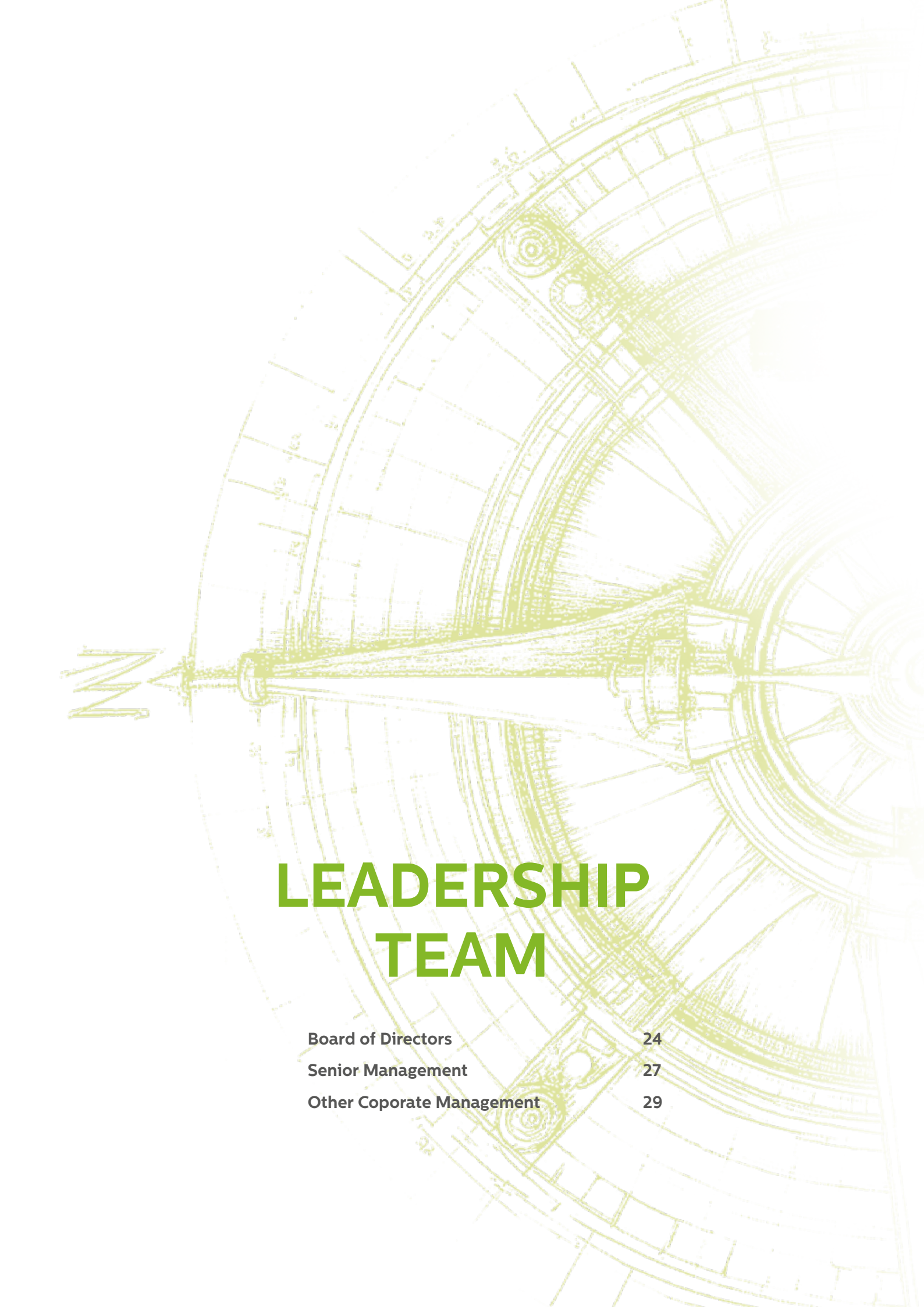
Furthermore, I express my thanks to the reinsurance partners and the for their steadfast support and collaboration, which have played a crucial role in our continued growth and stability. To our shareholders, customers and employees, your trust in our ability to navigate external pressures and create value has been a driving force behind our achievements. We are also grateful to the Shariah Advisory Council for their unwavering support and guidance throughout the year.

As we look toward the future, I am confident that, through continued collaboration and a shared commitment to excellence, we will continue to achieve greater heights of success for many more years to come. Let us move forward together, united in our pursuit of lasting success and mutual prosperity.



Hassan Kassim
Managing Director

16 May 2025
Colombo



LEADERSHIP TEAM

Board of Directors	24
Senior Management	27
Other Corporate Management	29

BOARD OF DIRECTORS PROFILE



Mr. M Zulficar Ghouse

Chairman –
Independent Non-Executive Director

Zulficar Ghouse, a Fellow Member of the Chartered Accountant – Sri Lanka and trained at KPMG and also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka. Since 2009, functioning as the Managing Director of Expack Corrugated Carton Plc, a leading Corrugated Carton Manufacturer. He also a Director Aberdeen Holdings Pvt Ltd & Denshun Industries Pvt Previously was employed as Director/CEO of Asiabike Industrial Limited, a BOI approved company is the pioneer in the manufacture of bicycles in Sri Lanka.

Zulficar has extensive experience in private sector organisations local and overseas. His previous appointments were as Director / CEO of Colombo Land and Development Co Limited and prior to that he was Managing Director of iOM Lanka (Pvt) Limited and as Country Manager of iOM Philippines In which was subsidiary of Royal Clicks Limited, a company listed on the Singapore Stock Exchange. He was also employed as Group Financial Controller of the Expolanka Group. Was Independent Director at Vidullanka from 2007 to January 2019. Vidul Lanka PLC, Muvumbe Hydro (Uganda) Limited, Norfolk Foods Pvt Ltd, Vidul Engineering Pvt Ltd, Gurugoda Hydro Pvt Limited and Lower Kotmale Oya Hydro Pvt Ltd.



Mr. M. Hassan Kassim

Non Independent – Executive Director

Hassan Kassim was appointed to the Board on 7 March 2016. He is the Director/ Deputy Chairman at Aberdeen Holdings (Private) Limited and the Founder of Expo Commodities Global.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Hassan Kassim also serves as a member of the Board of Directors of Bio Extracts (Pvt) Ltd, Lanka Commodity Holdings (Pvt) Ltd., Expoceylon Pharmaceuticals (Pvt) Ltd, Expo Commodities Global (Pvt) Ltd, Kolonnawa Property Holdings (Pvt) Ltd, Ruhunu Farms (Pvt) Ltd and Roar Digital (Pvt) Ltd.

Hassan Kassim, was awarded the Young Leader Award at the 26th Asia Insurance Industry Awards (AIIA) 2022. The achievement is an unprecedented feat for Amana Insurance and the Sri Lankan insurance industry as a whole, as Hassan is the only Sri Lankan to have won this Young Leader Award of Asia thus far. Furthermore, this was a rare occurrence, where a Sri Lankan company won an award in this forum after nearly 10 years, and the fact that this was achieved amidst an island wide economic crunch provides great reputational value to both Amana Insurance and Sri Lanka as a whole.



Ms. Deepthie Wickramasuriya

Independent Non-Executive
Director

Deepthie currently serves as an Independent Non-Executive Director and the Chairperson of the Audit Committee of Vidullanka PLC and Amana Takaful PLC & She is also non executive director of Mercantile Investments and Finance PLC , Director of Pelwatte Dairy Industries Limited, Director of Pelwatte Foods (Pvt) Ltd and an independent consultant mainly in the fields of business process management, treasury management and business counseling, at board / senior management levels. Counts over 35 years of corporate experience that ranges across many industries and countries including the United Kingdom, Singapore, India, Indonesia & the Fiji Islands. She is renowned for successfully leading special projects (locally & internationally) relating to organisational strategy, operations, finance, risk & governance. She has been a board member/ advisor to the boards of many companies. She also held the post of Vice President of the Sri Lanka Army Medical Corps Seva Vanitha Unit from 2012 -2015. Deepthie is a Fellow Member of the Chartered Institute of Management Accountants (CIMA), UK, and holds an MBA from the University of Sri Jayewardenepura, Sri Lanka.



Syed Rizwan Hussain

Independent Non-Executive Director

Syed Rizwan Hussain is the Managing Director and CEO of Salaam Takaful Limited. A seasoned professional par excellence, possessing an immaculate experience of more than 30 years in a wide range of various leadership roles in local and foreign insurance enterprises, Mr. Rizwan's name is well known in the corporate world. From the initial responsibilities and successes in product innovation and business network accumulation, he reached towering heights of accomplishments through his exquisite style of work and was soon given the reigns of multiple departments quite early in his career.

He assumed the role of MD and CEO of Salaam Takaful Limited in the year 2018 and since day one, Mr. Rizwan, has kept his focus to grow, adapt and innovate within the industry, to define the future of insurance / takaful, deliver second-to-none experiences for customers, and help to build resilient communities with utmost transparency with zero compromise on corporate governance. His vision has always been to develop an organisation which is the role model for the entire industry.

Under his leadership, the company has seen astronomical growth from a Rs. 149 million company in 2017 to a Rs. 4 billion plus company in 2023, making it the largest general takaful operator in Pakistan.

Mr. Rizwan is quite famous for his advocacy of digital transformation, providing consumers with more than just mundane loss-protection based products. On his directives, the organisation has taken big strides of transformation into a technologically advanced enterprise through heavy investments in IT and process automation, and opening of all digital doors, Salaam Takaful Limited is now known as the '1st Islamic Insurtech' of Pakistan. Leveraging on his in-depth industry experience and hands-on knowledge, he has always been keen on seeking new ways to further facilitate the public with state-of-the-art products, structural reforms, and sustenance of operational excellence throughout global takaful industry. It is his acumen which has enabled his team to indulge in product innovation with various unprecedented solutions developed and in development.

Mr. Rizwan graduated with a Master of Business Administration and has many management and insurance industry related certificates, and is also a certified director. He also serves as Non-Executive Director on the Board of Amana Takaful Insurance, Sri Lanka.



Padmesh Sajjeewa Weerasekera

Independent Non-Executive Director

Padmesh Weerasekera is a business strategist with over 28 years of experience specialising in the areas of corporate strategy, sales, marketing and sustainability. He has worked in a number of industries covering insurance, advertising, telecommunications, FMCG, automotive, banking, logistics, travel, hospitality, real estate operating locally and internationally. He is a Fellow of the Chartered Institute of Marketing, UK, Certified Management Accountant-CMA Australia and holds a MBA from the University of Wales, UK. He was the Chief executive officer at George Steuart Consumer and served in senior leadership capacities in the past at Expolanka Holdings PLC, Janashakthi Insurance and Bates Asia. He is a recipient of the Brand Leadership Award at the World Brand Congress in 2011, CMO Asia Award in 2012 and Asia's Best Marketer Award in 2016, CMO Asia, Singapore.

BOARD OF DIRECTORS PROFILE



Thilan Manjith Wijesinghe

Independent Non-Executive Director

Thilan Wijesinghe, a product of Ananda College, has three Bachelors' degrees in Industrial Engineering, Economics and Business from Cornell University and State University of New York, USA.

Thilan started his career at PWC as Senior Consultant and Sampath Bank as Head of Planning. In the early 1990s he co-founded Asia Capital PLC, which became Sri Lanka's largest investment bank at the time. In September 1995, Thilan was invited to become the youngest ever Chairman of the BOI and almost immediately sold his shareholding in Asia Capital. As its longest serving Chairman, Thilan pioneered PPP transactions in Sri Lanka when he set up the Bureau of Infrastructure Investments under the BOI in 1996. The incentive and policy environment created under Thilan's leadership resulted in several pioneering PPP investments, including Sri Lanka's first ever PPP port terminal (SAGT), first ever mini-hydro and thermal power plant, middle income housing (Millennium City, Athurugiriya and Nivasie Pura, Ekala) and quadrupling of private hospital beds in Sri Lanka (Asiri Surgical, Lanka Hospitals, Ninewells, Kings etc).

Thilan has also headed Sri Lanka's two largest public listed real estate companies, Asian Hotels Properties PLC (owning company of the Cinnamon Grand and Lakeside) and directed the sale of this company to John Keells in 2003. He was also Group Managing Director of Overseas Realty Ceylon PLC, owning company of the WTC and Havelock City. Thilan quit the corporate world in 2010 to pursue entrepreneurial interests and co-founded several businesses such as the Ceylon Tea Trails resort (majority owned by Dilmah Tea), Wow.lk (sold to Dialog Axiata), and Sapphirus Lanka (highest value-added exporter of sapphire). He is currently Chairman/CEO of TWC, an investment bank Thilan founded in 2012. He is also Director of several other public and private companies.



Abdullah Osman Kassim

Independent Non-Executive Director

Abdullah Kassim is a young business leader with over 15 years of experience in Senior Management, specialising in Business Process Re- Engineering, Mergers & Acquisitions, High- Level Strategy, and General Management. His experience spans several industries, including Environment Management, Sustainability, Financial Services & Insurance, among others. Abdullah is the Managing Director of Neptune Papers (Pvt) Ltd, Sri Lanka's premier resource recovery, environment management, and recycling Company with interests in the paper, fabric, and Plastic Recycling Spaces.

His interests and passion in Environment Management led him to transform the company from a small recycler to the largest company in the country over a 10-year period.

Abdullah is also a Director of Aberdeen Holdings (Pvt) Ltd, a diversified conglomerate with operations spread across the world. He also serves as a Director at Expack Corrugated Cartons PLC, Amana Takaful (Maldives) PLC and at Platinum Advisors, a boutique investment bank headquartered in Singapore. Previously he played the role of Head of Business Development of Expolanka Holdings PLC and was part of the core team that floated the company in the Colombo Stock Exchange.

Abdullah holds a First Class (Hons.) BBA from Staffordshire University, UK, and an M.Sc. in International Business & Management from Manchester Business School, University of Manchester, UK.

SENIOR MANAGEMENT TEAM



Siva Karthigun
Chief Executive Officer



Rinaz Niyas
Head of Finance



Farhan Jabir
Head of Human Resources &
Secretary to the Board



Rizvan Ahamed – Senior Assistant
General Manager – Non-Motor &
Medical Claims/ Re-Takaful



Nalin Sakalasooriya – Senior Assistant
General Manager – Product Pricing &
Digital Transformation



Noushad Cassim
General Manager – Sales
(Metropolitan)



Suresh Basnayake
Chief Sales Officer (Enterprise)



Zakir Kanaka
Assistant General Manager –
Branch Sales Distribution



Rajitha Obeysekera
Chief Strategy Officer

SENIOR MANAGEMENT TEAM



Malith Nanayakkara
Head of General Underwriting



Danushka Liyanage
Head of Information Technology



Shaheer Rasooldeen
Assistant General Manager –
Operations (Business Processes) &
Relationship Management

OTHER CORPORATE MANAGEMENT



Janaka Wijayakumara
Senior Regional Manager -
Southern



M.F.M. Hismy
Senior Regional Manager -
North & East



Suluki Kuthdoos
Senior Regional Manager
(Western I)



Luqman Nizamdeen
Senior Regional Manager (Western II)



Kapila Rajapaksha
Zonal Sales Manager - (Uva)



Upul Liyanage
Regional Manager - Central



Thasleen Ammon
Assistant General Manager -
Corporate Sales



P.C. Wishwaka
Head of Leasing & Banca



M. Ramakrishnan
Manager - Retail Products

OTHER CORPORATE MANAGEMENT



Tilak Nishantha
Senior Manager – Human
Resources & Branch Operations



Rushdi Zarook
Senior Manager – Legal / Risk
& Compliance



Harindrani Bowatte
Senior Manager – Motor
Claims



Jawfer-Us Sadik
Senior Manager – Re-Takaful



Chamara De Silva
Senior Manager – Underwriting



Anura Shantha
Senior Manager – Internal Audit



Nawaz Badurdeen
Senior Manager – Shariah
Department



Fazil Caffoor
Senior Manager – Medical Claims



Duminda Abeywickrama
Chief Engineer



Tharindu Victor
Manager – Underwriting



Lishan Gunathunga
Deputy Head of Finance



Shammi Nissanka
Manager Marketing Activation

ADAPTING & ADVANCING – PERFORMANCE REVIEW

OPERATING LANDSCAPE

Resilient Sri Lanka – A reviving economy

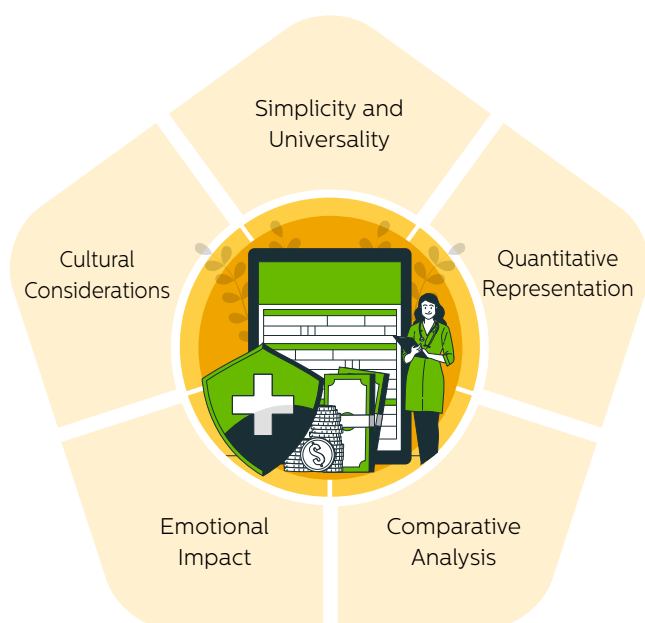
In 2024, Sri Lanka made notable progress in achieving macroeconomic stability. Strengthened by key regulatory and policy initiatives, the financial sector's governance framework saw significant enhancements, fostering a more robust and resilient system. Consequently, the economy, including the insurance sector experienced a relatively improved operating landscape, however still laden with ongoing challenges.

Behaviour of key economic indicators in Sri Lanka

Indicator	Performance
Gross Domestic Production (GDP) growth	Three consecutive quarters of positive GDP growth from 1Q2024 to 3Q2024 at 5.3%, 4.7% and 5.5% respectively.
Inflation	Notable decline in year on year inflation through 2024 as measured by the Colombo Consumer Price Index (CCPI), with deflation reported from September 2024 onwards, predominantly driven by downward revisions to the energy prices, a strengthening Sri Lankan Rupee and the decline in food prices.
Interest rates	Continued decline in interest rates in an easing monetary policy environment taken by the Central Bank of Sri Lanka (CBSL) reducing policy rates on three occasions during the year. Average Weighted Prime Lending Rate (AWPR) movement from 12.13% in end 2023 to 9.11% in end 2024.
Exchange rate, foreign exchange earnings and gross official reserves	The external sector continued its positive momentum in 2024 contributing to stronger Rupee during the year. The Sri Lanka Rupee continued to appreciate during the year appreciating by 10.7% against the US dollar during 2024. Improved foreign exchange earnings were a key driver. Worker remittances reached USD 6.6 Bn, up by 10.1% year-on-year (YoY). Tourism industry made an impressive recovery in 2024, generating over USD 3.2 Bn in revenue, registering a substantial 52.38% YoY increase. Gross Official Reserves increased to USD 6.1 Bn at end 2024 compared to USD 4.4 Bn at end 2023 supported by forex purchases of Central Bank in 2024 at historically highest levels.
Successful completion of the International Sovereign Bonds (ISB) restructuring by the Government of Sri Lanka (GoSL)	The GoSL successfully concluded the international debt restructuring process in December 2024, finalising agreements with its major official bilateral creditors, including China, through a Memorandum of Understanding (MoU) with the Official Creditor Committee (OCC).
Sovereign rating upgrade	Consequent to the finalisation of the ISB restructuring, Fitch upgraded Sri Lanka's long-term foreign-currency rating to 'CCC+' from 'RD'(Restricted Default). and local-currency IDR to 'CCC+' from 'CCC-'. This was followed by Moody's rating agency also upgrading Sri Lanka's credit rating on 23 December 2024 to Caa1 from Ca.
Progress made on the international Monetary Fund (IMF) Extended Fund Facility (EFF)	By November 2024, the IMF approved the third review of Sri Lanka's bailout programme, disbursing approximately US\$333 million. This brought total disbursements to about US\$1.3 billion. The IMF noted emerging signs of economic recovery but emphasised the need for ongoing reforms, particularly in tax revenue enhancement and restructuring state-owned enterprises, to achieve fiscal targets.

ADAPTING & ADVANCING – PERFORMANCE REVIEW

KEY TRENDS THAT SHAPED THE INSURANCE SECTOR THROUGH 2024



Personalisation and convenience in insurance

Consumers are increasingly seeking personalised and flexible insurance solutions. This shift has prompted insurers to develop innovative products that cater to specific customer needs, moving away from traditional one-size-fits-all policies. Furthermore, consumers increasingly prioritise convenience in both purchasing insurance policies and processing claims. They seek seamless, hassle-free experiences, with digital platforms, quick approvals, and simplified documentation playing a crucial role in meeting these expectations.

Rising demand for health insurance amid industry slowdown

Despite a general slowdown in the growth of the general insurance subsector, health insurance emerged as an exception, experiencing increased demand. This surge is attributed to heightened health awareness and a growing emphasis on financial protection against medical expenses.

Economic recovery measures driving insurance sector growth

The 2024 budget introduced measures aimed at economic recovery, which indirectly benefited the insurance sector.

Policies promoting economic stability and growth created a more favourable environment for insurance uptake, as individuals and businesses felt more confident in investing in insurance products.

Growing middle class fuels demand for insurance

The expanding middle class in Sri Lanka is playing a pivotal role in driving demand for insurance products. With rising disposable incomes and greater financial literacy, individuals are prioritising risk mitigation strategies, such as health, motor, and property insurance. Additionally, increased urbanisation and asset ownership are further fuelling the need for comprehensive coverage.

Expanding market opportunities amid economic growth

Sri Lanka's continually improving economy, coupled with historically low insurance penetration rates, presents a strong opportunity for insurers. As the economy strengthens, businesses and individuals alike recognise the importance of financial protection, leading to higher adoption of insurance solutions. Moreover, favourable demographic trends, including a young, tech-savvy population, along with enhanced awareness campaigns by insurers, are expected to support long-term market expansion.

FINANCIAL REVIEW

COMPANY PERFORMANCE

The GWP at the Group level of Amana Takaful Insurance posted a healthy growth of 18% to Rs. 12.0 Bn, which was an absolute growth of Rs. 1.8 Bn. The same at the Company level was a 17% growth to Rs. 5.0 Bn. Amana Takaful's prudent business strategy and focused efforts in driving sustainable business enabled this performance. The post-tax profit of the Group was Rs. 955 Mn, a YoY increase of 530%. The post-tax profit of the Company was Rs. 565 Mn, a notable growth over the net loss of Rs. 13.9 Mn reported in 2023.

In 2024, Amana General Insurance pursued sustainable growth by placing focused attention on service excellence, strengthening the sales force, and accelerating digitalisation. Building on last year's enhancements to our medical app, we effectively leveraged it during the year under review to deliver faster, more efficient services to our policyholders.

In response to evolving market dynamics and economic pressures, we deepened stakeholder engagement and offered customised insurance solutions tailored to the unique needs of both individuals and businesses.

We also continued to invest in our people, fostering a safe, supportive environment for career growth and aligning employee development with the Company's long-term strategic direction.

These efforts enabled us to navigate the year with agility, maintaining market responsiveness while staying firmly on course with our vision for sustainable progress.

HUMAN RESOURCES

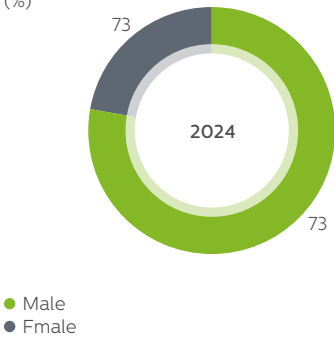
INTRODUCTION

A key focus of Human Resources (HR) management in Amana Takaful PLC is ensuring that the company has the right people with the right skills in the right place at the right time. In 2024, the company remained committed to enhancing its workforce through strategic talent acquisition, employee engagement, professional development, and diversity and inclusion initiatives. The discussion that follows outlines the key HR activities and priorities undertaken during the year.

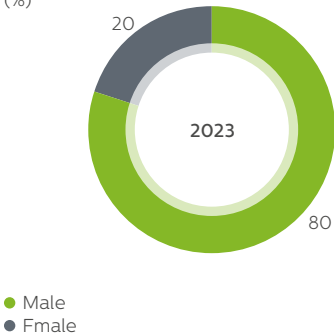
WORKFORCE PROFILE

537 Total staff strength

GENDER ANALYSIS OF THE TEAM 2024 (%)



GENDER ANALYSIS OF THE TEAM 2023 (%)



DISPERSION OF THE TEAM BY CATEGORY

	2023		2024	
	No.	Percentage	No.	Percentage
Senior Management	14	3%	14	3%
Middle Management	111	23%	116	22%
Executives	300	62%	339	63%
Non Executives	58	12%	68	13%
Grand Total	483	100%	537	100%

GEOGRAPHIC DISPERSION OF THE TEAM

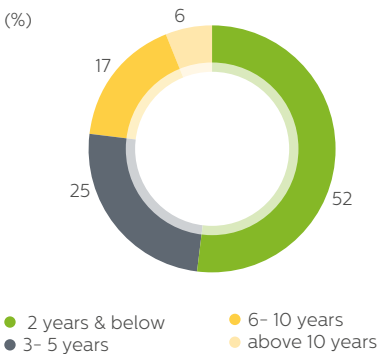
Province	2023		2024	
	No.	Percentage	No.	Percentage
Central	35	7%	35	7%
Eastern	31	6%	31	6%
North Central	8	2%	9	2%
North Western	18	4%	29	5%
Northern	12	2%	11	2%
Sabaragamuwa	13	3%	16	3%
Southern	16	3%	16	3%
Uva	13	3%	17	3%
Western	337	70%	373	69%
Total	483	100%	537	100%

CATEGORY-WISE SERVICE ANALYSIS OF THE TEAM

					2024 Total
2 and below	5	23	205	46	279
3 - 5	3	32	91	8	134
6 - 10	2	41	35	11	89
Above 10	4	20	8	3	35
Grand Total	14	116	339	68	537

SERVICE ANALYSIS OF THE TEAM – OVERALL

SERVICE ANALYSIS OF STAFF - 2024 (%)



Age category in years	2024		
	No.	Percentage	
18 - 25	35	7%	Gen Z /
26 - 35	31	6%	Millennials
36 - 45	9	2%	Gen Y
46 - 50	29	5%	Gen X
Above 50	11	2%	Boomers
Total	16	3%	

TALENT ACQUISITION AND INTEGRATION TO THE AMANA CULTURE

Throughout the year, the company deployed specific resources in recruiting persons of the right skills set to the team, as explained below.

- Focus on specialised skills: The insurance industry requires a mix of technical and regulatory expertise. Hence Amana Takaful focused on hiring professionals with knowledge in underwriting, compliance, risk, claims and other non-technical areas. These included recruits with insurance degrees from Sabaragamuwa and Wayamba university in fortifying skills in the company.
- Employee Referral Programme: HR successfully launched an Employee Referral Programme, whereby existing staff members would recommend potential candidates to HR to fill vacancies. Those selected candidates completing 6 months in the company, their referral (said employee) would be rewarded. This ensured quality hires, reduced recruitment costs, increased employee engagement, improved employee retention, faster hiring process and quick acclimatisation of the new recruits to the company and its culture.
- Diversified recruitment methods: Use of social media platforms, head hunters and sourcing from professional bodies
- Culture aligned assessments in talent acquisition: HR also introduced the company Values to interview questions – ensuring proper “Culture Fit”
- Revamped orientation programmes: The company orientation programme was relooked at and rehashed to a comprehensive 1.5 days programme covering key areas of learning. New CPD (Continuous Professional Development) programmes were introduced during the year addressing the changing business environment. Additionally, Outbound Trainings (OBT) were organised among cross-functional teams aligning towards a common objective through experiential learning.



EMPLOYEE DEVELOPMENT, TRAINING, AND UPSKILLING

The company recognises that continuous employee development is crucial for maintaining a competitive edge in the insurance industry. In 2024, we introduced and expanded various training programmes aimed at enhancing productivity, improving technical expertise, and equipping employees with the necessary skills to adapt to evolving business demands.

Training Programmes and Learning Initiatives

To foster professional growth and competency, the company launched multiple structured training programmes, as listed below.

Continuous learning

In keeping pace with evolving regulations, technological advancements, and changing customer expectations, HR emphasises ongoing professional development programmes. These initiatives included Sales Force Development and back-office staff development.

- Non-Motor Product Trainings
- IRCSL Licentiate Programs
- AML/CFT Programs
- Essential Telephone etiquettes
- Public Speaking
- Out Bound Training
- ChatGPT Training programme

Management Development Programme Upskilling and Reskilling Initiatives

As part of its commitment to continuous learning, the company implemented structured initiatives to upskill

employees in response to evolving business needs:

- A structured training path was introduced, targeting fundamental competencies required for success in the General Insurance sector.
- Need-based training programmes were introduced based on industry demands, covering areas such as Customer Service, Telephone Etiquette, MS Office, and AML Compliance.
- Employees' training and skill development preferences were identified through a structured Training Needs Assessment (TNA), leading to the implementation of 12 different TNA-based training programmes in 2024.
- A Successor Development Programme was launched in collaboration with an outsourced professional learning body, ensuring that a leadership pipeline is built through structured learning.

Employee Participation and Impact Measurement

The company believes in measuring the effectiveness of its training programmes to ensure tangible improvements in employee performance. The success of training initiatives was assessed through a multi-level evaluation framework:

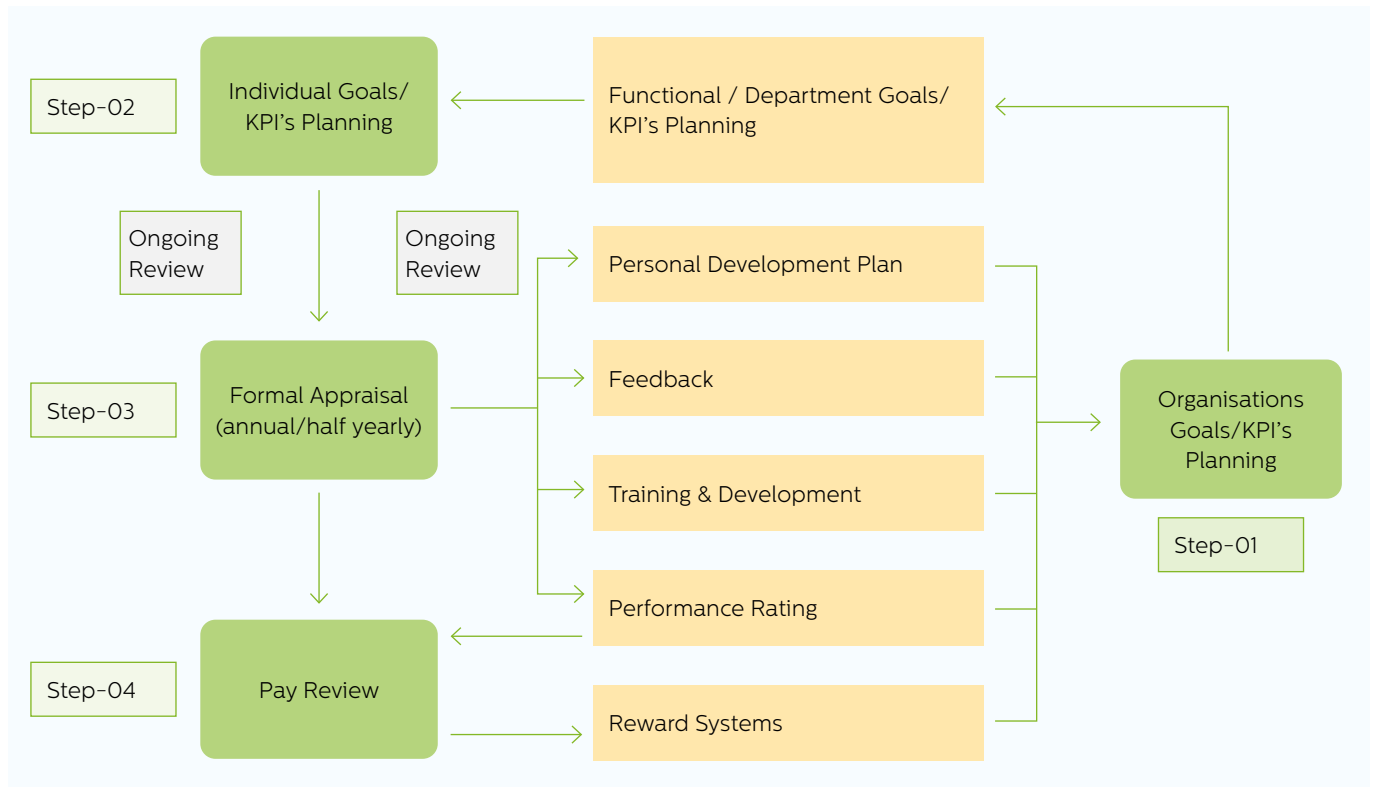
- Immediate Level – Employees provided anonymous feedback through a digitalised post-training evaluation questionnaire, assessing content, trainer effectiveness, and logistical arrangements on a four-point Likert scale.
- Knowledge and Skill Level – Employee competency was measured through examinations and behavioural indicators to track improvements in knowledge and skills.
- Results Level – The long-term impact was monitored through key performance indicators (KPIs), including productivity metrics, cancellation rates, customer satisfaction scores, and complaint ratios.

HUMAN RESOURCES



PERFORMANCE MANAGEMENT

At Amana Takaful, performance management is a structured and continuous process designed to align individual goals with organisational objectives. Through clear goal setting, regular feedback, and performance evaluations, we ensure that employees are supported in their professional growth while driving business success. Our structured approach fosters accountability, development, and a high-performance culture across the company.



During the year, we revisited departmental/ Heads of Department's (HOD) Key Performance Indicators (KPIs) and realigned the same across functions ensuring proper alignment with the goals and objectives of the company. Performing teams particularly that of sales were recognised for their achievements promptly with a small felicitation by HR at their review meetings in the presence of the MD, CEO and Line Manager, as a form of appreciation and encouragement.

REMUNERATION

At Amana Takaful, we believe that fair and performance-driven remuneration is fundamental to fostering a motivated and engaged workforce. Our

remuneration framework is designed to recognise and reward employees based on merit, ensuring that their dedication, contributions, and achievements are fairly compensated.

Despite the economic challenges and certain operational uncertainties faced during the prior years, we remained steadfast in our commitment to employee well-being. We continued to provide full remuneration and benefits, reinforcing our people-first approach and ensuring financial stability for our employees.

Our remuneration structure follows a systematic and transparent process, ensuring that employees clearly understand how their performance links

to rewards. This structured approach drives accountability and excellence and contributes to job satisfaction, financial security, and overall workplace happiness.

SUCCESSION PLANNING – BUILDING THE TALENT PIPELINE

In building the leadership pipeline from within the company, Amana Takaful embarked on a Leadership Excellence Programme spanning 7 months with the Post Graduate Institute of Management – the Executive Edge. This was a programme wherein selected managers were exposed to tailor-made modules in developing requisite skills. We have currently enlisted a second batch consisting of our branch managers and other operations Managers.

Continuous learning The Executive Edge The curated MBA programme for our C-suite leaders

13 of our managers participated in the Executive Edge MBA programme conducted by the Postgraduate Institute of Management (PIM) during the year. This initiative underscores our commitment to developing future leaders and strengthening our talent pipeline to drive sustained organisational growth.

EMPLOYEE ENGAGEMENT

At Amana Takaful, we believe that engaged employees are the driving force behind our success. In 2024, we remained committed to fostering a positive and inclusive workplace culture where employees feel valued, motivated, and empowered. Through a range of initiatives focused on well-being, professional growth, and workplace camaraderie, we strengthened our employee experience, ensuring higher productivity, collaboration, and job satisfaction. Our approach to engagement goes beyond traditional HR practices, embracing innovation and continuous feedback to create a dynamic and supportive work environment. Please see a full list of such activities.

- Rehashing the Amana Takaful Welfare Association (ATWA) – carrying out staff sporting, cultural and welfare activities.
- Staff birthday celebrations
- Staff outings
- Step challenge
- Recognising the children of staff who did exceptionally well in G.C.C. Ordinary Level, Advanced Level and Grade 5 Scholarship exams

- Employee Pulse checks were conducted across the company (a cross section) in an attempt to gauge staff satisfaction levels and address any grievances in a proactive manner.
- Coffee with the CEO was introduced for the first time whereby staff completing six months in the company would interface with the CEO and HR over a coffee to openly discuss their experience in the company and also share areas for improvement.
- The Hobby Club was launched (Shutter Bug) to engage staff on a photography theme competition in which over 150 staff participated and the winner/s rewarded.
- Departmental breakfast meets along with spot games were organised to break the monotony of work.
- As a company first, we initiated Fit N Fab, a weekly aerobics session for staff members under the supervision of a certified trainer in promoting health and fitness.
- In encouraging work life integration, HR held a Children's Day at the office premises inviting the children of staff members, wherein they took part in activities and received gifts. This gave the kids an opportunity to tour the office premises and experience the area their parents' work.
- Cultural events/ festivities in bringing a sense of togetherness and inclusion
- Celebration of Women's Day and recognising all female employees.
- A special training session done for the female employees by a sought-after personal development Coach.

Fostering Transparency and Open Communication

Amana Takaful practices an open culture and promotes open communication. All staff have access to the senior management. This is facilitated by the Open office concept and elimination of work cubicles. The CEO and senior members of the Management are accessible at any time to staff without prior appointments.

The ICU or the Internal Communications Unit & HR Notices serves as a robust interface to communicate important events and staff achievements to all staff.

Pulse Check fosters informal chats with staff in checking how they are doing, covering work-life balance, happiness on the job, peers, superiors and work culture.

GREAT MANAGER AWARDS

Amana Takaful was a proud recipient of the award – Organisation with Great Managers at the 2024 Great Manager Awards, conducted by the Colombo Leadership Academy.

- We are proud of the team members of Amana Takaful Life who emerged as Great Managers after a structured and rigorous assessment by the Colombo Leadership Academy, covering multiple perspectives of robust leadership.

HUMAN RESOURCES

WAY FORWARD

As we look towards the future, Amana Takaful PLC is committed to driving the company’s continued growth, innovation, and success by investing in our most valuable asset and i.e our people. We understand that the strength of our company lies not just in the services we provide, but in the dedication, expertise, and passion of our team.

In the ensuing years, we intend to focus on enhancing our employees’ experience, fostering an inclusive and

supportive culture, whilst building a workforce that is well-equipped to meet the challenges of a rapidly changing insurance landscape. By embracing and promoting continuous learning, and providing opportunities for career growth, we aim to empower our people to achieve their full potential and contribute meaningfully to the success of the company.

We will continue to prioritise ethical practices, aligning our people strategies with our corporate values,

namely; CORD “Customer centered, Open mindedness, Rise for Quality and Diversity. Our goal is to create a workplace where employees feel valued, engaged, and motivated, knowing that they are part of a company that cares for all its stakeholders.

SUSTAINING TOMORROW: OUR COMMITMENT TO A BETTER FUTURE – CORPORATE SUSTAINABILITY REPORT

At Amana Takaful, our commitment to corporate social responsibility (CSR) is deeply rooted in our core values and our desire to give back to the community that has supported us throughout our journey. We recognise that true success is not measured solely by financial performance but also by the positive impact we create in society.

Our CSR initiatives reflect a well-rounded approach to community empowerment, combining direct financial investments with the invaluable contributions of our employees through volunteerism. Through strategic programmes, we have channelled resources to uplift underserved communities, enhance education and healthcare access, and support environmental sustainability efforts.

Beyond monetary contributions, our employees have demonstrated an unwavering commitment to making a meaningful difference, dedicating their time and skills to various initiatives. Their passion and collective spirit embody our belief that businesses can be a force for good, driving lasting and transformative change.

PROJECTS CONDUCTED THROUGH 2024

BLOOD DONATION CAMP

A blood donation camp was organised at the Amana Takaful Head Office, located at No. 660 – 1/1, Galle Road, Colombo 03, as part of our ongoing commitment to community welfare and social responsibility. Recognising the critical need for a steady and sufficient blood supply in local hospitals, this initiative aimed to support life-saving medical treatments and emergency care. A total of 50 donors participated in the event—all of whom were Amana Takaful staff.

Employee Volunteering: 50 employee hours, in organising the event



FEEDING HOPE: PROVIDING LUNCHES FOR UNDERPRIVILEGED CHILDREN

As part of our commitment to supporting the community, we provided lunches to underprivileged primary school students at St. Mary's College, Moratuwa. This initiative aimed to address both hunger and the essential nutritional needs of these children, ensuring they have the energy and sustenance required to thrive in their educational journey.

Beneficiaries: 115 primary students

Employee Volunteering: 75 employee hours, in organising and conducting the event

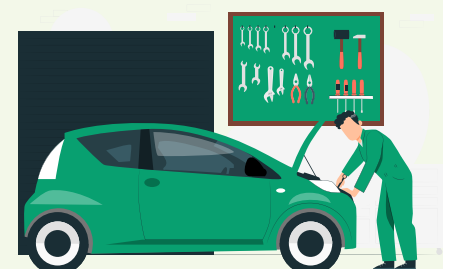


DONATION OF MOTOR SALVAGES, ENGINES, AND GEARBOXES

In line with our commitment to enhancing education and empowering future generations, we donated motor salvages, engines, and gearboxes to the Dambulla Technical College. Approximately 50 children benefit from this initiative annually. This initiative was designed to provide technical students with hands-on learning experiences, enabling them to gain practical knowledge and skills that are crucial for their future careers in the automotive and mechanical industries. By equipping these students with real-world materials, we aim to enhance their learning opportunities and better prepare them for success in the workforce, contributing to the development of skilled professionals for Sri Lanka's growing technical sectors.

Beneficiaries: Approximately 50 students of the Technical College benefit from this initiative annually

Employee Volunteering: 20 employee hours, in organising and coordinating the initiative



SUSTAINING TOMORROW: OUR COMMITMENT TO A BETTER FUTURE – CORPORATE SUSTAINABILITY REPORT

DONATION OF PLASTIC CHAIRS FOR A SCHOOL IT ROOM

As part of our ongoing efforts to support education and improve learning environments, we donated plastic chairs to the IT room of Manalkandu Muslim Maha College in Puttalam. This donation was aimed at enhancing the study environment for students, providing them with comfortable and functional seating while they engage with their studies. By improving the accessibility and comfort of the IT room, we are helping foster a more conducive space for students to learn and develop essential digital skills, contributing to their overall educational growth.

Beneficiaries: More than 100 students who use this IT room annually

Employee Volunteering: 20 employee hours, in organising and coordinating the initiative



DONATION OF ESSENTIAL SCHOOL SUPPLIES

We donated various school supplies and musical instruments to Dehiwala Methodist College. This contribution included essential items such as books, musical instruments for the school's Western Band, and a name board and school plan board to improve the school's infrastructure. By providing these resources, we aim to support low-income students in accessing quality education while encouraging extracurricular activities. The donation also helps enhance the students' learning environment and enriches their overall educational experience, empowering them for future success.

Beneficiaries: More than 100 students

Employee Volunteering: 20 employee hours, in organising and coordinating the initiative



CORPORATE GOVERNANCE

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amana Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or company is directed, managed and controlled. It is a concept which is now increasingly entrenched in the business world. In any company, where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amana Takaful PLC is committed to adopting best practices. It is also committed to maintain, the smooth functioning of the Company's operations.

CAPITAL STRUCTURE AND SHAREHOLDING

Amana Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,966,338,648/-. The Company has

4,563 shareholders, while the majority shares are held by individuals. Details of the main shareholders are given on page 159

BOARD OF DIRECTORS AND BOARD COMMITTEES

There are seven Directors on the Board of Amana Takaful PLC, of whom six Directors hold office in Non-Executive capacity and one Director in Executive Capacity as at the reporting period. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The Company ensures that the Directors & CEO at all the times fulfil the Fit and Proper assessment criteria set out in the Listing Rules. The names of the Board of Directors are given on pages 26 to 28.

Also, the Directors declare that;

- all applicable laws and regulations have been complied with by the Company, in conducting its business activities and they are aware of laws and regulations and changes particularly to Listing Rules and applicable capital market provisions
- the Directors have disclosed all material interests in contracts involving the Company and have refrained from voting on matters in which they were materially interested, - a review of internal controls, covering financial, operational and compliance controls, and risk management, has been conducted, and a reasonable assurance of their effectiveness and successful adherence has been obtained.

- they have made arrangements to take actions pertaining to disclosure of relevant areas of any material non-compliance with law or regulation and any fines, which are material, imposed by any government or regulatory authority in any jurisdiction where the entity has operations.

CORPORATE GOVERNANCE FRAMEWORK

Amana Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report.

BOARD COMPOSITION

The Board currently comprises 7 Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 26 to 28.

The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and

CORPORATE GOVERNANCE

monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 47 to 53. Following presentation by the Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

The main functions of the Board of Directors are as follows:

Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.

Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.

Secure a sound and an adequate risk management system.

Review the integrity and effective information, control and audit systems.

Adopt business practices that conform to "Shari'ah" principles.

Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.

Ensure compliance with legal/ethical standards.

BOARD ROLES AND RESPONSIBILITIES

Chairman

The role of the Chairman (or Chair) is to:

Lead the Board to ensure effectiveness in all aspects of its role;

Plan agenda items and timings for Board meetings;

Ensure the membership of the Board is appropriate to meet the needs of the business;

Oversee that the Board Committees carry out their duties including reporting to the Board;

Establish appropriate personal objectives for the Chief Executive;

Ensure Directors are up to date with training and development;

Provide the information necessary for Directors to take a full and constructive part in Board discussions;

Promote an open culture of debate; and develop and maintain effective communications with shareholders.

Chief Executive Officer

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

Run the day-to-day business and operations of the Company; Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;

Lead and oversee the executive management of the Company; meet the Group's budget and strategic plans; and Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

Ensure good information flows within the Board and its Committees and between Senior Management and Executive/Non-Executive Directors;

Facilitate Director inductions and professional development;

As requested, arrange independent professional advice for Directors at the Company's expense; and

Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amana Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following Committees of the Board have been formed with the objective of improving governance; viz-

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee

- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Board Nominations and Governance Committee

Each committee has a defined Terms of Reference approved by the Board, outlining the respective Committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these Committees are expected to attend all meetings.

(I) The Board Audit and Compliance Committee

The Audit and Compliance Committee comprises of three Independent Non-Executive Directors of the Board. This Committee is chaired by E. D. Wickramasuriya who is an Independent Non-Executive Director of the Company. The Managing Director, Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on page 58.

(II) The Board Risk Management Committee

The Risk Management Committee of the Board comprises four Independent Non-Executive Directors. This Committee was chaired by Padmesh Weerasekera who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail Report on the Risk Management Committee functions and its activities during the year 2024 are provided on page 47.

(III) The Board Investment Committee

The Investment Committee comprises Osman Kassim, M H S Kassim, Sharhan Muhseen, Zulficar Ghouse, Abdullah Kassim and Ammar Kassim. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meetings on a monthly basis.

(IV) The Board Remuneration Committee

The Remuneration Committee comprises three Independent Non-Executive Directors of the Board. This Committee was chaired by Abdullah Osman Kassim, who is an Independent Non-Executive Director of the Company. Details of remuneration paid to Directors are set out in Note 31 to the Financial Statements on page 127.

The Report of the Remuneration Committee is provided on page 60.

(V) The Board Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors as at Reporting date. This Committee was chaired by Padmesh Weerasekera, who is an Independent Non-Executive Director of the Company. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 61.

(Vi) The Board Nominations and Governance Committee

The Board Nominations and Governance Committee comprises three

Independent Non-Executive Directors of the Board. This Committee was chaired by Abdullah Osman Kassim, who is an Independent Non-Executive Director of the Company.

ETHICAL STANDARDS

Amana Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

Honesty and fairness;

Compliance with regulatory requirements;

Accountability – provision of accuracy, timely and essential information to stakeholders;

Avoiding conflict of interest;

Professional judgment;

Maintaining privacy and confidentiality of customer-related information;

Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the Monthly Team Briefs.

EXECUTIVE MANAGEMENT

The Chief Executive Officer deliberates strategic issues with the Operations Management Committee (OMC) which includes heads of departments. Each of them who head strategic business units drive their business functions aligned to the strategic plan, building capacity and capability.

INTERNAL CONTROLS

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial,

CORPORATE GOVERNANCE

compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

COMPLIANCE WITH “SHARI’AH” REQUIREMENTS

Amana Takaful PLC takes the utmost care in adhering to “Shari’ah” principles. A Shari’ah Unit has been set-up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari’ah, in particular the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 64. in accordance with Section 9 of Colombo Stock Exchange’s Corporate Governance Rules, Amana Takaful PLC has established and maintains the following policies which are subject to revision if required.

1. Policy on Matters Relating to the Board of Directors
2. Policy on Board Committees
3. Policy on Corporate Governance, Nominations and Re-election
4. Policy on Remuneration
5. Policy on Internal Code of Business Conduct and Ethics for all Directors and employees.
6. Policy on Risk Management and Internal Controls
7. Policy on Relations with Shareholders and Investors
8. Policy on Environmental, Social, and Governance Sustainability
9. Policy on Control and Management of Company Assets and Shareholder Investments
10. Policy on Corporate Disclosures
11. Policy on Whistleblowing
12. Policy on Anti-Bribery and Corruption

REGULATORY COMPLIANCE

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set-up to monitor and investigate into all compliance related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

RELATIONSHIP WITH STAKEHOLDERS

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The Management holds monthly Team Briefs, at which, employees are briefed of the policies, goals and values of Amana Takaful PLC and their views and suggestions are sought and evaluated.

Amana Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company’s activities.

SOLVENCY REQUIREMENTS

The Solvency Margin (Risk-Based Capital) requirements pertaining to Amana Takaful PLC has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015 During the Full Financial Year 2024.

CORPORATE GOVERNANCE DISCLOSURES UNDER COLOMBO STOCK EXCHANGE (CSE) RULES IN RELATION TO DIRECTORS OF THE COMPANY

Areas of Compliance	Current Status	Remarks
Board of Directors	Executive Directors M. H. S. Kassim – Managing Director Non-Executive Directors M. Z. M. Ghouse – Chairman S. Rizwan Hussain E.D. Wickramasuriya T. M. Wijesinghe P. S. Weerasekera Abdullah Osman Kassim	➤ All members of the Board except one member serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7.10.1.
	Independent Directors M. Zulficar Ghouse E. D. Wickramasuriya S Rizwan Hussain T. M. Wijesinghe P. S. Weerasekera Abdullah Osman Kassim	➤ All Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company as per Rule 7.10.3 (a) ➤ The Board comprises of six Independent Directors out of six Non-Executive Directors, by the end of 2024. ➤ The Company has complied with the CSE Listing Rules 7.10.2
Remuneration Committee	Abdullah Osman Kassim – Chairman Zulficar Ghouse Syed Rizwan Hussain	➤ This Committee comprised of three Non-Executive Directors as at reporting date, of whom, two are Independent. ➤ The Company has complied with the CSE Listing Rules 7.10.5
Audit and Compliance Committee	E. D. Wickramasuriya – Chairman Syed Rizwan Hussain P. S. Weerasekera	➤ This Committee comprised of three Non Executive Directors of which three are Independent Non-Executive directors at reporting date. ➤ The Company has complied with the CSE Listing Rules 7.10.6

CORPORATE GOVERNANCE

Areas of Compliance	Current Status	Remarks
Related Party Transactions Review Committee	P. S. Weerasekera – Chairman M. Zulficar Ghouse E. D. Wickramasuriya	➤ This Committee comprised of four Independent Non-Executive Directors. The Company has complied with the CSE Listing Rules 9. 2. 2.
Risk Management Committee	Padmesh Sajjeewa Weerasekera - Chairman M Zulficar Ghouse Syed Rizwan Hussain Abdullah Osman Kassim	➤ The committee comprises four Non - Executive Directors as at reporting date, of whom, four are independent.
Nominations and Governance Committee	Abdullah Osman Kassim - Chairman E. Deepthie Wickramasuriya M Zulficar Ghouse	➤ The committee comprises three Non - Executive Directors as at reporting date, of whom, three are independent.

COMPLIANCE WITH IRCSL DIRECTION # 17 ON CORPORATE GOVERNANCE

The Company has ensured compliance with the above guidelines including the limitation on period of service of Directors for 9 years and the age limit. As of the reporting date all Directors have service period within 9 years.

DIRECTORS' ATTENDANCE AT THE MEETINGS

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee Meetings		Nomination & Governance Meetings		Enterprise Risk Management Meetings	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
M Zulficar Ghouse	4	4			2	2	4	4	1	1	4	4
M Hassan Sattar Kassim	4	2										
Syed Rizwan Hussain	4	4	4	4	2	1					4	4
E. Deepthie Wickramasuriya	4	4	4	4			4	4	1	-		
Padmesh Sajjeewa Weerasekera	4	4	4	4			4	4			4	4
Thilan Manjith Wijesinghe	4	2										
Abdullah Osman Kassim	4	3			2	2	-	-	1	1	4	4

RISK MANAGEMENT FRAMEWORK

Risk is the possibility of an event or circumstance that may have adverse impacts on the achievement of an organisation’s objectives. In the context of an insurance company, risk arises from various internal and external factors, including market volatility, underwriting decisions, operational challenges, compliance obligations, and changes in the regulatory environment.

Risk Management is the systematic process of identifying, assessing, monitoring, and mitigating potential risks that may affect the organisation’s ability to achieve its goals. In the insurance sector, it involves implementing strategies and frameworks to minimise the financial, operational, legal, and reputational impacts of uncertain events. An effective risk management process supports sustainable business growth, policyholder protection, and regulatory compliance.

Risk management assist in understanding the implications of the strategy and the possibility of the strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the company’s overall direction and performance.



The Risk framework operates on a bottom-up approach in terms of its Lines of Defence.

1. First Line of Defence

The frontline staff and operational teams directly manage and control risks on a day-to-day basis within their respective roles and responsibilities.

2. Second Line of Defence

The Risk and Compliance team provides oversight, guidance and support to ensure effective risk identification, assessment and mitigation across the organisation.

3. Third Line of Defence

The Internal audit reviews the effectiveness of controls to manage/ mitigate risks, reports deviations, recommends necessary improvements and corrective actions, and ensures continuous follow-up on the implementation of risk management strategies.

The Company has adopted a three-stage line of defence to manage risks, ensuring all categories and types of risks

ATPLC RISK GOVERNANCE

In the Risk Framework of ATPLC, the entire Company has been structured into a 4-stage cascade representing Practices, Personnel, Policies and Procedures from a risk management perspective, as illustrated below:



RISK MANAGEMENT FRAMEWORK

are considered for operating in an effectively risk-managed environment. The Company's risk and compliance units oversee the entire risk management process while business units and operational teams provide input regarding the various risks faced in the course of doing business. The internal audit team performs regular planned checks of the entire risk management process and verifies that all controls and mitigation measures are in place.

RISKS FACED BY INSURANCE COMPANIES

It appears that many organisations are experiencing pressure and recognising that change in the organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the below mentioned tables:

1. Insurance Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk Underwriting Risk is a core component of insurance risk and is a key consideration in an Enterprise Risk Management Framework. It represents the risk of financial losses arising from inadequate pricing, misestimation of claims or severity or adverse portfolio selection. Effective management of underwriting risk ensures the maintenance of profitability and solvency while fulfilling the contractual obligations towards its stakeholders. ➤ Product/policy Design Risk – Designing the product offering reasonable & adequate benefits with the right pricing is very critical to the insurance business.	➤ A robust underwriting regime is in place with well-experienced and qualified professionals in the team. ➤ A well-scrutinised set of SOPs are formulated and implemented.
Reserving Risk Risk of uncertainty in the adequacy of technical provisions (claims reserves, loss reserves, IBNR reserves) set aside to cover future claims payments. ➤ IBNR (Incurred But Not Reported) Risk – The risk that claims incurred but not yet reported are underestimated or mis-estimated. ➤ Assumption & Model Risk – The risk that actuarial models and assumptions used for reserving are incorrect or outdated.	➤ A qualified and well-experienced professional firm well versed in actuary valuations has been contracted to carry out the actuarial functions.

Risk	Control
Claims Risk Refers to the uncertainty in the frequency, severity, and timing of claims payments. It impacts an insurer's profitability, reserving adequacy, and overall financial stability. ➤ Frequency Risk – Relates to a higher-than-anticipated claim frequency. ➤ Severity Risk – Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model. ➤ Fraud Risk – The Risk of intentional misrepresentation to obtain unwarranted claim pay-outs.	➤ At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product overall targets taking the claims experiences pertaining to the protection-based products. It also assesses the future potential on agreed assumption. ➤ At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product overall targets taking the claims experiences pertaining to the protection-based products. It also assesses the future potential on agreed assumption. ➤ Claims ratios are monitored through actuarial valuations. Further providing continuous training and development programmes to the staff with supervision of well-experienced senior staff to mitigate such risks. ➤ Ensuring all details are obtained in order to avoid fraud. In the event of suspicion of fraud, a compulsory thorough check is to be completed
Re-takaful Risk Refers to the uncertainties and potential financial losses associated with an insurer's reliance on reinsurance to manage its risk exposure, Therefore the following key risk areas must be managed effectively. ➤ Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant. ➤ Excessive Loss Exposure Risk – Accepting risks beyond retention limits increases the insurer's liability, leading to unexpectedly large claims payments.	➤ Retakaful placements are done with re insurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL). ➤ A dedicated Treaty is in place in order to mitigate the Excessive loss exposure Risk.

2. Market Risks

Market Risk refers to the potential financial losses that arise due to fluctuations in economic and financial market variables. For the Sri Lankan insurance industry, the below mentioned risks directly impact its investment portfolios, solvency and overall stability of the Company.

Furthermore, as the insurance companies in Sri Lanka are heavily dependent on the investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

RISK MANAGEMENT FRAMEWORK

Risk	Control
Investment Risk The risk of poor investment performance due to market volatility, poor asset allocation, or credit defaults are indicated by the investment risk.	➤ Strengthening investment governance. ➤ Diversify portfolios across asset classes (fixed income, equity, real estate).
Interest Rate Risk The risk that changes in interest rates will affect the value of fixed-income investments (e.g., government bonds).	➤ Diversify investment portfolio ➤ Use asset-liability matching to hedge against rate changes.
Foreign Exchange Risk The risk of currency fluctuations affecting investment returns and reinsurance transactions.	➤ Adjust asset allocation to limit reliance on foreign currency assets.
Equity Market Risk The risk that stock market fluctuations will reduce investment income and capital reserves.	➤ Limit exposure to market volatilities through professional investment agencies.
Liquidity Risk The risk of being unable to sell assets quickly without incurring significant losses.	➤ Maintain sufficient cash reserves. ➤ Adjust asset allocation to ensure liquidity for claims.
Inflation Risk The risk that rising inflation erodes real investment returns and increases claim costs.	➤ Adjust pricing models to factor in inflation. ➤ Invest in inflation-adjusted securities where possible.

3. Strategic and Reputational Risk

As the leading takaful operator, the strategic Risk can be identified as the most important consideration given the nature of the competition created by other takaful window operators, evolving regulatory landscape, market dynamics and technological advancements. The sector faces increasing competition from both traditional insurers and emerging Insure-Tech players, necessitating innovation and adaptability. Additionally, regulatory changes and economic instability pose challenges to long-term strategic planning.

Therefore, these uncertainties must be navigated while leveraging digital transformation, ethical financial practices, and customer-centric approaches to maintain a competitive edge.

Risk	Control
Market Competition Risk Refers to the challenges insurers face due to intense competition, which can lead to price wars, reduced profit margins, and customer retention struggles.	➤ Digital transformation & brand positioning.
Regulatory & Compliance Risk Refers to the risk of financial and operational impact from regulatory changes.	➤ Proactive regulatory engagement & robust compliance monitoring.
Brand & Reputation Risk Refers to the situational risk of reputational damage affecting customer trust.	➤ Strengthen transparency, improve customer service, enhance CSR initiatives.
Digital Transformation Risk Refers to the risk of failing to adapt to digital advancements, leading to operational inefficiencies and competitive disadvantages.	➤ Invest in digital infrastructure, enhance cybersecurity measures, and foster an innovation-driven culture.

4. Operational Risks

Operational Risk refers to the potential losses resulting from inadequate or failed internal processes, people, systems, or external events. As the leading takaful operator in Sri Lanka we must ensure that the operational framework aligns with Shariah Principles, regulatory requirements, and evolving technological advancements. Effective management of operational risk is essential for maintaining policyholder trust and ensuring the long-term sustainability of Takaful models. Some of the key aspects in operational risk are shown below.

Risk	Control
Business Continuity Risk Refers to the risk of disruptions due to natural disasters, cyberattacks, or system failures.	➤ The BCP is to be tested annually.
Human Capital Risk Refers to the risk of talent shortages, employee misconduct, or lack of skilled professionals.	➤ Performance evaluation & Appraisal to scrutinise the performance of key staff members including the Top Management Personnel. ➤ Workforce training & talent development programs.
Process Failure Risk Refers to the risk of errors or inefficiencies in underwriting, claims processing, or fund management.	➤ Regular Audits & continuous improvement initiatives.
Back-up & Recovery Failure Inadequate or failed backups preventing data restoration after loss incidents.	➤ A data Recovery process is in place.
Fraud & Financial Crime Risk Refers to the risk of internal or external fraud, money laundering or other related unethical activities.	➤ Strict adherence to the internal controls through the SOPs. ➤ Monitoring supervisory controls which in place pertaining to the anti-money laundering compliance.
Third-Party & Outsourcing & procurement Risk Refers to the risk of service disruptions, compliance failures, or financial losses due to vendor management, procurement inefficiencies, or outsourcing failures	➤ Third party engagements where sensitive data is involved are dealt with prior NDA's vetted by the legal department. ➤ Maintaining a robust contract management. ➤ Periodical procurement audits & performance monitoring.
Shariah Non-Compliance Risk Refers to the risk of failing to adhere to Islamic finance principles due to business operational failures or governance weaknesses.	➤ Strong Shariah governance. ➤ Conducting independent audits & compliance training.

5. Compliance Risk

The Compliance risk refers to the potential for legal or regulatory sanctions, financial loss, or reputational damage that an organisation may face as a result of failing to adhere to laws, regulations, codes of conduct, or internal policies. In the insurance industry, compliance risk is particularly significant due to the complex regulatory landscape that governs operations, product offerings, claims handling, and data privacy. Non-compliance with regulations, such as those set by local authorities like the Insurance Regulatory Commission of Sri Lanka (IRCSL), can lead to severe penalties, reputational harm, and a loss of customer trust. As insurers face increasing scrutiny from both local and international regulators, effectively managing compliance risk is crucial for maintaining operational integrity, safeguarding business continuity, and protecting the interests of policyholders and shareholders alike.

RISK MANAGEMENT FRAMEWORK

Risk	Control
Regulatory Compliance Risk Failure to Meet Regulatory Requirements. The risk of failing to comply with specific regulations set by local authorities such as IRCSL & CBSL. These regulatory bodies govern areas such as solvency requirements, risk-based capital standards, and reporting obligations. Changes in Laws and Regulations The risk that regulatory changes may impose additional costs or operational burdens on the insurance company. This can also affect product offerings, marketing strategies, and claim settlement processes.	All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings.
Anti-Money Laundering (AML) and Know Your Customer (KYC) Compliance AML Compliance Risk Insurance companies are required to adhere to anti-money laundering laws to prevent financial crimes. Failing to detect and report suspicious activities related to money laundering can lead to severe penalties and reputational damage. KYC Requirements KYC protocols must be followed to verify the identity of their customers. Non-compliance with KYC can lead to fines, legal consequences, and issues with regulators.	A Dedicated Compliance Department is functional & headed by a Senior Manager who is a member of the Operations Management Committee (OMC) A monthly sign-off is obtained on a compliance checklist covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings. Sanctioned lists, blacklisting process is reviewed by the compliance department.
Sanctions Risk The risk of inadvertently engaging in business with sanctioned individuals, entities, or countries, leading to legal repercussions and potential sanctions violations.	
Data Privacy and Protection Compliance Failure to protect sensitive customer personal & financial data may lead to breaches, legal consequences & regulatory fines. Data Handling and Retention The risk of non-compliance with data retention and handling regulations, such as not adhering to the required timelines for storing or destroying customer data.	A periodic internal audit exercise is carried out on the functions of the IT department and a report is tabled at the Audit Committee meetings.
Non-Compliance with Governance Standards The risk of failure of adherence to corporate governance standards such as those related to board composition, risk management practices, or internal control systems & mandatory corporate governance policy development may result in regulatory penalties or loss of investor confidence.	Board Nomination & Governance Committee (BNGC) overlooks the fundamentals of the governance

ATPLC RISK MANAGEMENT

Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and further being monitored quarterly through obtaining a signoff from the respective KRP's.

RISK MANAGEMENT PROCESS

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at BOM, GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	➤ Product-wise & Class-wise analysis of Claims Ratios ➤ Product Profitability monitoring ➤ Sufficient RI Covers ➤ Client-wise portfolio profitability analysis
Market Risk	➤ Interest Rate Movement ➤ Bullion Market Movement ➤ Equity Market Movement ➤ Economic Indicators ➤ Changes in Tax Regulations ➤ Changes in Government Policies
Strategic and Reputational Risk	➤ Market Share % ➤ Overall Target Achievements at Firm Level and Departmental Level ➤ Market Positioning ➤ Client Satisfaction Index ➤ Regulatory Fines & Penalties (LKR amount or frequency) ➤ Customer Complaints % ➤ Number of Legal cases/Litigation related to disputes ➤ Investment in Digital Transformation (% of Annual Budget)
Operational Risk	➤ Staff Turnover Ratio ➤ Staff Satisfaction Index ➤ Internal/External Audit Findings ➤ Deviations from ISO Standards on Safety Measures ➤ Currency and Liquidity Ratios ➤ Implementation of Industry Best Practises
Compliance Risk	➤ Queries Raised by Regulator/Ombudsman ➤ Pending Legal Matters ➤ Unresolved Audit Queries ➤ Investment Portfolio Mix ➤ Cybersecurity Breach Incidents (per year)

KEY AREAS REVIEWED BY THE BOARD RISK COMMITTEE DURING 2024

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of the Cashflow positioning of the Shareholder's Fund.

The composition of the Committee during the period under review are as follows:

Member

Mr. P.S. Weerasekera – Committee Chairman

Independent Non-Executive Director

Mr. Zulficar Ghouse

Independent Non-Executive Director

Syed Rizwan Hussain

Independent Non-Executive Director

Abdullah Osman Kassim

Independent Non-Executive Director

Chief Executive Officer of Amāna Takaful PLC and Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Snr. Manger-Internal Audit also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31st December 2024, to be presented at the 26th Annual General Meeting of the Company.

REVIEW OF THE YEAR

The Chairman's Review on page 12 describes the Company's affairs and mentions important events that occurred during the year and up to the date of this Report. The performance Review on page 31 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

PRINCIPAL ACTIVITIES

The principal activity of the Amana Takaful PLC (Parent) and Amana Takaful Maldives PLC (Subsidiary of ATPLC) is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amana Takaful Life PLC, a subsidiary of Amana Takaful PLC.

FINANCIAL STATEMENTS

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, are given on pages 73 to 156 of this Annual Report.

INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the Financial Statements is given on pages 69 to 72 of this Annual Report.

ACCOUNTING POLICIES

The accounting policies adopted in preparation of the Financial Statements are given on pages 86 to 99

FINANCIAL RESULTS AND APPROPRIATIONS

The Profit After Taxation of the Company for the year was Rs. 564.82 (2023 – Loss Rs. 13.88 Mn) and the Profit After Taxation of the Group for the year was Rs. 954.56 Mn (2023 – Profit Rs. 151.43 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund stood at Rs. 3.8 Bn in 2024. (2023 – Rs. 3.2Bn)

PROPERTY, PLANT AND EQUIPMENT

During the year under review, the capital expenditure on Property, Plant and Equipment for the Group amounted to Rs. 94.06 Mn (2023 – Rs. 75.6 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 6 to the Financial Statements.

FINANCIAL ASSETS

Details of financial assets held by the Company are given in Note 9 and 12 to the Financial Statements.

RESERVES

Accumulated profit as at 31st December 2024 for the Company and Group amounted to Rs. 2,092 Mn (2023 – 1,258 Mn) and Rs. 1,610 Mn (2023 – 658.4 Mn), respectively. The break-up and the movements are shown in the Statement of Changes in Equity in the Financial Statements.

STATED CAPITAL

The stated capital of the Company as at 31st December 2024 was Rs. 1,966,338,648 represented by 203,630,643 ordinary shares. The details of the stated capital are given in

Note 14 to the Financial Statements on page 114

CONTINGENT LIABILITIES

There were no material contingent liabilities outstanding as at 31st December 2024 other than those reported in Note 37 to the Financial Statements.

MATERIAL ISSUES PERTAINING TO EMPLOYEES AND INDUSTRIAL RELATIONS OF THE COMPANY

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

POST-BALANCE SHEET EVENTS

There were no material events occurred after the reporting date that require adjustments or disclosure in the Financial Statements.

DIRECTORS' RESPONSIBILITIES

The Statement of the Directors' Responsibilities is given on page 66 of this Annual Report.

CORPORATE GOVERNANCE

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on Corporate Governance is given on pages 41 to 44 of this Annual Report.

Board of Directors of the company confirm that the Company is compliant with section 9 of the Listing Rules of the Colombo Stock Exchange and SL Accounting Standards Act No. 15 of 1995.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

INTERESTS REGISTER

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 35 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 159

BOARD COMMITTEES

Audit and Compliance Committee

Following are the names of the Directors comprising the Audit and Compliance Committee of the Company:

(Ms.) Deepthi Wickramasuriya – Chairperson

Syed Rizwan Hussain

P. S. Weerasekera

The Report of the Audit and Compliance Committee on pages 58 and 59 set out the manner of compliance by the Company in accordance with the requirements of Rule 9.13 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

REMUNERATION COMMITTEE

Following are the names of the Directors comprising the Remuneration Committee of the Company:

Abdullah Osman Kassim – Chairperson

Syed Rizwan Hussain

Zulficar Ghouse

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 60 in accordance with the requirements of Rule 9.12 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 31 to the Financial Statements.

RELATED PARTY TRANSACTION REVIEW COMMITTEE

Following are the names of the Directors comprising the Related Party Transaction Review Committee of the Company in accordance with the requirements of Rule 9.14 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

P. S. Weerasekera – Chairperson

(Ms) Deepthi Wickramasuriya

Zulficar Ghouse

The particulars of the Related Party Transaction Review Committee are mentioned in the Report of the Related Party Transaction Committee on page 132

BOARD NOMINATIONS AND GOVERNANCE COMMITTEE

Following are the names of the Directors comprising Board Nominations and Governance Committee of the Company in accordance with the requirements of Rule 9.11 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Abdullah Kassim – Chairperson

(Ms) Deepthi Wickramasuriya

Zulficar Ghouse

The particulars of the Nominations and Governance Committee are mentioned under Corporate Governance on page 62

BOARD RISK COMMITTEE

Following are the names of the Directors comprising the Board Risk Committee of the Company:

P. S. Weerasekera – Chairperson

Zulficar Ghouse

Syed Rizwan Hussain

Abdullah Osman Kassim

SHARE INFORMATION AND SUBSTANTIAL SHAREHOLDINGS

The distribution of shareholding, market value of shares and twenty five largest shareholders are given on pages 159 and 160

The earnings per share, Diluted earning per share and net assets per share are given on page 4

DIRECTORS

The Directors of the Company during the year were as follows:

Name of Director	Date of Appointment
M. Z. M. Ghouse	3rd June 2020
T. M. Wijesinghe	21st October 2021
P. S. Weerasekera	15th December 2021
A. O. Kassim	15th December 2021
(Ms) E. D. Wickramasuriya	22nd December 2020
M. H. S. Kassim	7th March 2016
S. R. Hussain	3rd May 2019

A brief profile of the Directors are given on pages 24 and 26 of this Annual Report.

In terms of Section 82 of the Articles of Association of the Company, Mr. Padmesh Sajjeewa Weerasekera and Mr. Abdullah Osman Kassim are due for retirement by rotation and being eligible offer themselves for re-election as Directors of the Company.

During the year under review the Board met on four occasions. The attendance at these meetings are mentioned on page 46

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

CEO / DIRECTORS' SHAREHOLDINGS

The interest of the CEO/Directors in the shares of the Company as at 31st December 2024 were as follows:

Name of Director/CEO	No. of Ordinary Shares As at 31st December 2024	Ordinary Shares As at 31st December 2023
Syed Rizwan Hussain	-	-
M. H. S. Kassim	10,780	10,780
M. Z. M. Ghouse	-	-
(Ms)E. D Wickramasriya	-	-
T. M. Wijesinghe	-	-
P. S. Weerasekera	-	-
A. O. Kassim	-	-
S. Karthigun (CEO)	-	-

INDEPENDENCE OF DIRECTORS

Particulars of Independent Directors are mentioned under Corporate Governance Report on pages 41 to 46

RELATED PARTY TRANSACTIONS

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka

Accounting Standard LKAS 24 – “Related Party Disclosures”, in Note 35 to the Financial Statements.

The Board of Directors of the Company declare that the Company entered into related party transaction during the

financial year in compliance with the regulations pertaining to the related party transactions. Details which are given in Note 35 of the Financial Statements.

GOING CONCERN

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

AUDITORS

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 31 on page 127 of this Annual Report.

As far as the Directors are aware, the Auditors do not have any relationship on interest in the Company.

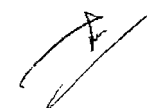
The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

NOTICE OF ANNUAL GENERAL MEETING

The Annual General Meeting will be held on the 27 June 2025 at 9.30 am at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM). The

Notice of the Annual General Meeting appears on page 169 of this Annual Report.

For and on behalf of the Board,



Zulficar Ghouse

Chairman
16 May 2025
Colombo



Managers & Secretaries (Pvt) Ltd.

Secretaries
Amana Takaful PLC
16 May 2025
Colombo

DIRECTORS' INTEREST IN CONTRACTS WITH THE GROUP/ COMPANY

In compliance with the disclosure requirements of Section 168 (e) of the Companies Act No 07 of 2007 as amended, Directors' interests in contracts or proposed contracts with the Company, both direct and indirect are disclosed as follows.

These entities have been categorised as listed, unlisted or foreign, and the Director's role as Executive or Non-Executive is also disclosed as per the requirements of Rule 9.10.4(e) of the CSE Listing Rules.

SUMMARY OF DIRECTORSHIPS IN OTHER COMPANIES

Director Name	Position	Listed	Unlisted	Total
M Zulficar Ghouse	Chairman	1	4	5
M Hassan Sattar Kassim	Director	-	12	12
Syed Rizwan Hussain	Director	-		
E. Deepthie Wickramasuriya	Director	2	4	6
Padmesh Sajjeewa Weerasekera	Director	-	1	1
Thilan Manjith Wijesinghe	Director	-	3	3
Abdullah Osman Kassim	Director	-	2	2

DIRECTORSHIPS IN LISTED COMPANIES

Director Name	Company	Position	Capacity
E. Deepthie Wickramasuriya	Vidullanka PLC	Director	INED
	Mercantile Investments & Finance PLC	Director	INED
M Zulficar Ghouse	Ex-Pack Corrugated Cartons PLC	Managing Director	ED

*INED : Independent Non-Executive Director

*ED : Executive Director

REPORT OF THE BOARD AUDIT COMMITTEE

The Board Audit Committee (BAC) is a formal subcommittee that is appointed by the Board of Directors. The BAC is charged with assisting the board to fulfill its obligations and responsibilities in overseeing areas such as the company's financial reporting, internal control systems, internal audit and external audit functions.

COMPOSITION

The BAC comprises three members, all of whom are independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process and adequacy of internal controls. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The membership composition of the BAC and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Mrs. Deepthie Wickramasuriya Chairperson/Independent Non-Executive Director	4 out of 4
Mr. Syed Rizwan Hussain Independent Non-Executive Director	4 out of 4
Mr. P.S. Weerasekara Independent Non-Executive Director	4 out of 4

The Senior Manager-Internal Audit functions as the Secretary to BAC. The agenda and the papers for the meetings are circulated among the members with sufficient notice.

The Chief Executive Officer and the Managing Director were invited to be present at all meetings of the Committee during the period under review. The Senior Manager-Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments - Finance, Underwriting, Claims and Reinsurance/Retakaful. External Auditors, Internal Auditors who carried out outsourced assignments and other members of the Management were also invited to attend the meeting when required.

OBJECTIVES, DUTIES AND RESPONSIBILITIES

The "Terms of Reference" (TOR) of the BAC clearly defines the role, responsibilities and scope of the Committee.

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with the Sri Lanka Accounting Standards and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To satisfy that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management on deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.

3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls.
6. Obtain and review assurance received from the CEO and HOF, as relevant that the financial records have been properly maintained, and that financial statements give a true and fair view of the Company's and Group's operations and finances.

INTERNAL AUDIT

At the commencement of 2021, Messrs. KPMG Chartered Accountants were appointed as the primary internal auditor of the company in order to strengthen the Company's internal audit function. The company's Internal Audit department worked closely with KPMG to ensure that the audits were conducted and completed efficiently as mandated by the Board Audit Committee. Audit Reports are periodically presented to the BAC on a quarterly basis for review. The Internal Audit department coordinates and ensures that recommendations are implemented conscientiously and additionally carries out various other audits and special assignments.

The Internal Audit Department is charged with the overall internal audit functions of the Company. The Department presents to the BAC the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also

instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented, a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

EXTERNAL AUDIT

The BAC reviewed the External Audit Plan including the scope and fee for the annual audit. The Committee held discussion with the External Auditors, Messrs. Ernst & Young, prior to the year-end audit to discuss their audit approach and procedures, including matters relating to the scope of the audit.

The audit partner was engaged with external audit for the consecutive 4th year and Messrs. Ernest & Young, serves as the external auditors continuously with partner rotation.

The BAC reviewed the results of the external audit and the recommendations contained in the Management Letter arising from the audits of the quarterly/ annual financial statements, thus ensuring appropriate follow-up actions are taken. The independence and objectivity of the external auditors were reviewed by the BAC.

The BAC recommended to the Board the reappointment of Messrs. Ernst & Young, Chartered Accountants as the External Auditors of the Company for the ensuing financial year, subject to approval of the shareholders at the forthcoming Annual General Meeting.

PROVISION OF NON-AUDIT SERVICE

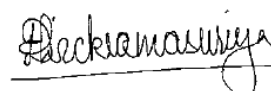
The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

CONCLUSION

The BAC is satisfied that the company's accounting policies, internal controls, and risk management processes are adequate to provide reasonable assurance that the financial affairs of the company are managed in accordance with company policies and accepted accounting standards.

The committee is satisfied with the implementation of the group's internal controls, compliance with all relevant requirements of the Companies Act, No. 07 of 2007, Listing Rules and SEC Act, and Risk Management Framework and that the group's assets are adequately safeguarded. The group's Internal and external auditors have been effective and independent throughout the year.

On behalf of the Board Audit Committee.



Deepthie Wickramasuriya
Chairperson – Board Audit Committee

16 May 2025
Colombo

REPORT OF THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amana Takaful Group of Companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board.

It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.

Making recommendation to the Board on annual increments, key promotions and scale-ups.

Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.

Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amana Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 9.12.6 (2) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of three (3) Non-Executive Directors. The Committee met twice during the year under review.

Member	Meeting Attendance
1. Abdullah Osman Kassim – Chairman Independent Non-Executive Director	2 out of 2
2. Zulficar Ghouse Independent Non-Executive Director	2 out of 2
3. Rizwan Hussain – Independent Non-Executive Director	1 out of 2
4. Farhan Jabir – Secretary	2 out of 2

Further, the Company has complied with the latest listing rule requirements as follows;

- 9.12.1 – 9.12.5 – The Company Possesses a Remuneration Committee and maintains a formal and transparent procedure for developing policy on Executive Directors
- 'Remuneration and for fixing the remuneration packages of individual Directors. No Directors shall be involved in fixing his/her remuneration.
- The Committee operates under a set of written terms of reference that clearly that clearly outline its scope, authority, duties and requirements for meeting quorum.
- 9.12.7 – Functions of the Committee includes recommending and assessing the relevance of the remuneration payable to the Executive Directors of the Company.
- 9.12.8 – Disclosures

During the year, the Company has demonstrated compliance with the necessary disclosure requirements as follows"

- (1) Chairperson and members of the Remuneration Committee
- (2) Statement on remuneration policy
- (3) Aggregate remuneration of Executive and Non-Executive Directors (Refer Financial statement Disclosures)



Abdullah Kassim

Chairman – Remuneration Committee

16 May 2025
Colombo

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

OBJECTIVE OF THE COMMITTEE

The Committee reviews all related party transactions of Amana Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

COMPOSITION OF COMMITTEE

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors as of date.

MEETINGS OF THE COMMITTEE

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Member	Meeting Attendance
1. P. S. Weerasekera – Chairman Independent Non-Executive Director	4 out of 4
2. M. Z. M. Ghouse Independent Non-Executive Director	4 out of 4
3. E. D. Wickramasuirya - Independent Non-Executive Director	4 out of 4
5. M.F.H. – Secretary	4 out of 4

In addition, the Chief Executive Officer of the Company, Head of Finance attended these meetings by invitation. The Assistant Manager Compliance serves as the Secretary to the Committee as at reporting date.

REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the year 2024 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 35 to the Financial Statements on page 124 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

POLICIES AND PROCEDURES

The Head of Finance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Compliance team is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

CONCLUSION

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.

Further, the Company has complied with the latest listing rule requirements as follows;

- 9.14.1 – The Related Party Review Committee operates under a set of written terms of references and conforms to the requirements set out in Rule 9.14 of these rules
- 9.14.2 – The composition of the RPT Committee comprises of 3 Independent non – executive Directors and distinguished invitees
- 9.14.3 – Functions of the Committee includes Safeguarding Shareholders interest, preventing abuse by Directors, CEOs, or substantial shareholders prioritising the economic and commercial substance of transactions over legal form.
- 9.14.4 – The Committee convenes quarterly, ensuring thorough completion of meeting minutes for the BOD. The Member of the Committee have access to adequate expertise to evaluate proposed transactions, seeking professional advice when necessary. Directors with personal interest in such matters will abstain from participation and voting during relevant board meetings
- 9.14.5/6 – RPT Committee reviews all related party transactions while also considering any material changes to previously reviewed transactions under rule 9.14.5. The Company has not entered with any related party transaction which is required to get the shareholder's approval.



Padmesh Weerasekera

Chairman – Related Party Transactions Review Committee

16 May 2025
Colombo

REPORT OF THE NOMINATION AND GOVERNANCE COMMITTEE

The scope and mandate of the Committee are defined in the Nomination & Governance Committee Terms of Reference (TOR). The purpose of the Committee is to assist the Board in fulfilling its statutory and fiduciary responsibilities relating to the selection/appointment of new Directors, re-appointment of current Directors, selection and appointment of the Chief Executive Officer.

COMPOSITION OF THE COMMITTEE

Mr. Abdullah Osman Kassim – Chairman – Independent Director

Mrs. E. Deepthie Wickramasuriya – Member – Independent Director

Mr. M Zulficar Ghouse – Member – Independent Director

MEETINGS & ATTENDANCE

The committee sat for one meeting during the year and was attended by all the committee members.

ATTENDEES BY INVITATION

Chief Executive Officer

SECRETARY TO THE COMMITTEE

Mr. Farhan Jabir Board Secretary & Head of Human resource Key responsibilities of the Committee are given below:

- **Exercise Oversight of Corporate Governance:**
Provide general oversight and ensure adherence to sound corporate governance principles within ATPLC.
- **Director and CEO Selection:**
The committee evaluates various aspects, including skills, experience, integrity and reputation of Directors and the Chief Executive Officer (CEO) prior to their selection and appointment.

- **Board Performance Assessment:**
Evaluate the performance and contributions of individual Directors and recommend the re-election of current Directors to the Board.
- **CEO Appointment Criteria:**
Define and determine the qualifications, experience, and key attributes necessary for eligibility for the position of CEO.
- **Succession Planning and Expertise Requirements:**
Periodically assess and recommend additional or new expertise needed on the Board, including succession planning for retiring Directors and Key Management Personnel.
- **Board Composition Review:**
Regularly review the structure, size, composition, and competencies of the Board (including skills, knowledge, and experience) and propose necessary changes to enhance effectiveness.
- **Board & CEO Performance:**
Periodically appraise Board & CEO's performance and facilitate discussions on evaluation.

ACTIVITIES IN 2024

- The Nomination & Governance Committee has implemented the necessary measures to comply with the new regulations introduced by the Colombo Stock Exchange (CSE) in 2024 and has ensured that the Sub-Committees are constituted in accordance with the regulations within the stipulated timeframe.

- The Committee reviews the directives issued by the Insurance Regulatory Commission of Sri Lanka and ensures full compliance with all regulatory requirements.
- Committee considered re-appointment of following Directors by rotation.
 - a. Mr. Thilan Manjith Wijesinghe
 - b. Mr. Syed Rizwan Hussain

DISCLOSURES

- **Nomination Policy:**
ATPLC has an established policy and procedure for the nomination of Directors to the Board, ensuring a transparent and structured approach.
- **Director Re-election:**
Independent Directors retire by rotation and are subject to re-election at regular intervals, with re-election occurring at least once every three years in line with governance best practices.
- **Board Diversity and Expertise:**
The ATPLC Board comprises a diverse group of Directors whose collective expertise supports the achievement of the company's strategic objectives. Director profiles are detailed on pages 24 to 26 of the Annual Report.

- **Declaration of Independence:**

All Non-Executive Directors have submitted signed declarations affirming their independent or non-independent status, as applicable.

- **Director Induction:**

All newly appointed Directors participate in a comprehensive induction program, which includes an overview of relevant industry regulations and the company's strategic direction and operations.

CONCLUSION

The Committee is satisfied that the combined knowledge and experience of the Board match the demands facing the Group.



Abdullah Osman Kassim

Chairman, Nomination & Governance
Committee

Colombo, Sri Lanka
16 May 2025

REPORT ON THE SHARI'AH ADVISORY COUNCIL



ميجرل نمرللا لىلا مسب

SHARI'AH AUDIT REPORT TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

هتالربو لىلا قمحرو مكيلىع مالىلا

We have examined the operations of Amana Takaful (PLC) (the “Company”) for the year ending 31st December 2024. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari’ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari’ah Supervisory Council.

Responsibilities

It is our responsibility, as Shari’ah Supervisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari’ah rules and principles. It is the responsibility of the Company’s Management to ensure that all rules, principles and guidelines set by the Shari’ah Supervisory Council are complied with, and that all policies and services being offered are duly approved by the Shari’ah Supervisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company’s compliance with the Shari’ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance & claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2024, were generally in accordance with the guidelines prescribed by the Shari’ah Supervisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari’ah Supervisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

هتالربو لىلا قمحرو مكيلىع مالىلا

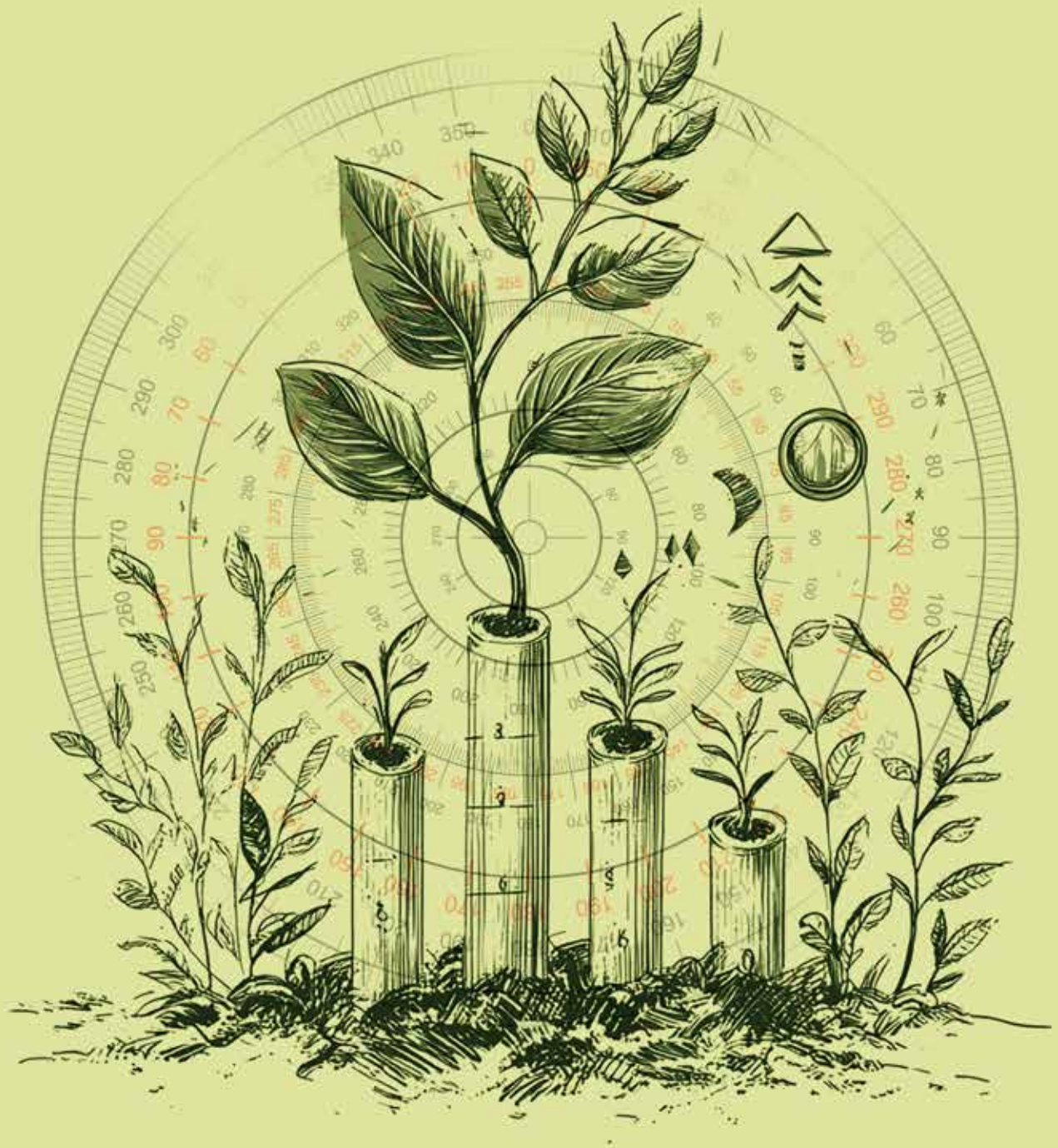
.....
Mufti M I M Rizwe
Chairman-Shari’ah Supervisory Council

.....
Ash-Sheikh Murshid Mulaffar
Secretary-Shari’ah Supervisory Council

.....
Mufti Shafique A Jakhura
Member-Shari’ah Supervisory Council

.....
Ash-Sheikh Huzaifah Hussain
Member-Shari’ah Supervisory Council

16 May 2025
Colombo



FINANCIAL STATEMENTS

STATEMENT OF DIRECTORS' RESPONSIBILITIES

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2024 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and

statutory authorities, which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Zulficar Ghouse
Chairman

16 May 2025
Colombo, Sri Lanka

CERTIFICATE OF THE ACTUARY – FAMILY TAKAFUL (LIFE)

AMANA TAKAFUL LIFE PLC

Financial Year Ended 31 December 2024

This report has been completed in compliance with IFRS 4 on Valuation for Liabilities of Long Term Insurance Business. The company, Amana Takaful Life PLC, is a Takaful Operator, but in the absence of takaful specific regulations in Sri Lanka, is governed under the same regulations as conventional insurers.



Zainal Abidin Mohd Kassim
Fellow of the Institute of Actuaries
Actuary
Kuala Lumpur
Malaysia

28th April 2025

CERTIFICATE OF IBNR



Certification by the Actuary

To the shareholders of Amana Takaful PLC

Amana Takaful PLC 31 December 2024 IBNR and LAT Certification

I hereby certify that the undiscounted Central Estimate of IBNR (inclusive of CHE) provision of LKR 246,502,001 is adequate in relation to the Claim Liability of Amana Takaful PLC as at 31st December 2024. This IBNR provision, together with the Claims Outstanding Reserves held by the Company is expected to be adequate to meet the future liabilities in respect of the Company's incurred claims obligations as at 31st December 2024.

At the end of each reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). I hereby certify that the UCR provision net of Wakalah fee of LKR 1,246,505,117 set by the Company, net of Retakaful, is higher than the estimated undiscounted Central Estimate Unexpired Risk Reserve of LKR 913,942,108. This implies the carrying amount of UCR is adequate at a 50th percentile in relation to the unexpired risks of Amana Takaful PLC as at 31st December 2024 in many, but not all, scenarios of future experience. As such, there is no contribution deficiency to be recognized by the Company.

The results have been determined in accordance with internationally accepted actuarial principles.

I have relied upon information and data provided by the management of the Company, and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonableness of the data.

A handwritten signature in blue ink, appearing to read 'Saket Singhal'.

Saket Singhal, FIAI
COP No: 175/058
Acts Sure Lab (Pvt) Limited

Name of the Appointed Actuary of the report: Saket Singhal, FIAI
Qualification of Actuary: Fellow Member of The Institute of Actuaries, India
Contact Details of Actuary: Tel: +91 9987050647 | Email: saketsinghal@actsurelab.com,
saketsinghal@transvalueconsultants.com
Company Name and Address: Acts Sure Lab (Pvt) Ltd.
11/2, 1st Lane, Pagoda Road, Nugegoda, Sri Lanka
Date: 16 May 2025

Acts Sure Lab (Pvt) Limited
No 11/2, 1st Lane Pagoda Rd, Nugegoda, Sri Lanka
www.actsurelab.com | thanuja@actsurelab.com | irosini@actsurelab.com | +94 774702189 / +94 772200424

INDEPENDENT AUDITOR'S REPORT



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel: +94 11 246 3500
Fax: +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Amana Takaful PLC (“the Company”) and the consolidated financial statements of the Company and its subsidiaries (“the Group”), which comprise the statement of financial position as at 31 December 2024, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 December 2024, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor’s responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor’s responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA FCCA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhthivel B.Com (Sp)

INDEPENDENT AUDITOR'S REPORT

Key audit matter	How our audit addressed the key audit matter
1. Life Insurance contract liabilities Life Insurance Contract Liabilities amounting to Rs. 3,839 Mn represent 31% of total liabilities of the Group as at 31 December 2024 and are estimated by management using actuarial methodologies as described in Note 2.4.1.2 (ii) to the financial statements. The Life Insurance Contract Liabilities were determined by the management specialist engaged by the Group. This was a key audit matter due to: ➤ materiality of the reported Life Insurance Contract Liabilities; and ➤ the degree of management judgements, assumptions and estimation uncertainties associated with the actuarial methodologies used to estimate life insurance contract liabilities and perform the liability adequacy test used to determine the adequacy of the carrying value of Life insurance contract liabilities. ➤ Key areas of significant judgements, assumptions and estimates made by management include mortality rate, morbidity rate, lapses ratio and surrenders ratio, loss ratios, bonus, interest rates, discount rates and related claim handling expenses, as disclosed in Note 2.4.1.2 (ii) to the financial statements.	Our audit procedures included the following key procedures: ➤ Assessed the competency, capability and objectivity of the management specialist engaged by the Group. ➤ Obtained an understanding of the liability valuation process. ➤ Agreed key information used in estimating life insurance contract liabilities to source documents and accounting records. ➤ With the support of an Expert, we assessed the reasonableness of the key judgements, assumptions and estimates made and actuarial methodology used to estimate the value of life insurance contract liabilities, and the liability adequacy test. Reasonableness was assessed by reference to market data and policyholder experience. We assessed the adequacy of the disclosures in Note 18 and 42.5 to the financial statements.
2. Non-Life Insurance Contract Liabilities Non-Life Insurance Contract liabilities amounting to Rs. 4,496 Mn represent 36% of total liabilities of the Group as at 31 December 2024 are estimated by management using actuarial methodologies as described in Note 2.4.1.2 (i) to the financial statements. Non-Life Insurance Contract Liabilities consist of provision for reported claims, provision for Incurred But Not Reported & Incurred But Not Enough Reported (IBNR & IBNER) and provision for unearned premiums which were determined by the management specialist engaged by the Group. This was a key audit matter due to: ➤ materiality of the reported Non-Life Insurance Contract Liabilities; ➤ the degree of management judgements, assumptions and estimation uncertainty associated with the actuarial methodologies used to estimate Non-Life Insurance Contract Liabilities and perform the liability adequacy test used to determine the adequacy of the carrying value of Non-Life Insurance Contract Liabilities. ➤ Key areas of significant judgments, assumptions and estimates made by management include the determination of historical experience and business expectations such as previous claim experience, existing knowledge of risk events, industry ultimate loss ratio, claims handling expenses and management expenses, as disclosed in Note 2.4.1.2 (i) to the financial statements.	Our audit procedures included the following key procedures: ➤ Assessed the competency, capability and objectivity of the management specialist engaged by the Group. ➤ Obtained an understanding of the liability valuation process. ➤ Agreed key information used in estimating non-life insurance contract liabilities to source documents and accounting records. ➤ With the support of an expert, we assessed the reasonableness of the key judgements, assumptions and estimates made and actuarial methodology used to estimate the value of non-life insurance contract liabilities, and the liability adequacy test. Reasonableness was assessed by reference to the industry data and considering both historical experience and business expectations. ➤ Checked the unearned premium and reported claim calculations. We assessed the adequacy of the disclosures in Note 17 and 42.5 to the financial statements.

Other information included in the 2024 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the management and those charged with governance for the financial statements.

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management

either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

INDEPENDENT AUDITOR'S REPORT

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

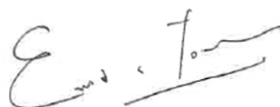
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.

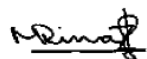


16 May 2025
Colombo

STATEMENT OF FINANCIAL POSITION

As at 31 December 2024	Notes	Group		Company	
		2024	2023	2024	2023
		Rs.	Rs.	Rs.	Rs.
Assets					
Intangible Assets	5	255,306,349	188,679,718	61,673,948	29,802,942
Property, Plant and Equipment	6	151,402,634	133,643,115	53,935,882	45,821,268
Right of Use Assets	23	622,681,492	475,855,804	346,310,045	169,820,295
Investment Property	7	152,500,000	151,000,000	-	-
Investments in Subsidiaries	8	-	-	3,467,386,441	2,726,560,589
Financial Assets	9	10,640,260,399	8,844,858,297	1,641,693,772	1,493,324,391
Retakaful (Reinsurance) Receivables		654,755,250	603,709,479	343,617,759	410,989,643
Contribution (Premium) Receivables	10	1,863,865,695	1,548,100,182	1,597,932,040	1,268,552,570
Other Assets	11	493,144,087	347,045,073	199,009,682	140,492,683
Financial Assets - Unit Linked	12	3,587,817,009	3,037,272,024	-	-
Cash and Bank Balances	13	833,456,413	343,492,613	102,324,123	103,452,208
Cash and Bank Balances - Unit Linked	13	12,606,847	11,338,181	-	-
Total Assets		19,267,796,176	15,684,994,485	7,813,883,692	6,388,816,589
Liabilities					
Insurance Contract Liabilities - Non Life	17	4,496,369,282	3,831,303,232	1,791,360,583	1,600,280,056
Insurance Contract Liabilities - Family Takaful Fund	18.1	264,694,774	304,351,488	-	-
Insurance Contract Liabilities- Unit Linked	18.2	3,574,638,570	2,970,343,620	-	-
Employee Benefits	19	188,276,178	173,627,119	73,722,720	59,440,598
Deferred Tax Liability	33.2	276,634,474	195,520,715	-	-
Other Liabilities - Unit Linked	20	216,343,252	186,253,738	-	-
Other Liabilities	21	2,698,056,226	2,253,864,183	1,165,541,931	960,737,510
Subordinated Debt	22	289,724,694	286,000,089	323,624,312	339,453,478
Lease Liability	23.1	511,354,393	310,531,723	367,425,331	170,949,883
Total Liabilities		12,516,091,844	10,511,795,908	3,721,674,877	3,130,861,524
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	14	1,966,338,648	1,966,338,648	1,966,338,648	1,966,338,648
Other Reserves	15	520,213,722	681,971,269	33,541,361	33,541,361
Revenue Reserves	16	1,609,913,199	658,415,354	2,092,328,806	1,258,075,057
		4,096,465,569	3,306,725,271	4,092,208,816	3,257,955,066
Non Controlling Interest		2,655,238,763	1,866,473,306	-	-
Total Equity		6,751,704,332	5,173,198,577	4,092,208,816	3,257,955,066
Total Equity and Liabilities		19,267,796,176	15,684,994,485	7,813,883,692	6,388,816,589

These Financial Statements are in compliance with the requirements of the Companies Act, No. 07 of 2007.

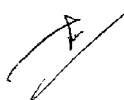


M. Rinaz Niyas
Head of Finance



S. Karthigun
Chief Executive Officer

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by,



M. Zulficar Ghouse
Chairman



Abdullah Kassim
Director

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

16 May 2025
Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December 2024	Notes	Group		Company	
		2024	2023	2024	2023
		Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	24	12,030,239,301	10,208,347,640	5,036,168,723	4,298,057,697
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(2,267,361,621)	(2,022,852,582)	(1,576,427,291)	(1,353,303,572)
Net Written Contribution (Premium)		9,762,877,679	8,185,495,058	3,459,741,431	2,944,754,125
Net Change in Reserve for					
Un-Earned Contribution (Premium)		(261,764,512)	(841,895,839)	(152,337,654)	(326,374,403)
Net Earned Contribution (Premium)		9,501,113,167	7,343,599,218	3,307,403,777	2,618,379,722
Other Revenue					
Income from Investments	25	1,012,042,168	1,084,519,536	200,720,864	279,605,616
Changes in Share of Profit of Equity Accounted Subsidiaries	8	-	-	626,059,596	164,233,322
Other Income	26	525,640,046	471,935,033	226,795,743	155,658,050
Total Revenue	27	11,038,795,381	8,900,053,788	4,360,979,981	3,217,876,711
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	28	(5,918,918,459)	(5,321,423,912)	(2,359,829,490)	(1,984,987,390)
Acquisition Cost (Net of Reinsurance Commission)		(707,511,164)	(559,123,793)	(218,962,193)	(170,628,492)
Change in Family Takaful Contract Liability		(565,242,463)	(445,854,249)	-	-
Other Operating and Administration Expenses	29	(2,586,569,361)	(2,285,368,753)	(1,137,874,489)	(1,028,813,022)
Amortisation	30	(17,787,997)	(14,734,750)	(2,662,436)	(2,284,254)
Total Claims, Benefits and Expenses		(9,796,029,444)	(8,626,505,457)	(3,719,328,608)	(3,186,713,158)
Profit from Operations	31	1,242,765,937	273,548,331	641,651,373	31,163,553
Finance Cost	32	(90,618,595)	(52,893,667)	(76,833,649)	(45,051,449)
Profit Before Taxation		1,152,147,342	220,654,664	564,817,723	(13,887,897)
Income Tax	33	(197,581,690)	(69,218,991)	-	-
Profit for the Year		954,565,652	151,435,672	564,817,723	(13,887,897)
Profit attributable to:					
Equity Holders of the Parent		480,350,893	(9,988,087)	564,817,723	(13,887,897)
Non Controlling Interest		474,214,759	161,423,759	-	-
		954,565,652	151,435,672	564,817,723	(13,887,897)
Earnings Per Share					
Weighted Average Earnings Per Share	34	2.36	(0.06)	2.77	(0.08)
Diluted Earnings Per Share	34	1.95	(0.04)	2.29	(0.06)

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December 2024	Notes	Group 2024 Rs.	2023 Rs.	Company 2024 Rs.	2023 Rs.
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Defined Benefit Plan Actuarial Losses	19	(5,668,449)	667,929	(4,782,375)	(150,687)
Net Change from Revaluation of Property Plant and Equipment		9,322,175	-	-	-
		3,653,726	667,929	(4,782,375)	(150,687)
Items that are or may be reclassified to profit or loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		840,105,558	1,090,258,743	9,195,459	11,261,824
- transfer (to)/from policyholders reserve		14,193,167	15,553,895	-	-
Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries	8	-	-	265,022,942	406,300,570
Foreign Currency Translation Differences for Foreign Operations		(312,018,347)	(364,767,840)	-	-
		542,280,378	741,044,799	274,218,401	417,562,394
Other Comprehensive Income, Net of tax		545,934,104	741,712,728	269,436,026	417,411,707
Total Comprehensive Income for the year		1,500,499,757	893,148,400	834,253,749	403,523,811
Total Comprehensive Income attributable to:					
Equity Holders of the Parent		789,740,297	407,713,411	834,253,749	403,523,811
Non Controlling Interest		710,759,459	485,434,989	-	-
		1,500,499,757	893,148,400	834,253,749	403,523,811

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

STATEMENT OF CHANGES IN EQUITY

Group Year ended 31 December 2024	Stated Capital	Other Reserves		Revenue Reserves			Non Controlling Interest	Total
		Revaluation Reserve	Translation Reserve	Policyholders' Reserve	Available For Sale Reserve	Accumulated Loss		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st January 2023	1,860,001,339	45,424,314	837,169,268	15,249,977	164,804,169	(129,974,516)	1,437,267,727	4,229,942,277
Issue Of Shares (Note 14.1)	106,337,309	-	-	-	-	-	-	106,337,309
Net Profit for the year	-	-	-	-	-	(9,988,087)	161,423,759	151,435,672
Other Comprehensive Income								
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-	-	604,710,130	-	485,548,614	1,090,258,743
Foreign Currency Translation Differences for Foreign Operations	-	-	(200,622,312)	-	-	-	(164,145,528)	(364,767,840)
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve	-	-	-	12,800,856	-	-	2,753,039	15,553,895
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	812,824	(144,895)	667,929
Total Comprehensive Income	106,337,309	-	(200,622,312)	12,800,856	604,710,130	(9,175,262)	485,434,989	999,485,709
Dividend Paid	-	-	-	-	-	-	(56,229,409)	(56,229,409)
Changes in ownership interests	-	-	-	-	-	-	(56,229,409)	(56,229,409)
Balance as at 31st December 2023	1,966,338,648	45,424,314	636,546,956	28,050,833	769,514,300	(139,149,778)	1,866,473,306	5,173,198,577
Net Profit for the year	-	-	-	-	-	480,350,893	474,214,759	954,565,652

Group Year ended 31 December 2024	Stated Capital Rs.	Other Reserves		Revenue Reserves			Non Controlling Interest Rs.	Total Rs.
		Revaluation Reserve Rs.	Translation Reserve Rs.	Policyholders' Reserve Rs.	Available For Sale Reserve Rs.	Accumulated Loss Rs.		
Other Comprehensive Income								
Net Change in Fair Value of Property, plant and equipment	-	7,112,820	-	-	-	-	2,209,355	9,322,175
Foreign Currency Translation Differences for Foreign Operations	-	-	(168,870,367)	-	-	-	(143,147,980)	(312,018,347)
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve	-	-	-	10,829,387	-	-	3,363,781	14,193,167
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	-	466,196,013	-	373,909,544	840,105,558
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	(5,878,449)	210,000	(5,668,449)
Total Comprehensive Income	-	7,112,820	(168,870,367)	10,829,387	466,196,013	474,472,444	710,759,459	1,500,499,756
Dividend Paid	-	-	-	-	-	-	(31,591,941)	(31,591,941)
Effect of acquisitions in subsidiaries							109,597,939	109,597,939
Total changes in ownership interests	-	-	-	-	-	-	78,005,998	78,005,999
Balance as at 31st December 2024	1,966,338,648	52,537,133	467,676,589	38,880,219	1,235,710,314	335,322,666	2,655,238,763	6,751,704,332

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

STATEMENT OF CHANGES IN EQUITY

Company	Stated Capital	Other Reserves	Revenue Reserves		Total
			Revaluation Reserve	Available For Sale Reserve	Accumulated Profit/(Loss)
	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st January 2023	1,860,001,339	33,541,361	22,299,990	832,251,255	2,748,093,944
Issue Of Shares (Note 14.1)	106,337,309	-	-	-	106,337,309
TOTAL COMPREHENSIVE INCOME					
Net Profit for the period	-	-	-	(13,887,897)	(13,887,897)
Other Comprehensive Income					
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	(150,687)	(150,687)
Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries	-	-	-	406,300,570	406,300,570
Net Change in Revaluation of Property, plant and equipment	-	-	-	-	-
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	11,261,824	-	11,261,824
Transfer from the Revaluation Reserve	-	-	-	-	-
Balance as at 31st December 2023	1,966,338,648	33,541,361	33,561,814	1,224,513,242	3,257,955,066
TOTAL COMPREHENSIVE INCOME					
Net Profit for the year	-	-	-	564,817,723	564,817,723
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	9,195,459	-	9,195,459
Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries	-	-	-	265,022,942	265,022,942
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	(4,782,375)	(4,782,375)
Total Comprehensive Income	-	-	9,195,459	825,058,290	834,253,749
Balance as at 31st December 2024	1,966,338,648	33,541,361	42,757,273	2,049,571,533	4,092,208,816

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

STATEMENT OF CASH FLOWS

Year ended 31 December 2024	Notes	Group		Company	
		2024	2023	2024	2023
		Rs.	Rs.	Rs.	Rs.
Operating Activities					
Contribution (Premium) Received from Participants		12,885,921,167	11,018,563,079	6,255,855,725	4,994,833,678
Retakaful (Reinsurance) Premium Paid		(1,993,019,057)	(1,945,798,944)	(1,586,741,121)	(1,143,065,096)
Claims, Benefits and Expenses Paid		(5,576,533,373)	(4,942,021,942)	(2,529,317,933)	(2,128,213,945)
Retakaful (Reinsurance) Receipts in Respect of Claims		400,065,590	243,709,733	263,394,681	140,735,565
Cash Paid to and on behalf of Employees		(2,261,701,191)	(1,826,970,049)	(1,279,630,063)	(987,907,151)
Profits Received from Investments and Other Income		951,918,977	943,187,702	200,720,864	213,025,908
Dividends Received		151,716,520	98,486,759	40,900,319	70,675,509
Finance Cost Paid		(92,858,595)	(62,612,814)	(76,833,649)	(45,051,448)
Other Operating Cash Payments		(2,401,519,816)	(2,162,160,973)	(1,171,169,369)	(893,705,810)
Cash Flow from/(used in) Operating Activities (Note A)		2,063,990,222	1,364,382,551	117,179,454	221,327,209
Employee Benefit Paid	19	(9,669,812)	(10,365,953)	(7,760,409)	(10,365,953)
Income Tax Paid		(166,395,574)	(68,601,333)	-	-
Net Cash Flow from/(used in) Operating Activities		1,887,924,835	1,285,415,264	109,419,045	210,961,255
Investing Activities					
Purchase of Investment Securities		(4,506,274,159)	(3,323,481,450)	(2,221,137,597)	(1,534,078,232)
Sale of Investment Securities		4,137,756,918	3,331,419,345	2,403,030,497	1,660,443,403
Purchase of Subsidiary		(360,201,553)	-	-	-
Purchase of Intangible Assets	5	(93,189,927)	(44,934,112)	(34,533,442)	(3,075,687)
Purchase of Property, Plant and Equipment	6	(94,061,284)	(75,691,066)	(22,816,289)	(17,970,443)
Proceeds from Disposal of Property, Plant and Equipment		176,225	190,800	176,225	190,800
Net Cash Flows used in Investing Activities		(915,793,780)	(112,496,483)	124,719,394	105,509,841
Financing Activities					
Repayment of Lease Facility	23	(104,180,332)	(70,903,295)	(78,795,310)	(45,116,604)
Settlement of Debenture		-	(106,337,309)	-	(106,337,309)
Sale of Share owning Subsidiary		69,712,437	-	69,712,437	-
Issue Of Shares		-	106,337,309	-	106,337,309
Short term Loan Obtained		100,000,000	-	100,000,000	-
Repayments of Short term Loan		(100,000,000)	-	(100,000,000)	-
Dividend Paid		(70,204,313)	(124,954,243)	-	-
Net Cash Flows from Financing Activities		(104,672,208)	(195,857,538)	(9,082,873)	(45,116,604)

Year ended 31 December 2024	Notes	Group 2024 Rs.	2023 Rs.	Company 2024 Rs.	2023 Rs.
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		867,458,847	977,061,243	225,055,564	271,354,493
NOTE A					
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations					
Profit from Operations	31	1,242,765,937	273,548,331	641,651,373	31,163,553
Depreciation	6	32,430,605	32,116,151	14,614,766	13,253,875
Amortisation	5	17,787,997	14,734,750	2,662,436	2,284,254
Depreciation of Right of use assets	23	97,214,004	69,963,832	63,745,418	35,316,588
Changes in Share of Profit of Equity Accounted Subsidiaries	8	-	-	(626,059,596)	(164,233,322)
Provision for Employee Benefit	19	28,691,107	32,740,436	17,260,156	17,757,390
(Increase)/Decrease in Debtors and Other Assets		(512,910,298)	(378,712,182)	(320,524,585)	(473,285,124)
Increase in Family Takaful (Long Term Insurance) Fund		(39,656,713)	(52,341,728)	-	-
Increase/(Decrease) in Net Unearned Contribution (Premium)	27	261,764,512	841,895,839	152,337,654	326,374,403
Increase/(Decrease) in IBNR & General Reserve Provision		102,725,914	84,685,072	79,950,518	65,361,911
Increase/(Decrease) in Claims Provision		476,172,983	454,503,830	(41,124,073)	138,084,762
Increase/(Decrease) in Other Creditors		444,192,043	57,054,049	204,804,421	284,105,342
Profit on Sale of Property, Plant & Equipment	26	(176,225)	(190,800)	(176,225)	(190,800)
Finance Cost	32	(90,618,595)	(52,893,667)	(76,833,649)	(45,051,449)
(Gain)/Loss on Fair Value of Investment Property	7	(1,500,000)	(450,000)	-	-
Exchange (Gain)/Loss	26	5,106,951	(12,271,362)	4,870,841	(9,614,172)
Cash Flows from/(used in) Operating Activities		2,063,990,222	1,364,382,551	117,179,454	221,327,209
Note B					
Increase/(Decrease) in Cash and Cash Equivalents					
Cash at bank and in Hand and Cash Equivalents	13	3,228,696,978	2,361,238,132	732,188,382	507,132,818
Cash and Cash Equivalents at the end of the Year		3,228,696,978	2,361,238,132	732,188,382	507,132,818
Cash and Cash Equivalents at the beginning of the year	13	2,361,238,132	1,384,176,889	507,132,818	235,778,325
Increase/(Decrease) in Cash and Cash Equivalents		867,458,847	977,061,243	225,055,564	271,354,493

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

SEGMENTAL ANALYSIS – STATEMENT OF FINANCIAL POSITION

Year ended 31 December 2024	Amana Takaful PLC Rs.	Amana Takaful Life PLC Rs.	Amana Takaful Maldives PLC Rs.	Amana Global Ltd. Rs.	Amana Sugurta Rs.	Adjustments Rs.	Group Rs.
Assets							
Intangible Assets	61,673,948	17,859,283	175,773,113	-	-	-	255,306,349
Property, Plant and Equipment	53,935,882	45,439,768	52,026,983	-	-	-	151,402,634
Deferred Tax Asset	-	-	-	-	-	-	-
Investment Property	-	152,500,000	-	-	-	-	152,500,000
Investment in Subsidiaries	3,467,386,441	-	360,201,553	-	-	(3,827,587,994)	-
Financial Assets	1,641,693,772	884,302,013	8,246,208,680	-	-	(131,944,069)	10,640,260,399
Retakaful (Reinsurance) Receivables	343,617,759	50,833,117	260,304,373	-	-	-	654,755,250
Contribution (Premium) Receivables	1,597,932,040	34,542,039	231,391,607	-	-	-	1,863,865,695
Other Assets	191,354,544	113,625,634	182,769,116	4,968,595	127,870	298,337	493,144,086
Other Assets – Unit Linked	-	-	-	-	-	-	-
Financial Assets – Unit Linked	-	3,587,817,010	-	-	-	-	3,587,817,010
Right Of Use Asset	346,310,045	35,619,380	240,752,068	-	-	-	622,681,493
Related Party Receivable	7,655,138	-	10,184,502	-	-	(17,839,639)	-
Cash and Bank Balances	102,324,123	50,255,577	229,154,630	159,080	451,563,002	-	833,456,413
Cash and Bank Balances – Unit Linked	-	12,606,847	-	-	-	-	12,606,847
Total Assets	7,813,883,692	4,985,400,668	9,988,766,625	5,127,675	451,690,873	(3,977,073,365)	19,267,796,176
Liabilities							
Insurance Contract Liabilities – Non Life	1,791,360,583	-	2,705,008,700	-	-	-	4,496,369,282
Insurance Contract Liabilities – Family Takaful Fund	-	264,694,774	-	-	-	-	264,694,774
Insurance Contract Liabilities – Family Takaful Unit Linked	-	3,574,638,570	-	-	-	-	3,574,638,570
Retakaful (Reinsurance) Payables	760,654,417	42,366,947	322,957,334	-	-	-	1,125,978,700
Employee Benefits	73,722,720	15,210,560	99,342,898	-	-	-	188,276,178
Deferred Tax Liability	-	-	276,634,474	-	-	-	276,634,474
Other Liabilities – Unit Linked	-	216,343,252	-	-	-	-	216,343,252
Other Liabilities	404,887,514	98,694,277	1,057,395,663	10,821,797	278,274	-	1,572,077,526
Related Party Payable	-	-	9,886,165	7,655,138	-	(17,541,302)	-
Subordinated Debt	323,624,312	98,044,450	-	-	-	(131,944,069)	289,724,694
Lease Liability	367,425,331	37,693,000	106,236,061	-	-	-	511,354,393
Total Liabilities	3,721,674,877	4,347,685,830	4,577,461,296	18,476,935	278,274	(149,485,371)	12,516,091,844
Shareholders' Equity							
Equity Attributable to Equity Holders of the Parent							
Stated Capital	1,966,338,648	500,000,000	202,370,719	37,125,000	468,872,612	(1,208,368,331)	1,966,338,648
Other Reserves	33,541,361	70,558,460	724,376,346	-	(13,046,304)	(295,216,141)	520,213,722
Revenue Reserves	2,092,328,806	67,156,377	4,484,558,265	(50,474,259)	(4,413,710)	(4,979,242,279)	1,609,913,199
	4,092,208,816	637,714,837	5,411,305,330	(13,349,259)	451,412,599	(6,482,826,752)	4,096,465,569
	-	-	-	-	-	-	-
Non Controlling Interest	-	-	-	-	-	2,655,238,763	2,655,238,763
Total Equity	4,092,208,816	637,714,837	5,411,305,330	(13,349,259)	451,412,599	(3,827,587,989)	6,751,704,332
Total Equity and Liabilities	7,813,883,692	4,985,400,668	9,988,766,625	5,127,675	451,690,873	(3,977,073,365)	19,267,796,176

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

SEGMENTAL ANALYSIS – STATEMENT OF PROFIT OR LOSS

Year ended 31 December 2024	Amana Takaful PLC Rs.	Amana Takaful Life PLC Rs.	Amana Takaful Maldives PLC Rs.	Amana Global Ltd. Rs.	Amana Sugurta Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	5,036,168,723	1,295,045,915	5,708,164,317	-		(9,139,655)	12,030,239,301
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(1,576,427,291)	(57,649,951)	(633,284,379)	-		-	(2,267,361,621)
Net Written Contribution (Premium)	3,459,741,431	1,237,395,964	5,074,879,938	-	-	(9,139,655)	9,762,877,679
Net Change in Reserve for							
Un-Earned Contribution (Premium)	(152,337,654)	(557,651)	(108,869,207)	-		-	(261,764,512)
Net Earned Contribution (Premium)	3,307,403,777	1,236,838,313	4,966,010,731	-	-	(9,139,655)	9,501,113,167
Other Income							
Income from Investments	200,720,864	584,316,243	267,857,433	-		(40,852,372)	1,012,042,168
Changes in Share of Profit of Equity Accounted Subsidiaries	626,059,596	-	-	-		(626,059,596)	-
Other Operating Income	226,795,743	58,468,482	240,611,930	1,675,632		(1,675,632)	525,876,156
Total Revenue	4,360,979,980	1,879,623,038	5,474,480,094	1,675,632	-	(677,727,256)	11,039,031,490
Benefits, Losses and Expenses							
Takaful (Insurance) Claims and Benefits-net	(2,359,829,490)	(519,187,946)	(3,039,901,022)	-		-	(5,918,918,459)
Acquisition Cost (Net of Reinsurance Commission)	(218,962,193)	(153,142,951)	(335,406,019)	-		-	(707,511,164)
Increase in Family Takaful (Long Term Insurance) Fund	-	(565,242,463)	-	-		-	(565,242,463)
Less : Indirect Expenses							
Other Operating and Administration Expenses	(1,059,514,305)	(610,551,665)	(790,878,567)	(3,119,380)	(4,413,710)	10,815,287	(2,457,662,339)
Amortisation	(2,662,436)	(1,503,691)	(13,621,870)	-		-	(17,787,997)
Depreciation	(78,360,184)	(16,769,657)	(34,013,291)	-		-	(129,143,132)
Profit / (Loss) from Operations	641,651,372	13,224,664	1,260,659,325	(1,443,748)	(4,413,710)	(666,911,969)	1,242,765,937
Finance Cost	(76,833,649)	(8,646,402)	(7,378,546)	-		2,240,000	(90,618,595)
Profit/(Loss) Before Taxation	564,817,723	4,578,262	1,253,280,779	(1,443,748)	(4,413,710)	(664,671,969)	1,152,147,342
Income Tax	-	-	(197,581,690)	-		-	(197,581,690)
Profit/(Loss) for the period	564,817,723	4,578,262	1,055,699,089	(1,443,748)	(4,413,710)	(664,671,969)	954,565,652

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

SEGMENTAL ANALYSIS – STATEMENT OF FINANCIAL POSITION

Year ended 31 December 2023	Amana Takaful PLC	Amana Takaful Life PLC	Amana Takaful Maldives PLC	Amana Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Intangible Assets	29,802,942	19,049,192	139,827,584	-	-	188,679,718
Property, Plant and Equipment	45,821,268	19,374,245	68,447,602	-	-	133,643,115
Deferred Tax Asset	-	-	-	-	-	-
Investment Property	-	151,000,000	-	-	-	151,000,000
Investment in Subsidiaries	2,726,560,589	-	-	-	(2,726,560,589)	-
Financial Assets	1,493,324,391	924,185,198	6,589,334,493	-	(161,985,785)	8,844,858,297
Retakaful (Reinsurance) Receivables	410,989,643	32,720,572	159,999,264	-	-	603,709,478
Contribution (Premium) Receivables	1,268,552,570	34,320,741	245,226,872	-	-	1,548,100,182
Other Assets	134,315,858	59,495,778	152,313,300	1,604,076	(683,939)	347,045,073
Financial Assets – Unit Linked	-	3,037,272,024	-	-	-	3,037,272,024
Right Of Use Asset	169,820,295	12,390,512	293,644,997	-	-	475,855,804
Related Party Receivable	6,176,825	-	6,544,053	-	(12,720,878)	-
Cash and Bank Balances	103,452,208	38,495,251	196,364,264	5,180,889	-	343,492,613
Cash and Bank Balances – Unit Linked	-	11,338,181	-	-	-	11,338,181
Total Assets	6,388,816,589	4,339,641,692	7,851,702,428	6,784,966	(2,901,951,190)	15,684,994,485
Liabilities						
Insurance Contract Liabilities – Non Life	1,600,280,056	-	2,231,023,176	-	-	3,831,303,232
Insurance Contract Liabilities – Family Takaful Fund	-	304,351,488	-	-	-	304,351,488
Insurance Contract Liabilities – Family Takaful Unit Linked	-	2,970,343,620	-	-	-	2,970,343,620
Retakaful (Reinsurance) Payables	691,271,052	30,869,728	129,495,355	-	-	851,636,135
Employee Benefits	59,440,598	12,696,932	101,489,589	-	-	173,627,118
Other Liabilities – Unit Linked	-	186,253,738	-	-	-	186,253,738
Other Liabilities	263,074,815	102,399,477	1,023,938,293	12,815,460	-	1,402,228,047
Related Party Payable	6,391,643	-	836,269	6,176,825	(13,404,737)	-
Subordinated Debt	339,453,478	108,532,397	-	-	(161,985,785)	286,000,089
Lease Liability	170,949,883	13,687,013	125,894,828	-	-	310,531,723
Total Liabilities	3,130,861,524	3,729,134,393	3,808,198,226	18,992,285	(175,390,522)	10,511,795,908
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,966,338,648	500,000,000	202,370,719	37,125,000	(739,495,719)	1,966,338,648
Other Reserves	33,541,361	47,043,117	1,053,130,987	-	(451,744,196)	681,971,269
Revenue Reserves	1,258,075,056	63,464,181	2,788,002,496	(49,332,320)	(3,401,794,059)	658,415,354
	3,257,955,065	610,507,298	4,043,504,202	(12,207,320)	(4,593,033,974)	3,306,725,271
	-	-	-	-	-	-
Non Controlling Interest	-	-	-	-	1,866,473,306	1,866,473,306
Total Equity	3,257,955,065	610,507,298	4,043,504,202	(12,207,320)	(2,726,560,668)	5,173,198,577
Total Equity and Liabilities	6,388,816,589	4,339,641,692	7,851,702,428	6,784,966	(2,901,951,190)	15,684,994,485

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

SEGMENTAL ANALYSIS – STATEMENT OF PROFIT OR LOSS

Year ended 31 December 2023	Amana Takaful PLC	Amana Takaful Life PLC	Amana Takaful (Maldives) PLC	Amana Global Ltd	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	4,298,057,697	1,150,656,357	4,760,501,368	-	(867,782)	10,208,347,640
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(1,353,303,572)	(56,457,232)	(613,091,779)	-	-	(2,022,852,582)
Net Written Contribution (Premium)	2,944,754,125	1,094,199,124	4,147,409,590	-	(867,782)	8,185,495,057
Net Change in Reserve for						
Un-Earned Contribution (Premium)	(326,374,403)	(511,865)	(515,009,572)	-	-	(841,895,839)
Net Earned Contribution (Premium)	2,618,379,722	1,093,687,260	3,632,400,018	-	(867,782)	7,343,599,218
Other Income						
Income from Investments	279,605,616	622,665,421	260,692,480	-	(78,443,981)	1,084,519,536
Changes in Share of Profit of Equity Accounted Subsidiaries	164,233,322	-	-	-	(164,233,322)	-
Other Operating Income	155,658,050	48,093,063	267,973,580	2,817,572	(2,607,232)	471,935,033
Total Revenue	3,217,876,711	1,764,445,744	4,161,066,078	2,817,572	(246,152,317)	8,900,053,788
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits-net	(1,984,987,390)	(573,960,682)	(2,762,475,839)	-	-	(5,321,423,912)
Acquisition Cost (Net of Reinsurance Commission)	(170,628,492)	(152,309,797)	(236,185,505)	-	-	(559,123,793)
Increase in Family Takaful (Long Term Insurance) Fund	-	(445,854,249)	-	-	-	(445,854,249)
Less : Indirect Expenses						
Other Operating and Administration Expenses	(980,242,559)	(515,606,784)	(687,795,062)	(3,119,380)	3,475,014	(2,183,288,771)
Amortisation	(2,284,254)	(1,541,358)	(10,909,139)	-	-	(14,734,750)
Depreciation	(48,570,463)	(15,853,025)	(37,656,494)	-	-	(102,079,982)
Profit / (Loss) from Operations	31,163,552	59,319,848	426,044,039	(301,809)	(242,677,303)	273,548,329
Finance Cost	(45,051,449)	(9,000,380)	(8,560,987)	-	9,719,147	(52,893,667)
Profit/(Loss) Before Taxation	(13,887,897)	50,319,468	417,483,053	(301,809)	(232,958,156)	220,654,663
Income Tax	-	-	(69,218,991)	-	-	(69,218,991)
Profit/(Loss) for the period	(13,887,897)	50,319,468	348,264,061	(301,809)	(232,958,156)	151,435,672

The notes on pages 86 to 156 are an integral part of these consolidated financial statements.

STATEMENT OF FINANCIAL POSITION OF FAMILY TAKAFUL (LIFE INSURANCE) – SUPPLEMENTAL

Year ended 31 December 2024	2024 Rs.	2023 Rs.
ASSETS		
Intangible Assets	17,859,283	19,049,192
Property, Plant and Equipment	45,439,768	19,374,245
Investment Property	152,500,000	151,000,000
Financial Assets	884,302,013	924,185,198
Right of use of Asset	35,619,380	12,390,512
Retakaful (Reinsurance) Receivables	50,833,117	32,720,572
Contribution (Premium) Receivables	34,542,039	34,320,741
Other Assets	113,625,634	59,495,778
Financial Assets – Unit Linked	3,587,817,010	3,037,272,024
Cash and Bank balances	50,255,577	38,495,251
Cash and Bank balances – Unit Linked	12,606,847	11,338,181
Total Assets	4,985,400,667	4,339,641,692
LIABILITIES		
Insurance Contract Liability – Family Takaful Fund	264,694,774	304,351,488
Insurance Contract Liability – Family Takaful – Unit Linked	3,574,638,570	2,970,343,620
Employee Benefits	15,210,560	12,696,932
Other Liabilities – Unit Linked	216,343,252	186,253,738
Subordinated Debt	98,044,450	108,532,397
Other Liabilities	141,061,224	133,269,205
Lease Liability	37,693,000	13,687,013
Total Liabilities	4,347,685,830	3,729,134,393
Shareholders' Equity		
Stated Capital	500,000,000	500,000,000
Other Reserves	70,558,460	47,043,117
Revenue Reserves	67,156,377	63,464,181
Total Equity	637,714,837	610,507,298
Total Equity and Liabilities	4,985,400,667	4,339,641,692

The above Long Term Insurance (Family Takaful) Balance Sheet is to be read in conjunction with the consolidated Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 General

Amana Takaful PLC (“Company”) is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These consolidated Financial Statements comprise the Company and its subsidiaries (collectively the ‘Group’ and individually ‘Group companies’).

1.2 Principal Activities and Nature of Operations

Company

During the year, the principal activity of the Company was General Takaful Insurance Business.

Subsidiary

The principal activity of Amana Global Limited (100% stake) is providing services such as Technical Support, Research and Development, under section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amana Takaful Maldives PLC, which is a subsidiary (55%) of Amana Takaful PLC was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 04 March 2010 to carry out General Takaful Business.

Amana Takaful Life PLC (76.3% stake) was incorporated on 10 July 2014 in which principal activity of the Company is Life Takaful insurance.

Amana Sugurta LLC, incorporated and acquired by Amana Takaful Maldives owning 79% of shareholding percentage in Uzbekistan. Amana Sugurta LLC is yet to receive the license for selling insurance business.

1.3 Date of Authorization for issue

The Consolidated and Separate Financial Statements of Amana Takaful PLC for the year ended 31 December 2024 was authorized for issue by the Board of Directors on 16 May 2024.

1.4 Responsibility for Financial Statements

The Board of Directors is responsible for these financial statements.

2. BASIS OF PREPARATION

The Group’s Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-life Insurance), Family Takaful (Life Insurance) and Shareholders’ Fund. The Statement of Financial position of the Family Takaful (Life Insurance) Fund represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group’s Statement of Financial Position includes the assets and liabilities of Amana Global Limited, Amana Takaful Maldives PLC and Amana Takaful Life PLC.

The Group’s Statement of Profit or loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders’ Funds and related expenses. The results of Amana Global Limited, Amana Takaful Maldives PLC and Amana Takaful Life PLC, are also included in the Group Statement of Profit or loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, (“Financial Statements”) as at and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (hereinafter referred to as SLFRS/ LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA), and comply with the requirements of the Companies Act, No. 7 of 2007, the Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto.

2.2 Basis of Measurement

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in Property, Plant and Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders’ liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognized at the present value
- Incurred by not reported / Incurred but not enough reported liability – actuarially determined values based on internationally accepted actuarial policies and methodologies
- Investment in subsidiaries, which are Equity accounted.

The Group presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These consolidated and separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 Use of Estimates and Judgments

In the process of applying the group accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognized in the consolidated Financial Statements. Further, the management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the Reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the consolidated and separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

The key items as such are discussed below.

2.4.1 Assumption and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2024 is included in the following notes:

2.4.1.1 Note 7 – Investment Property

The Group has determined the fair value of its investment properties based on

the valuation reports submitted by Mr. P. W. Senaratne (FIV, FPCS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of Long-Term Insurance Provision and General Insurance Provisions were carried out by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia and Actsure Lab (Pvt) Ltd respectively.

(i) Note 17 – General Insurance Provision

Non-life insurance contract liabilities are recognized when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the Reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognized in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalization or catastrophe reserves is recognized. The liabilities are derecognized when the contract expires, is discharged or is cancelled.

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally,

the reserve is released over the term of the contract and is recognized as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognized in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy.

(ii) Note 18 – Long Term Insurance Provision- (Family Takaful Fund)

Life insurance liabilities are recognized when contracts are entered into and premiums are receivable. At each Reporting date, an assessment is made of whether the recognized life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 18 to the Financial Statements.

2.4.1.3 Note 19 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

2.4.1.4 Note 33.2 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management

NOTES TO THE FINANCIAL STATEMENTS

judgment is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

2.4.1.5 Note 8 – Investment in Subsidiaries

Fair value of Investment Transferred

The determination of fair value of investment transferred recorded on the statement of Profit or loss and Other Comprehensive Income and the corresponding entry being recorded in investment in Subsidiary on the statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgment is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

2.4.1.6 Note 6.6.5 – Revaluation

The Motor Vehicles are measured at revalued amounts with changes in fair value being recognised in the Statement of Changes in Equity.

2.5 Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.

- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Property, plant and equipment
- Note 7 – Investment Property
- Note 9 & 12 – Financial Assets and Financial Assets Unit Linked

2.6 Segment Reporting

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure. Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund management services of Shareholders' Fund and Technical Services.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

These Financial Statements are presented on the assumption that the Group is a going concern. The Directors have neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations in all sectors of the Group. There are no going concern issues identified during the current financial year 2024.

2.7.1 Compliance with Risk Based Capital Solvency Margin Rules

As per the RBC Solvency Margin Rule, an insurance company engaged in either long term insurance business or general insurance business is required to maintain a Total Available Capital (TAC) of Rs.500 million and capital adequacy ratio (CAR) of 120% minimum with supervisory buffer level of 160%.

The company was able to maintain the required TAC and the minimum CAR of 120% during the full financial year 2024.

The company also was able to maintain the required TAC and CAR level of 160% in all quarters till the authorization date.

3. SUMMARY OF MATERIAL ACCOUNTING POLICY INFORMATION

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate Financial Statements except for note 3.1.3 (equity account of investment in subsidiary)

The comparative information has been re-classified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

3.1 Basis of Consolidation

3.1.1 Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognized in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognized in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognized in profit or loss.

3.1.2 Non-Controlling Interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the Balance sheet date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

3.1.3 Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

Application of Equity Accounting for Investment in Subsidiaries in Separate Financial Statements

The Company has voluntarily changed the accounting policy on accounting for Investment in Subsidiaries, from cost model to Equity Accounting model in compliance to LKAS 27 – "Separate Financial Statements" with effect from 31st December 2022. This policy change was done to provide more reliable and relevant information on the financial position and financial performance of the Company to the economic decision-making needs of users.

As per LKAS 8 – "Accounting Policies, Change in Accounting Estimates and Errors", the change in accounting policy from cost model to Equity Accounting model requires to be applied retrospectively by adjusting the opening balance of each affected component of equity for the earliest prior period presented and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied. Accordingly Statement of Financial Position and Statement of Changes in Equity as at 31st December 2022 has been presented with restated balances which is the opening balance of earliest prior period presented.

3.1.4 Loss of control

When the Group loses control over a subsidiary, it derecognizes the assets and liabilities of the subsidiary, and any related NCI and other components

of equity. Any resulting gain or loss is recognized in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

3.1.5 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

3.1.6 Common Control Transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

The acquirer of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognized in Profit or Loss; instead, the result of the transaction is recognized in equity as arising from a transaction with shareholders.

3.1.7 Common control transactions in separate financial statements

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the investment shall be measured at the fair value of the consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition.

When the purchase consideration does not correspond to the fair value of the investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of

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equity for a subsidiary, or an increase in the investment held or a distribution received by the parent.

3.2 Foreign Currency

3.2.1 Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognized in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognized in OCI, are reclassified to profit or loss); are recognized in OCI:

3.2.2 Foreign operations

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognized in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form, part of the net investment in the foreign operation. Accordingly, such differences are recognized in OCI and accumulated in the translation reserve.

3.3 Income Tax

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity or in OCI.

3.3.1 Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in

accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and the amendments thereto.

3.3.2 Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the Reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax assets and unused tax losses can be utilised. The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the Reporting date.

3.4 Intangible Assets

3.4.1 Research & Development

Expenditure on development activities is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition,

development expenditure is measured at cost less accumulated amortization and any accumulated impairment losses. Amortization is recognized in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognized.

Research and other development expenditure are recognized in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

3.4.2 Other Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortization methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortization method
Computer Software	08-20 years	Straight line method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the asset is derecognised.

3.5 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period, to which it relates, on a straight-line basis.

3.6 Salvage Stock

Salvage Stocks are valued at since realized/realizable value.

3.7 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each Reporting date or more frequently when an indication of impairment arises during the Reporting year. Impairment occurs when there

is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognized as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognized when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss and Other Comprehensive Income.

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3.8 Other Assets & Receivables

Other assets & receivables are stated at their estimated realizable value.

3.9 Property, Plant and Equipment

3.9.1 Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant & Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant & Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group companies have revalued its entire class of motor vehicles as at 31 December 2024 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The company have revalued its entire class of motor vehicles as at 31 December 2021. The motor vehicles are revalued every three years on a rollover basis / Completion of three year, to ensure that the carrying amounts do not differ materially from the fair value at the Reporting date.

An item of Property, Plant & Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of

Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

3.9.2 Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant & Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

3.9.3 Depreciation

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all Property, Plant & Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant & Equipment are as follows:

Class	Useful Life
Motor Vehicles	04 – 05 Years
Computer Equipment	03 – 05 Years
Other Equipment	04 – 05 Years
Furniture & Fittings	05 – 10 Years
Leasehold vehicle	04 – 05 Years

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

3.10 Financial Assets

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortized cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments, and derivative financial instruments.

The Group's existing types of financial instruments and their classifications are shown in the table below.

Financial Asset	Category
Treasury Bonds	Available for Sale
Treasury Bills	Loans and Receivables
Equity Shares	Fair Value Through Profit or Loss and Available-for-Sale
Unit Trust	Available-for-Sale
Gold	Fair Value Through Profit
Term Deposits / Mudharabah Deposits	Loans and Receivables
Loans & Receivable	Loans and Receivables
Financial Liability	Category
Murabaha Facility/Fixed Term	Other Financial Liabilities

3.11 Recognition of financial assets

The Group initially recognizes loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value through Profit or Loss) are recognized initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

3.11.1 Measurement

(a) Financial assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognizing gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed, and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognized in the Statement of Profit or Loss and Other

Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realized gain and loss are recognized in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognized at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortized cost, using the effective interest rate method. Gains and losses are recognized in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognized or impaired, as well as through the amortization process.

(c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

(d) Available-For-Sale financial assets

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories.

These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value.

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale Reserve until the investment is derecognized or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are transferred to the Statement of Profit or Loss and Other Comprehensive Income.

(e) Other Financial Liabilities

Other Financial Liabilities are non-derivative financial liabilities, which are initially recognized at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortized cost using the effective interest method.

3.11.2 Impairment of financial assets

Financial assets, not classified as at fair value through profit or loss, are assessed at each Reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- Observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

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(a) Assets carried at amortized cost

If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognized in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

(b) Available-For-Sale financial investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortization) and its current fair value, less any impairment loss previously recognized in other comprehensive income, is transferred from equity to the Statement of Profit or Loss and Other Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognized in the Statement of Profit or Loss and Other Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Profit or Loss and Other Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognized in the Statement of Profit or Loss and Other Comprehensive Income.

(c) Financial assets carried at cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

3.12 De-recognition of financial assets

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when,

- The rights to receive cash flows from the asset have expired
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- The Group has transferred its rights to receive cash flows from the asset and either:
 - Has transferred substantially all the risks and rewards of the asset, or
 - Has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognizes a financial liability when its contractual obligations are discharged or cancelled or expire.

3.13 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the Reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant & Equipment up to the date of change.

3.14 Leases

Recognition

At inception of a contract, the Group assess whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys

the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assess whether:

- the contract involves the use of an identified asset
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct the use of the asset.

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use assets of the Group consists of branch premises and vehicles.

Measurement

The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred.

Where the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right of use assets are subject to impairment.

Estimating the incremental borrowing rate

As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the

Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Group estimates the IBR using observable input when available and is required to make certain entity-specific adjustments

3.15 Liabilities and Provisions (Excluding Insurance Contracts)

Liabilities

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statement.

Provisions (Excluding Insurance Contracts)

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognized as finance cost.

3.16 Employee Benefits

Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated and Separate Financial Statements in respect of defined benefit plans is the present value of the defined benefit

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obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the Reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past Service Costs are recognized as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

3.16.1 Defined Contribution Plans – Employees' Provident Fund & Employees' Trust Fund

Employees are eligible for Employees' Provident Fund contributions and Employees' Trust Fund contributions in-line with the respective statutes and regulations. The Group contributes 12 % and 3 % of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

3.16.2 Short-term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.17 Impairment of Non-Financial Assets

The Group assesses at each Reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss and Other Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each Reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss and Other Comprehensive Income, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

3.18 General Takaful Business (Non-Life Insurance Business)

3.18.1 Gross Written Contribution (Gross Written Premium)

Contributions (Premiums) are recognized earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a pro rata basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

3.18.2 Unearned Contribution (Premium)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Allocation Fee).

3.18.3 Unexpired Risk

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31st December 2024.

3.18.4 Outward Retakaful (Reinsurance)

Contribution (premium) ceded to Retakaful companies (Reinsurers), is recognized as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

3.18.5 Claims

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognized in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ('IBNR') and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount

is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

3.18.6 Deferred Acquisition Cost and Deferred Income

Acquisition cost / Income is directly attributable to the profit or loss when policy is underwritten.

3.19 Family Takaful Business (Long-Term Insurance Business)

3.19.1 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognized as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognize profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognized in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

3.19.2 Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognized when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

3.19.3 Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

3.19.4 Technical Provisions – Family Takaful Business provision and provision for Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

3.20 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

3.20.1 Wakala Fee (Agency/ Allocation Fee)

3.20.1.1 Wakala Fee (Agency/Allocation Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for Allocation Fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis.

➤ General Takaful (Insurance) Business

The Shareholders' Fund is entitled for Allocation Fee on contribution (premium) of General Takaful (insurance) certificates. However, the Shareholders' Fund has charged a reduced allocation fee at the rates given below in order strengthen the General Takaful (insurance) Fund.

NOTES TO THE FINANCIAL STATEMENTS

- Medical Takaful (Insurance) Policies
10% & 37.5%
- All other General Takaful (Insurance) Policies
20% - 50%
- Family Takaful (Life Insurance) Business

The Allocation fee is charged on contribution of Family Takaful Certificates, at the following rates:

Family Takaful Products

First Year	80%
Second Year	45%
Third Year & after	02%
Mortgage Family Takaful (Insurance) Policies	20%
Group Family Takaful (Insurance) Policies	30%

3.20.1.2 Wakala Fee (Agency/ Allocation Fee) on Investment Income

The Shareholders' fund is entitled for allocation fee of 50% on net investment income.

3.20.2 Investment Income

3.20.2.1 Interest Income

Interest income is recognized in the Statement of Profit or Loss and Other Comprehensive Income, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognized as an adjustment to the effective interest rate of the instrument.

3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

3.20.2.3 Realised/Unrealised Gains and (Losses)

Realized gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on

investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortized cost and are recorded on occurrence of the sale transaction.

3.21 Others

Other income is recognized on an accrual basis.

3.22 Expenditure Recognition

Expenses are recognized in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant & Equipment in a state of efficiency, has been charged to the Statement of Profit or Loss and Other Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance, and hence such presentation method is adopted.

3.23 Events after the Reporting Date

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the financial statements are authorized for issue. All material events after the reporting date have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

3.24 Capital Commitments and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective notes to the financial statements.

3.25 Stated Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognized as a deduction from equity, net of any tax effects.

3.26 Earnings per share (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS 33.

3.27 Statement of Cash Flows

The Cash Flow Statement has been prepared using the direct Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 'Statement of Cash flows.

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

4. STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT REPORTING DATE

The new and amended standards and interpretations that are issued up to the date of issuance of Amana Takaful PLC's financial statements but are not effective for the current annual reporting period, are disclosed below. Amana Takaful PLC intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

4.1 SLFRS 17 Insurance Contracts:

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2026, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17.

4.2 SLFRS 9 Financial Instruments

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: recognition and Measurement. SLFRS includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39. SLFRS 9 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

The Group meets the eligibility criteria of the temporary exemption from SLFRS 9 and intend to defer the application of SLFRS 9 until annual reporting periods beginning on or after 1 January 2026.

4.3 Lack of exchangeability – Amendments to LKAS 21

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2025. Early adoption is permitted, but will need to be disclosed. When applying the amendments, an entity cannot restate comparative information.

NOTES TO THE FINANCIAL STATEMENTS

5. INTANGIBLE ASSETS

5.1 GROUP

	Group 2024 Rs.	2023 Rs.
Cost		
Balance at the beginning of the year	337,046,608	316,262,252
Additions during the year	93,189,927	44,934,112
Exchange gain /(loss)	(23,349,435)	(24,149,756)
Balance at the end of the year	406,887,100	337,046,608
Amortisation		
Balance at the beginning of the year	148,366,890	141,272,148
Amortisation charge for the year	17,787,997	14,734,750
Exchange gain /(loss)	(14,574,136)	(7,640,008)
Balance at the end of the year	151,580,751	148,366,890
Carrying Amount	255,306,349	188,679,718

5.2 Company

	Group 2024 Rs.	2023 Rs.
Cost		
Balance at the beginning of the year	64,775,969	61,700,282
Additions during the year	34,533,442	3,075,687
Balance at the end of the year	99,309,411	64,775,969
Amortisation		
Balance at the beginning of the year	34,973,027	32,688,773
Amortisation charge for the year	2,662,436	2,284,254
Balance at the end of the year	37,635,463	34,973,027
Carrying value	61,673,948	29,802,942

5.3 Acquisition of Intangible Assets during the year

During the financial year, the Group has acquired/ capitalized Intangible Assets (Computer Software) to the aggregate value of Rs.93,189,927/- (2023 - 44,934,112/-).

5.4 Fully Amortised Intangible Assets in use

The Group Intangible Assets includes fully amortised computer software which are in the use of normal business activities having an initial cost of Rs.17,582,631/- (2023 - Rs.17,582,631/-).

5.5 Title restriction on Intangible Assets

There were no restrictions that existed on the title of the Intangible Assets of the Group as at 31st December 2024.

5.6 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed the potential impairment indicators of Intangible Assets as at 31st December 2024. Based on the assessment, no impairment indicators were identified.

6. PROPERTY, PLANT AND EQUIPMENT

6.1 Cost/Valuation

	Balance as at 01.01.2024 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Exchange Movement Rs.	Total as at 31.12.2024 Rs.
Freehold (6.1.1)	511,828,173	94,061,284	(7,646,914)	(44,878,740)	553,363,803
	511,828,173	94,061,284	(7,646,914)	(44,878,740)	553,363,803

6.1.1 Freehold Property, Plant and Equipment

Group Cost/Valuation	Balance as at 01.01.2024 Rs.	Additions Rs.	Disposals Rs.	Increase/ Decrease in Revaluation Rs.	Exchange Movement Rs.	Total as at 31.12.2024 Rs.
Motor Vehicles	21,318,667	-	(193,163)	1,500,000	(204,494)	22,421,010
Computer Equipment	179,754,438	60,212,680	(6,073,864)	-	(46,294,989)	187,598,265
Other Equipment	138,329,610	18,632,779	(967,191)	-	2,613,111	158,608,310
Furniture and Fittings	172,425,458	15,215,825	(412,696)	-	(992,368)	186,236,219
Total Value of Depreciable Assets	511,828,173	94,061,284	(7,646,914)	1,500,000	(44,878,740)	554,863,804

Depreciation	Balance as at 01.01.2024 Rs.	Charge for the Year Rs.	Disposals Rs.	Increase/ Decrease in Revaluation Rs.	Exchange Movement Rs.	Total as at 31.12.2024 Rs.
Motor Vehicles	10,316,466	3,775,969	(106,255)	(7,822,175)	(204,494)	5,959,512
Computer Equipment	104,061,075	12,538,410	(8,602,006)	-	11,994,958	119,992,437
Other Equipment	125,652,684	10,875,914	(967,191)	-	279,386	135,840,793
Furniture and Fittings	138,154,833	5,240,311	(410,787)	-	(1,315,930)	141,668,427
Total Depreciation	378,185,058	32,430,605	(10,086,239)	(7,822,175)	10,753,920	403,461,169
Carrying Amount	133,643,115					151,402,634

6.1.2 Net Book Values

	2024 Rs.	2023 Rs.
Freehold	151,402,634	133,643,115
Total Carrying Amount of Property, Plant and Equipment	151,402,634	133,643,115

6.1.3 Acquisition of Property, Plant and Equipment during the year - Group

During the year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs.94,061,284/- (2023 - Rs.75,691,066/-) for cash considerations.

6.1.4 Fully Depreciated Property, Plant and Equipment in use - Group

Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.271,098,580/- (2023 - Rs.266,105,326/-).

NOTES TO THE FINANCIAL STATEMENTS

6.2 Title restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Group as at the reporting date.

6.3 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2024. Based on the assessment, no impairment indicators were identified.

6.4 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.5 Temporarily idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2024.

6.6 Company

Cost/Valuation	Balance as at 01.01.2024	Additions	Disposals	Total as at 31.12.2024
	Rs.	Rs.	Rs.	Rs.
Freehold (6.6.1)	321,497,572	22,816,289	(193,163)	344,120,698
	321,497,572	22,816,289	(193,163)	344,120,698

6.6.1 Freehold Property, Plant and Equipment

Cost/Valuation	Balance as at 01.01.2024	Additions	Disposals	Total as at 31.12.2024
	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	6,705,000	-	(193,163)	6,511,837
Computer Equipment	88,230,178	9,838,820	-	98,068,998
Other Equipment	106,742,833	8,650,346	-	115,393,180
Furniture and Fittings	119,819,561	4,327,123	-	124,146,683
Total Value of Depreciable Assets	321,497,572	22,816,289	(193,163)	344,120,698

Depreciation	Balance as at 31.12.2024	Charge for the years	Disposals	Total as at 31.12.2024
	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	2,886,101	1,270,492	(106,255)	4,050,338
Computer Equipment	73,096,453	4,586,853	-	77,683,306
Other Equipment	98,409,148	8,345,579	-	106,754,727
Furniture and Fittings	101,284,602	411,842	-	101,696,444
Total Depreciation	275,676,304	14,614,766	(106,255)	290,184,815
Carrying Amount	45,821,268			53,935,882

6.6.2 Net Book Values

	2024	2023
	Rs.	Rs.
Freehold	53,935,882	45,821,268
Total Carrying Amount of Property, Plant and Equipment	53,935,882	45,821,268

6. PROPERTY, PLANT AND EQUIPMENT (Contd...)

6.6.3 Acquisition of Property, Plant and Equipment during the year - Company

During the year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs.22,816,289/- (2023 Rs.17,970,443/-) for cash considerations.

6.6.4 Fully Depreciated Property, Plant and Equipment in use - Company

Company Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.249,164,482/- (2023 - Rs.208,666,759/-).

6.6.5 Revaluation

Company

In 2021, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve as at 31.12.2021. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

	2024	2023
	Rs.	Rs.
Cost	5,320,000	5,320,000
Accumulated depreciation	(4,564,922)	(4,364,922)
Carrying Value	755,078	955,078

Other Group Companies

Amana Takaful Life PLC

In 2024, Amana Takaful Life PLC's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve as at 31.12.2024. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

	2024	2023
	Rs.	Rs.
Cost	17,820,000	3,849,377
Accumulated depreciation	(12,387,097)	(3,312,336)
Carrying Value	5,432,903	537,041

6.7 Title restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

6.8 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2024. Based on the assessment, no impairment indicators were identified.

6.9 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.10 Temporarily idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31 December 2024.

NOTES TO THE FINANCIAL STATEMENTS

7. INVESTMENT PROPERTY

Year ended 31 December 2024	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Balance as at 1st January	151,000,000	150,550,000	-	-
Disposals during the year	-	-	-	-
Net Gain/ Loss from Fair Value Adjustment	1,500,000	450,000	-	-
Balance as at 31st December	152,500,000	151,000,000	-	-

7.1 Amana Takaful Life PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs.50,721/- (2023 - Rs.195,426/-)

7.2 Fair value hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr. P. W. Senaratne (FIV, FPCS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Company's investment property portfolio annually. The Company's entire class of investment properties were revalued on 31 December 2024.

The Group fair value measurement for investment property of Rs.152,500,000/- (2023- Rs.151,000,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

7.3 Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market approach of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows :

Address	Extent	Fair Value 2024 Rs.	Per Perch/ Sq. ft. Value Rs.	Fair Value 2023 Rs.	Per Perch/ Sq. ft. Value Rs.
Amana Takaful Life PLC					
01) 451, Old Moor Street, Colombo 12.	- Land	5.5 Perches	139,500,000	25,350,000 per Perch	137,500,000 25,000,000 per Perch
	- Building	2,610 sq. ft	13,000,000	5,000 per sq. ft	13,500,000 5,172 per sq. ft

7.4 Sensitivity

The Group investment property reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

	31 December 2024		31 December 2023	
	Increase Rs.	Decrease Rs.	Increase Rs.	Decrease Rs.
Amana Takaful Life PLC				
Per Perch Value (Rs.100,000 movemnt)	550,000	(550,000)	550,000	(550,000)
Per square Feet (Rs.1000 movement)	2,610,000	(2,610,000)	2,610,000	(2,610,000)

8. INVESTMENTS IN SUBSIDIARIES

Company	% Holding		Number of Shares		Equity Accounted	
	2024	2023	2024	2023	2024	2023
					Rs.	Rs.
Amana Global Ltd.						
Amana Global Ltd.	100%	100%	33,333	33,333	37,125,000	37,125,000
Amana Takaful Life PLC	76.3%	82.3%	38,150,000	41,150,000	453,494,415	502,447,500
Amana Takaful Maldives PLC	55%	55%	11,166,500	11,166,500	3,013,892,026	2,224,113,089
Provision for Amana Global Ltd.	-	-	-	-	(37,125,000)	(37,125,000)
					3,467,386,441	2,726,560,589

8.1 Subsidiary Movement

	Balance 31.12.2023	Change in Share of investee's Profit	Change in Share of investee's OCI	Disposal of shares	Balance as at 31.12.2024
	Rs	Rs	Rs		Rs
Amana Takaful Maldives PLC	2,224,113,089	504,388,474	285,390,463	-	3,013,892,026
Amana Takaful Life PLC	502,447,500	3,493,220	17,266,132	(69,712,437)	453,494,415
Net	2,726,560,589	507,881,694	302,656,595	(69,712,437)	3,467,386,441

8.2 Sensitivity

The Investment in subsidiaries held at Maldives would have an affected by foreign currency translation by the amounts shown below.

Amana Takaful Maldives PLC	31 December 2024		31 December 2023	
	Increase	Decrease	Increase	Decrease
	Rs.	Rs.	Rs.	Rs.
Per 10 rupee change (For every 1000 net asset movement)	10,000	(10,000)	10,000	(10,000)

8.3 Principal place of business of Subsidiary company Amana Takaful Life PLC and Amana Global Ltd is in Sri Lanka. The principal place of business of Amana Takaful Maldives PLC is in Maldives. The principal place of business of Amana Sugurta JSC is in Uzbekistan.

8.4 During Financial Year 2024 The Group has acquired a investment in subsidiary Amana Sugurta LLC, The Said company is incorporated and acquired by Amana Takaful Maldives owning 79% of share holding percentage in Uzbekistan. Amana Sugurta LLC is yet to receive the licence for selling insurance business.

9. FINANCIAL ASSETS

Year ended 31 December 2024	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Financial Assets at Fair Value Through Profit & Loss (9.2.1)	585,068,939	424,354,173	112,220,153	71,295,112
Available For Sale Financial Assets (9.2.2)	3,675,953,517	2,975,522,915	117,203,689	108,008,229
Loans and Receivable (9.2.3)	6,379,237,943	5,444,981,209	1,412,269,930	1,314,021,050
	10,640,260,399	8,844,858,297	1,641,693,772	1,493,324,391

NOTES TO THE FINANCIAL STATEMENTS

9.1 Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

9.2 Classification of Financial Assets

9.2.1 Financial Assets at Fair Value Through Profit & Loss

As at 31st December	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Investments in Equity Securities (9.3.1)	282,583,507	277,725,423	87,662,653	49,792,612
Investments in Gold	302,485,432	146,628,750	24,557,500	21,502,500
	585,068,939	424,354,173	112,220,153	71,295,112

9.2.2 Available For Sale Financial Assets

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Investments in Equity Securities - Quoted (9.3.2)	3,468,194,302	2,787,829,229	-	-
Unit Trust			-	-
- Candor Balance Fund	21,272,740	15,886,294	-	-
- Candor Income Fund	30,075,280	27,743,757	-	-
- Wealth Management NDB	155,886,195	143,538,635	116,678,689	107,483,229
Investments in Equity Securities - Unquoted (9.3.3) (**)	525,000	525,000	525,000	525,000
	3,675,953,517	2,975,522,915	117,203,689	108,008,229

** The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

9.2.3 Loans and Receivable

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Repurchase Agreements	2,294,033,850	2,039,187,999	644,819,607	531,453,134
Fixed Term Investments	4,045,653,065	3,388,070,089	746,054,560	767,387,331
Advances to Company Officers (9.2.4)	39,551,028	17,723,121	21,395,763	15,180,585
	6,379,237,943	5,444,981,209	1,412,269,930	1,314,021,050

Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000.

**The Group Loans and Receivables includes a provision of Rs.75,658,959/-(2023-75,658,959/-).The said provision will be revised upon recovery.

9. FINANCIAL ASSETS (Contd...)

9.2.4 Advances to Company Officers

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Balance at the beginning of the year	17,723,121	18,425,250	15,180,585	15,882,715
Loans granted during the year	32,102,188	30,102,188	27,534,522	27,534,522
Less : Repayments during the year	(10,274,281)	(30,804,317)	(21,319,345)	(28,236,652)
Balance at the end of the year	39,551,028	17,723,121	21,395,763	15,180,585

9.3 Investments in Equity Securities

9.3.1 Quoted

9.3.1.1 Financial Investments at Fair Value Through Profit or Loss

	Group				Company			
	2024		2023		2024		2023	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
ACL Cables PLC	42,481	5,033,999	52,481	3,610,693	42,481	5,033,999	52,481	3,610,693
Amana Bank PLC	824,274	21,105,232	7,992,740	18,383,302	65,100	1,594,448	401,000	922,300
Chevron Lubricants Lanka PLC	42,500	6,800,000	30,000	2,709,000	42,500	6,800,000	30,000	2,709,000
Watawala Plantations	35,000	4,392,500	-	-	35,000	4,392,500	-	-
Haycarb	27,304	2,329,031	-	-	27,304	2,329,031	-	-
Royal Ceramic	179,894	7,825,389	-	-	179,894	7,825,389	-	-
Dhivehi Raajjeyge Gulhun PLC	2,320	6,950,829	2,270	6,458,882	-	-	-	-
Kelani Valley Plantations PLC	40,399	3,902,543	18,116	1,315,222	40,399	3,902,543	18,116	1,315,222
Ooredoo Maldives PLC	100,100	155,796,486	100,000	194,144,012	-	-	-	-
Maldives Islamic Bank PLC	6,572	12,662,757	6,372	9,868,915	-	-	-	-
Dialog Axiata PLC	792,977	9,277,831	692,977	6,236,793	792,977	9,277,831	692,977	6,236,793
Hemas Holdings	96,960	10,011,120	75,000	5,002,500	96,960	10,011,120	75,000	5,002,500
Lanka Tiles	69,773	4,074,743	94,773	3,999,421	69,773	4,074,743	94,773	3,999,421
Ceylon Grain Elevators PLC	22,136	4,194,772	22,136	3,508,556	22,136	4,194,772	22,136	3,508,556
Tokyo Cement	248,274	15,119,887	196,074	7,450,812	248,274	15,119,887	196,074	7,450,812
Teejay Lanka PLC	183,745	9,628,238	183,745	6,669,944	183,745	9,628,238	183,745	6,669,944
Expolanka Holdings PLC	-	-	24,205	3,467,366	-	-	24,205	3,467,366
Bairaha Farms PLC	18,903	3,478,152	18,903	3,506,507	18,903	3,478,152	18,903	3,506,507
Srilanka Telecom PLC	-	-	15,000	1,393,500	-	-	15,000	1,393,500
At Fair Value Through Profit or Loss		282,583,507		277,725,423		87,662,653		49,792,612

NOTES TO THE FINANCIAL STATEMENTS

9.3.2 Quoted

	Group				Company			
	2024		2023		2024		2023	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Maldives Islamic Bank PLC	1,800,000	3,468,194,302	1,800,000	2,787,829,229	-	-	-	-
Available for Sale Investments at Fair Value		3,468,194,302		2,787,829,229		-		-

9.3.3 Unquoted

Available for sale financial assets re classified to profit or loss

	Group				Company			
	2024		2023		2024		2023	
	Number of Shares	Cost Rs	Number of Shares	Cost Rs	Number of Shares	Cost Rs	Number of Shares	Cost Rs
Cleanco (Pvt) Ltd.	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Available for Sale Investments at Fair Value		525,000		525,000		525,000		525,000

9.4 Financial Instruments – Fair Value and Risk Management

Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

9. FINANCIAL ASSETS (Contd...)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

9.4.1 Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities.

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short term in nature or re-prices to current market rates frequently.

31st December 2024 Group	Carrying Amount			Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Total
Financial assets measured at fair value							
Equity securities – Quoted	-	3,468,194,302	282,583,507	3,750,777,809	3,750,777,809	-	3,750,777,809
Equity Securities – Unit Linked	-	-	96,135,371	96,135,371	96,135,371	-	96,135,371
Unit Trust	-	207,234,215	-	207,234,215	-	207,234,215	207,234,215
Unit Trust – Unit Linked	-	42,866,057	-	42,866,057	-	42,866,057	42,866,057
Investment In Gold	-	-	521,743,848	521,743,848	-	521,743,848	521,743,848
	-	3,718,294,574	900,462,726	4,618,757,300	3,846,913,180	771,844,120	4,618,757,300
Financial assets not measured at fair value							
Repurchase Agreements	2,294,033,850	-	-	2,294,033,850	-	-	-
Equity securities – Unquoted	-	525,000	-	525,000	-	-	-
Fixed Term Investments	4,045,653,065	-	-	4,045,653,065	-	-	-
Advances to Company Officers	39,551,028	-	-	39,551,028	-	-	-
Repurchase Agreements – Unit Linked	103,799,215	-	-	103,799,215	-	-	-
Mudharaba Investments – Unit Linked	3,125,757,950	-	-	3,125,757,950	-	-	-
	9,608,795,108	525,000	-	9,609,320,108	-	-	-
	9,608,795,108	3,718,819,574	900,462,726	14,228,077,408	3,846,913,180	771,844,120	4,618,757,300

NOTES TO THE FINANCIAL STATEMENTS

9.4.2

31st December 2024 company	Loans and receivables	Carrying Amount		Total	Fair value		Total
		Available for sale	Fair value through profit or loss		Level 1	Level 2	
Financial assets measured at fair value	-	-	87,662,653	87,662,653	87,662,653	-	87,662,653
Equity securities - Quoted	-	-	87,662,653	87,662,653	87,662,653	-	87,662,653
Financial assets not measured at fair value							
Repurchase Agreements	644,819,607	-	-	644,819,607	-	-	-
Fixed Term Investments	746,054,560	-	-	746,054,560	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-
Advances to Company Officers	21,395,763	-	-	21,395,763	-	-	-
Fixed Term Investments - Unit Linked	-	116,678,689	-	116,678,689	-	-	-
Investment In Gold	-	-	24,557,500	24,557,500	-	-	-
	1,412,269,930	117,203,689	24,557,500	1,554,031,120	-	-	-
	1,412,269,930	117,203,689	112,220,153	1,641,693,772	87,662,653	-	87,662,653

9.4.3

31st December 2023 Group	Loans and receivables	Carrying Amount		Total	Fair value		Total
		Available for sale	Fair value through profit or loss		Level 1	Level 2	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets measured at fair value							
Equity securities - Quoted	-	2,787,829,229	277,725,423	3,065,554,652	3,065,554,652	-	3,065,554,652
Equity Securities - Unit Linked	-	-	65,239,199	65,239,199	65,239,199	-	65,239,199
Unit Trust	-	187,168,687	-	187,168,687	-	187,168,687	187,168,687
Unit Trust - Unit Linked	-	39,542,958	-	39,542,958	-	39,542,958	39,542,958
Investment In Gold	-	-	256,657,500	256,657,500	-	256,657,500	256,657,500
	-	3,014,540,874	599,622,122	3,614,162,996	3,130,793,851	483,369,145	3,614,162,996

9. FINANCIAL ASSETS (Contd...)

31st December 2023 Group	Carrying Amount			Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets not measured at fair value							
Repurchase Agreements	2,039,187,999	-	-	2,039,187,999	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-
Fixed Term Investments	3,388,070,089	-	-	3,388,070,089	-	-	-
Advances to Company Officers	17,723,121	-	-	17,723,121	-	-	-
Repurchase Agreements - Unit Linked	95,086,651	-	-	95,086,651	-	-	-
Fixed Term Investments - Unit Linked	2,727,374,466	-	-	2,727,374,466	-	-	-
	8,267,442,326	525,000	-	8,267,967,326	-	-	-
	8,267,442,326	3,015,065,874	599,622,122	11,882,130,322	3,130,793,851	483,369,145	3,614,162,996

9.4.4

31st December 2023 Company	Carrying Amount			Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Equity securities - Quoted							
	-	-	49,792,612	49,792,612	49,792,612	-	49,792,612
	-	-	49,792,612	49,792,612	49,792,612	-	49,792,612
Financial assets not measured at fair value							
Repurchase Agreements	531,453,134	-	-	531,453,134	-	-	-
Mudharaba Investments	767,387,331	-	-	767,387,331	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-
Advances to Company Officers	15,180,585	-	-	15,180,585	-	-	-
Fixed Term Investments - Unit Linked	-	107,483,229	-	107,483,229	-	-	-
Investment In Gold	-	-	21,502,500	21,502,500	-	-	-
	1,314,021,050	108,008,229	21,502,500	1,443,531,779	-	-	-
	1,314,021,050	108,008,229	71,295,112	1,493,324,391	49,792,612	-	49,792,612

NOTES TO THE FINANCIAL STATEMENTS

10. CONTRIBUTION (PREMIUM) RECEIVABLES

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Contribution (Premiums) Receivable From Participants	748,284,433	720,354,312	482,350,786	440,806,700
Contribution (Premium) Receivable From Agents, Brokers and Intermediaries	1,115,581,254	827,745,870	1,115,581,254	827,745,870
Contribution (Premium) Receivable - Net	1,863,865,695	1,548,100,182	1,597,932,040	1,268,552,570

The Board of Directors has assessed potential impairment loss of premium receivable as at 31st December 2024. Based on the assessment, no impairment provision has been made in the Consolidated and Seperate Financial Statements as at the reporting date in respect of premium receivable.

11. OTHER ASSETS

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Financial Assets (Note 11.1)	338,644,678	224,328,201	106,203,054	91,700,890
Non-Financial Assets (Note 11.2)	154,499,409	122,716,872	92,806,628	48,791,793
	493,144,087	347,045,073	199,009,682	140,492,683

11.1 Financial Assets

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Other Receivables	338,644,678	224,328,201	98,547,916	85,524,065
Amount Due from Related Party	-	-	7,655,138	6,176,825
	338,644,678	224,328,201	106,203,054	91,700,890

11.2 Non-Financial Assets

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Deposits, Advances and Prepayments	154,499,409	122,716,872	92,806,628	48,791,793
	154,499,409	122,716,872	92,806,628	48,791,793

12. FINANCIAL ASSETS - UNIT LINKED

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Financial Assets at Fair Value Through Profit & Loss (12.1)	315,393,787	175,267,949	-	-
Available For Sale (12.2)	42,866,057	39,542,958	-	-
Loans and Receivable (12.3)	3,229,557,165	2,822,461,117	-	-
	3,587,817,009	3,037,272,024	-	-

12.1 Financial Assets at Fair Value Through Profit & Loss

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Investment in Equity Securities (12.4)	96,135,371	65,239,199	-	-
Investment In Gold	219,258,416	110,028,750	-	-
	315,393,787	175,267,949	-	-

12.2 Available For Sale

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Unit Trust - Candor Income Fund	42,866,057	39,542,958	-	-
	42,866,057	39,542,958	-	-

12.3 Loans and Receivable

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Repurchase Agreements	103,799,215	95,086,651	-	-
Mudharaba / Fixed Term Investments	3,125,757,950	2,727,374,466	-	-
	3,229,557,165	2,822,461,117	-	-

NOTES TO THE FINANCIAL STATEMENTS

12.4 Investments in Equity Securities – Unit Linked

	Group			
	2024		2023	
	No. of shares	Market Value Rs.	No. of shares	Market Value Rs.
Hemas Holdings PLC	105,000	10,841,250	100,000	6,670,000
ACL Cables PLC	48,000	5,688,000	65,000	4,472,000
Dialog Telekom PLC	875,000	10,237,500	860,000	7,740,000
Ceylon Grain Elevators PLC	35,681	6,761,550	35,681	5,655,439
Expolanka Holdings PLC	-	-	13,668	1,957,941
Kelani Valley Plantations PLC	34,856	3,367,090	31,856	2,312,746
Sri Lanka Telecom PLC	-	-	18,019	1,673,965
Amana Bank PLC	97,700	2,393,650	702,000	1,614,600
Lanka Wall Tile PLC	76,613	4,489,522	76,613	3,233,069
Chevron Lubricants Lanka PLC	69,995	11,199,200	69,995	6,320,549
Tokyo Cement Company (Lanka) PLC	-	-	269,800	10,252,400
Bairaha Farms PLC	22,973	4,227,032	22,973	4,261,492
Teejay Lanka PLC	279,800	17,039,820	250,000	9,075,000
Hay Carb PLC)	23,000	1,961,900	-	-
Royal Ceramics Lanka PLC	116,500	5,067,750	-	-
Textured Jersey Lanka PLC	245,441	12,861,108	-	-
		96,135,371		65,239,199

13. CASH AND CASH EQUIVALENTS IN CASH FLOW STATEMENT

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Components of Cash and Cash Equivalents				
Cash & Bank Balances	833,456,413	343,492,613	102,324,123	103,452,208
Cash & Bank Balances – Unit Linked	12,606,847	11,338,181	-	-
Investments in Government Securities	2,382,633,718	2,006,407,338	629,864,260	403,680,610
	3,228,696,978	2,361,238,132	732,188,382	507,132,819

14. STATED CAPITAL

	Company			
	2024		2023	
	No. of shares	Rs.	No. of shares	Rs.
Fully Paid Ordinary Shares –Voting (14.1)	203,630,643	1,966,338,648	203,630,643	1,966,338,648

14.1 Share Movement

Opening as at 01.01.2024	203,630,643	1,966,338,648	180,000,130	1,860,001,339
Issue Of Shares	-	-	23,630,513	106,337,309
Closing as at 31.12.2024	203,630,643	1,966,338,648	203,630,643	1,966,338,648

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

15. OTHER RESERVES

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Reserves consists of the following :				
Revaluation Reserve (15.1)	52,537,134	45,424,314	33,541,361	33,541,361
Translation Reserve (15.2)	467,676,588	636,546,955	-	-
	520,213,722	681,971,269	33,541,361	33,541,361

15.1 Revaluation Reserve

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
The Revaluation Reserve relates to the revaluation of Property, Plant and Equipment.				
Balance as at 1st January	45,424,314	45,424,314	33,541,361	33,541,361
Change in Fair Value of Property, Plant & Equipment	7,112,820	-	-	-
Balance as at 31st December	52,537,134	45,424,314	33,541,361	33,541,361

15.2 Translation Reserve

The Translation Reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Balance as at 1st January	636,546,954	837,169,267	-	-
Foreign Currency Translation Differences for Foreign Operations	(168,870,367)	(200,622,312)	-	-
Balance as at 31st December	467,676,588	636,546,954	-	-

16. REVENUE RESERVE

As at December	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Accumulated Profit / (Losses)				
Balance as at 1st January	658,415,354	50,079,630	1,258,075,056	854,551,245
Net Profit for the year	480,350,893	(9,988,087)	564,817,724	(13,887,897)
Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries	-	-	265,022,942	406,300,570
Fair Value Changes taken to OCI	10,829,387	12,800,856	9,195,459	11,261,824
Defined Benefit Plan Actuarial Losses, net of Deferred Tax	(5,878,449)	812,824	(4,782,375)	(150,687)
Fair Value Gain on AFS valuation	466,196,013	604,710,130	-	-
Transfer of Revaluation Reserve on Disposal	-	-	-	-
Balance as at 31st December	1,609,913,199	658,415,354	2,092,328,806	1,258,075,056

NOTES TO THE FINANCIAL STATEMENTS

16.1 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

16.2 Available-for-Sale Reserve

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognized or impaired.

17. INSURANCE CONTRACT LIABILITIES - NON LIFE

17.1 Unearned Contribution (Premium)

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Gross	3,051,377,753	2,830,885,189	1,738,916,250	1,494,989,128
Retakaful (Reinsurance)	(497,110,536)	(405,521,067)	(497,110,536)	(405,521,067)
Unexpired Risk Reserve (UERR)	2,995,429	3,079,000	2,995,429	3,079,000
Net	2,557,262,647	2,428,443,122	1,244,801,143	1,092,547,061

17.2 Gross Claims Reserve

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Claims Outstanding	1,649,272,191	1,173,099,207	280,790,922	321,914,995
Claims Incurred But Not Reported (IBNR)	289,834,445	229,760,903	265,768,518	185,818,000
	1,939,106,636	1,402,860,110	546,559,440	507,732,995
	4,496,369,282	3,831,303,232	1,791,360,583	1,600,280,056

17.3 General Takaful (Insurance) Technical Reserves

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
General Insurance (Non Life) Provision	4,496,369,282	3,831,303,232	1,791,360,583	1,600,280,056
Retakaful (Reinsurance) Receivable on Outstanding Claims	(192,938,244)	(272,661,892)	(192,938,244)	(272,661,892)
	4,303,431,039	3,558,641,340	1,598,422,339	1,327,618,164

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by Actsure Lab (Pvt) Ltd as per SLFRS 04. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs. 289,834,445/- (2023- Rs.229,760,903/-) for IBNR claims reserve and Rs. 2,995,429/- (2023- Rs. 3,079,000) for Unexpired Risk Reserve respectively.

18. INSURANCE CONTRACT LIABILITIES - FAMILY TAKAFUL FUND

The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following

18.1 Insurance Contract Liabilities - Family Takaful Fund

As at 31st December	Group 2024 Rs.	2023 Rs.
Participant Investment Fund (PIF)	167,560,503	208,445,775
Participant Tabarru Fund (PTF) & Group Fund (GF)	91,134,127	90,463,219
Unearned Premium - Group Family Takaful	6,000,145	5,442,494
	264,694,774	304,351,488

18.2 Insurance Contract Liabilities - Family Takaful Unit Linked

As at 31st December	Group 2024 Rs.	2023 Rs.
Unit Fund - Unit Linked	3,474,297,610	2,900,735,476
Participant Tabarru Fund & Group Fund - Unit Linked	100,340,960	69,608,144
	3,574,638,570	2,970,343,620
	3,839,333,344	3,274,695,108

18.3	Insurance Contract Liability	3,740,590,262	3,204,629,583
	Surplus of the Fund	98,743,082	70,065,525
	Total Insurance Contract Liability - Family Takaful Fund (Note 18.1, Note 18.2)	3,839,333,344	3,274,695,108

18.4 The movement in Family Takaful Fund is as follows:

As at 31st December	Group 2024 Rs.	2023 Rs.
Balance as at 1 January	3,274,695,108	2,830,272,898
Net Change in Contract Liabilities	564,638,236	444,422,210
Balance as at 31 December	3,839,333,344	3,274,695,108

18.5 The insurance provision (Family Takaful Fund) has been based upon the following assumptions and other information;

18.5.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 4.8%p.a. and 6.9%p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.7%p.a. is used which is based on the average of the last 5 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Takaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

NOTES TO THE FINANCIAL STATEMENTS

Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 50.8% of the variable expenses and 15.3% of the fixed expenses will be charged to the PTF for Family Takaful and Unit - Linked business. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

18.5.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2024 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on the Participating Investment Fund since it represents just the accumulation of investments made by the policy holders, with no guaranteed returns.

18.6 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia as at 31 December 2024 as required by SLFRS 4 - Insurance Contracts. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the sum of the discounted cash flow reserves and any further additional reserves as at 31 December 2024.

19. EMPLOYEE BENEFITS

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Employee Benefits - Gratuity				
Balance at 1st January	173,627,119	156,208,096	59,440,598	51,898,474
Net Benefit Expense (19.1)	34,359,556	32,072,507	22,042,531	17,908,077
	207,986,674	188,280,603	81,483,129	69,806,551
Foreign Currency Translation Movement	(10,040,684)	(4,287,531)	-	-
Payments during the year	(9,669,812)	(10,365,953)	(7,760,409)	(10,365,953)
Balance at 31st December	188,276,178	173,627,119	73,722,720	59,440,598

19. EMPLOYEE BENEFITS (Contd..)
19.1 Net Benefit Expense

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Included in Profit or Loss				
Interest Cost	17,848,972	20,133,215	8,202,802	7,844,782
Current Service Cost	10,842,135	12,607,221	9,057,354	9,912,608
Immediate recognition of (gain) loss (due to plan amendment)	-	-	-	-
	28,691,107	32,740,436	17,260,156	17,757,390

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Included in Other Comprehensive Income				
Actuarial Losses/(Gains) on Obligations	5,668,449	(667,929)	4,782,375	150,687
	5,668,449	(667,929)	4,782,375	150,687
Net Benefit Expense	34,359,556	32,072,507	22,042,531	17,908,077

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piyal S. Goonetilleke (Fellow of the Society of Actuaries - USA) at 31.12.2024 as requires by LKAS 19, Employee Benefits.

19.2 Principal actuarial assumptions used for the Group and the Company are as follows:

	% Per Annum	
	2024	2023
a) Discount Rate	10.9	13.8
b) Salary Increase	5	5
c) Incidence of Withdrawals	16	21
d) Expected Average Future Working Life of the Active Participants	5.3 Years	5.1 Years
e) The weighted average duration of the defined benefit obligation	5.0 Years	4.3 Years

The Liability is not externally funded

	2024	2023
Demographic Assumption		
e) Retirement Age	60 years	60 years
f) Mortality rates	GA 1983 Mortality Table	GA 1983 Mortality Table

NOTES TO THE FINANCIAL STATEMENTS

19.3 Sensitivity of assumptions employed in Actuarial Valuations

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below.

	31 December 2024		31 December 2023	
	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(3,356,631)	3,051,872	(2,287,580)	2,099,358
Future salary growth (1% movement)	3,207,425	(3,474,356)	2,265,214	(2,436,106)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

19.4 Cash Flow Study – Expected benefit payout in the next 10 years

Year	2024	2023
2024	–	12,221,067
2025	13,636,141	11,698,635
2026	12,476,216	12,239,261
2027	13,448,726	12,705,569
2028	13,099,700	14,035,712
2029	20,178,603	19,617,727
2030	17,135,461	14,029,980
2031	15,325,455	12,345,554
2032	16,123,581	13,030,260
2033	17,655,035	14,160,833
2034	18,958,238	–
Actual Benefit Payout	7,760,409	10,365,954

20. OTHER LIABILITIES – UNIT LINKED

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Financial Liabilities (Note 20.1)	126,585,270	113,248,441	–	–
Non-Financial Liabilities (Note 20.2)	89,757,982	73,005,297	–	–
	216,343,252	186,253,738	–	–

20.1 Financial Liabilities

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Retakaful Payable	126,585,270	113,248,441	–	–
	126,585,270	113,248,441	–	–

20.2 Non-Financial Liabilities

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Advances Received	84,621,075	68,044,580	–	–
Other Creditors	5,136,907	4,960,717	–	–
	89,757,982	73,005,297	–	–

21. OTHER LIABILITIES

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Financial Liabilities (Note 21.1)	1,125,978,699	851,636,135	760,654,417	697,662,695
Non-Financial Liabilities (Note 21.2)	1,572,077,527	1,402,228,048	404,887,514	263,074,815
	2,698,056,226	2,253,864,183	1,165,541,931	960,737,510

21.1 Financial Liabilities

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Retakaful Payable	1,125,978,699	851,636,135	760,654,417	691,271,052
Amount Due to Related Party	-	-	-	6,391,643
	1,125,978,699	851,636,135	760,654,417	697,662,695

21.2 Non-Financial Liabilities

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Accrued Liabilities	323,140,301	790,737,772	126,904,246	77,361,425
Other Creditors	1,118,734,681	572,230,569	277,983,268	185,713,390
Income Tax Payable	130,202,545	39,259,707	-	-
	1,572,077,527	1,402,228,048	404,887,514	263,074,815

22. SUBORDINATED DEBT

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Unsecured Subordinated Debt	289,724,694	286,000,089	323,624,312	339,453,478
	289,724,694	286,000,089	323,624,312	339,453,478

22.1 The details of the above Instrument are as follows (Company),

Purpose/ Rationale	Invested Party	Relationship	Face Value	Repayment Terms
			Rs.	
To meet the Risk Based Capital Requirements	Amana Takaful (Maldives) PLC	Subsidiaries	131,666,250	5 Years
To meet the Risk Based Capital Requirements (22.2)	Aberdeen Holdings (pvt) Ltd	Other Related	143,893,863	5 Years
To meet the Risk Based Capital Requirements (22.2)	Others	Investors	48,064,199	5 Years
			323,624,312	

22.1.1 Repayments / Conversion of Subordinated Debt

The company has not done any Debenture conversion into stated capital in 2024 (2023 - 106,337,309/-)

NOTES TO THE FINANCIAL STATEMENTS

22.2

Objective No	Objective as per Circular/Prosepectus	Amount allocated as per Circular/Prosepectus in Rs.	Proposed Date of Utilization as per Circular/Prosepectus	Amount allocated upon the receipt of proceeds in Rs.[A]	As a % of Total Proceeds	Converted into Stated Capital Rs.. [B]	Balance Amount Utilized in the ObjectiveRs. [C]=[A-B]	% of Utilize against allocation [(B+C)/A]	Instrument
01)	To improve the Capital Adequacy of the Company Balance Sheet, by strengthening its Tier 2 Capital	300,000,000	15.01.2021	300,000,000	100%	106,337,309	193,662,691	100%	Convertible and redeemable debentures

22.3 Maturity Analysis of Subordinated Debt

As at 31st December	Group		Company	
	2024 Rs.	2023 Rs.	2024 Rs.	2023 Rs.
Less than 1 year	-	-	-	-
1 to 5 years	289,724,694	286,000,089	323,624,312	339,453,478
More than 5 years	-	-	-	-
	289,724,694	286,000,089	323,624,312	339,453,478

22.4 Unsecured Subordinated Debt - Amana Takaful Life PLC (Group)

	2024				2023			
	Amount USD	Amount Rs.	Profit Rate	Maturity Date	Amount USD	Amount Rs.	Profit Rate	Maturity Date
Subordinated Debt	175,000	51,217,250	8.25%	31 December 2028	175,000	56,696,028	6.0%	31 December 2023
Subordinated Debt	110,000	32,193,700	8.25%	13 March 2029	110,000	35,637,503	6.0%	20 March 2024
Subordinated Debt	50,000	14,633,500	8.25%	25 June 2029	50,000	16,198,865	6.0%	24 June 2024
		98,044,450				108,532,396		

* Subordinated Debt of Rs. 16,198,865/- (USD 50,000) has been eliminated in Group consolidation as at 31st December 2024

23. RIGHT OF USE ASSETS

Set out below are the carrying amounts of right-of-use assets recognized and the movement during the year.

	Group 2024 Rs.	2023 Rs.	Company 2024 Rs.	2023 Rs.
Cost				
Balance at the beginning of the year	603,287,789	506,777,970	262,605,039	98,630,525
Additions & Improvements	272,449,355	171,952,221	240,235,167	163,974,514
Transfers from Lease hold to Free hold	-	-	-	-
Exchange Gain/loss	(55,515,359)	(75,442,402)	-	-
Cost as at 31st December 2024	820,221,784	603,287,789	502,840,206	262,605,039
Accumulated Depreciation				
Balance at the beginning of the year	(127,431,985)	(94,106,277)	(92,784,744)	(57,468,156)
Depreciation Charge for the period	(97,214,004)	(69,963,832)	(63,745,418)	(35,316,588)
Exchange Gain/loss	27,105,697	36,638,124	-	-
Accumulated Depreciation 31st December 2024	(197,540,292)	(127,431,985)	(156,530,162)	(92,784,744)
Carrying Amount	622,681,492	475,855,804	346,310,045	169,820,295

23.1 Lease Liability

Set out below are the carrying amounts of lease liability recognized as per SLFRS 16 and the movement during the year.

	Group 2024 Rs.	2023 Rs.	Company 2024 Rs.	2023 Rs.
Balance at the beginning of the year	310,531,723	206,129,829	170,949,883	43,266,252
Additions	272,449,355	171,952,221	240,235,167	163,974,514
Interest Expense	44,941,035	19,624,303	35,035,592	8,825,721
Repayments	(104,180,332)	(70,903,295)	(78,795,310)	(45,116,604)
Exchange Gain/loss	(12,387,389)	(16,271,335)	-	-
Balance as at 31st December 2024	511,354,393	310,531,723	367,425,331	170,949,883

23.2 Maturity Analysis of Lease Liability (Discounted)

As at 31st December	Group 2024 Rs.	2023 Rs.	Company 2024 Rs.	2023 Rs.
Less than 1 year	182,351,746	82,256,001	143,347,436	43,347,436
1 to 5 years	408,662,211	353,897,117	231,232,576	181,232,576
More than 5 years	254,459,298	319,880,321	110,487,140	160,487,140

NOTES TO THE FINANCIAL STATEMENTS

24. GROSS WRITTEN CONTRIBUTION

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
General Takaful (Insurance)				
Motor	2,945,122,924	2,290,993,961	2,789,265,219	2,136,723,931
Fire	910,956,819	832,537,321	465,590,447	455,810,948
Marine	819,942,006	899,566,991	534,397,220	626,986,087
Medical	5,437,293,335	4,448,430,599	865,325,844	750,353,503
Miscellaneous	620,299,847	586,162,410	381,589,992	328,183,228
	10,733,614,932	9,057,691,283	5,036,168,723	4,298,057,697
Long Term Policies				
Unit Linked	1,225,751,738	1,082,962,109	-	-
Family Takaful	18,763,264	23,216,117	-	-
Mortgage & Group Family Takaful	52,109,368	44,478,131	-	-
	1,296,624,369	1,150,656,357	-	-
	12,030,239,301	10,208,347,640	5,036,168,723	4,298,057,697

25. INCOME FROM INVESTMENTS

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Investment Income (25.1)	955,223,613	1,021,764,469	196,256,010	279,472,116
Fair Value Gain/(Loss) on Investment Properties	1,500,000	450,000	-	-
Fair Value Gain/(Loss) on Gold Investments	6,919,359	133,500	4,464,854	133,500
Net Realised Capital Gain or (Losses)	-	(4,810,626)	-	-
Unrealised Capital Gain or (Losses)	48,399,196	66,982,194	-	-
	1,012,042,168	1,084,519,536	200,720,864	279,605,616

25.1 Investment Income

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Dividend Income	115,392,094	79,298,466	40,900,319	70,675,509
Income from Fixed Term Deposits	678,030,266	756,662,843	76,698,733	113,937,627
Share income/ (Loss) Quoted shares	25,593,668	1,714,904	25,593,668	1,714,904
Interest Income from investment in Government Securities (25.2)	136,207,584	184,088,255	53,063,290	93,144,077
	955,223,613	1,021,764,469	196,256,010	279,472,116

25.2 Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

26. OTHER INCOME

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Profit on Disposal of Property, Plant and Equipment	176,225	190,800	176,225	190,800
Sundry Income	49,752,983	132,275,625	3,204,457	1,048,602
Fund Management Fee Income	248,508,887	178,392,270	-	-
Rental Income	4,023,000	4,000,500	-	-
Salvage Income	38,353,186	8,051,900	38,353,186	8,051,900
Gain /(Loss) from Sale of shares investment in Subsidiary	33,082,804	-	33,082,804	-
Policy Fee	156,849,912	136,752,576	156,849,912	136,752,576
Exchange Gain/(Loss)	(5,106,951)	12,271,362	(4,870,841)	9,614,172
	525,640,046	471,935,033	226,795,743	155,658,050

27. TOTAL REVENUE

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	12,030,239,301	10,208,347,640	5,036,168,723	4,298,057,696
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(2,267,361,621)	(2,022,852,582)	(1,576,427,291)	(1,353,303,572)
Net Written Contribution (Premium)	9,762,877,679	8,185,495,058	3,459,741,431	2,944,754,124
Net Change in Reserve for Unearned Contribution (Premium)	(261,764,512)	(841,895,839)	(152,337,654)	(326,374,403)
Net Earned Contribution (Premium)	9,501,113,167	7,343,599,218	3,307,403,777	2,618,379,721
Income from Investments	1,012,042,168	1,084,519,536	200,720,864	279,605,616
Changes in Share of Profit of Equity Accounted Subsidiaries	-	-	626,059,596	164,233,322
Other Income	525,640,046	471,935,033	226,795,743	155,658,050
Total Revenue	11,038,795,381	8,900,053,788	4,360,979,981	3,217,876,711

NOTES TO THE FINANCIAL STATEMENTS

28. TAKAFUL (INSURANCE) CLAIMS AND BENEFITS (NET)

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
General Takaful (Insurance)				
Gross Claims Incurred				
Motor	1,503,587,871	1,352,179,503	1,474,411,140	1,301,233,959
Fire	230,800,061	112,448,042	229,292,057	70,887,730
Marine	291,717,573	90,364,959	53,921,178	42,495,130
Medical	3,413,801,142	3,251,987,404	673,738,594	578,273,311
Miscellaneous	136,626,726	135,042,034	97,954,964	135,323,815
	5,576,533,373	4,942,021,942	2,529,317,933	2,128,213,945
Retakaful (Reinsurance) Recoveries	(176,802,860)	(194,558,713)	(169,488,443)	(143,226,555)
General Insurance Claims & Benefits (Net)	5,399,730,513	4,747,463,229	2,359,829,490	1,984,987,390
Family Takaful (Long Term Insurance)				
Claims Incurred	40,683,309	52,599,449	-	-
Surrenders	348,978,488	384,553,275	-	-
Policy Maturities	98,962,516	100,033,512	-	-
Interim Payments/Part withdrawals	30,563,633	36,774,447	-	-
Long Term Insurance Claims & Benefits	519,187,946	573,960,683	-	-
	5,918,918,459	5,321,423,912	2,359,829,490	1,984,987,390

29. OTHER OPERATING AND ADMINISTRATION EXPENSES

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Staff Expenses (Note 29.1)	1,595,597,846	1,366,761,989	688,778,955	570,234,999
Administration & Establishment Expenses	645,907,933	624,973,189	223,173,970	282,962,024
Selling Expenses	215,920,450	191,553,592	147,561,380	127,045,536
Depreciation ROU Asset (Note 31)	96,712,528	69,963,832	63,745,418	35,316,588
Depreciation (Note 6)	32,430,604	32,116,151	14,614,766	13,253,875
	2,586,569,361	2,285,368,753	1,137,874,489	1,028,813,022

29. OTHER OPERATING AND ADMINISTRATION EXPENSES (contd..)

29.1 Staff Expenses

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Wages, Salaries, Travel & Bonuses	1,396,135,065	1,183,811,213	590,042,384	485,898,580
Contribution to defined contribution plans - EPF & ETF	118,735,882	96,147,386	62,162,156	54,019,121
Staff welfare	26,859,458	21,174,346	15,076,894	9,249,224
Staff training	10,433,221	12,885,616	4,237,364	3,310,685
Medical claims	13,746,588	13,927,731	-	-
Gratuity	29,687,633	38,815,696	17,260,156	17,757,390
	1,595,597,846	1,366,761,989	688,778,955	570,234,999

30. AMORTISATION

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Intangible Asset (5)	17,787,997	14,734,750	2,662,436	2,284,254
	17,787,997	14,734,750	2,662,436	2,284,254

31. THE PROFIT/ (LOSS)FROM OPERATIONS FOR THE YEAR

is stated after charging/(crediting) the following :

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Directors' Emoluments - Executive	19,545,409	18,407,109	7,860,000	7,860,000
- Non-Executive	18,434,787	13,023,374	8,118,724	7,511,274
Auditors' Remuneration (Fees)				
- Audit	7,756,473	7,653,661	2,920,577	2,720,577
- Audit Related Other	1,047,407	2,803,898	640,545	540,545
- Non Audit	2,119,783	1,970,683	1,603,794	1,303,794
Depreciation	32,430,604	32,116,151	14,614,766	13,253,875
Depreciation ROU Assest	96,712,528	69,963,832	63,745,418	35,316,588
Advertisement Costs	20,691,277	18,456,478	20,691,277	18,456,478
Amortisation of Intangibles	17,787,997	14,734,750	2,662,436	2,284,254
Staff Cost	1,595,597,846	1,366,761,989	688,778,955	570,234,999
Profit on Disposal of Property, Plant & Equipment	176,225	190,800	176,225	190,800

NOTES TO THE FINANCIAL STATEMENTS

32. FINANCE COST

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Profit Mark up on Lease (Ijara) Facility	43,683,556	19,506,635	35,035,592	8,825,721
Profit Mark up on Subordinated Debt	46,935,038	33,387,032	41,798,057	36,225,728
	90,618,595	52,893,667	76,833,649	45,051,449

33. INCOME TAX EXPENSE

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Current Income Tax (Note 33.1)	(197,581,690)	(245,622,621)	-	-
	(197,581,690)	(245,622,621)	-	-
Deferred Tax (Note 33.3)	-	176,403,630	-	-
	-	176,403,630	-	-
Tax Expence (Note 33.1)	(197,581,690)	(69,218,991)	-	-
Recognised in Profit or Loss	(197,581,690)	(69,218,991)	-	-
Recognised in Other Comprehensive Income	-	-	-	-
	(197,581,690)	(69,218,991)	-	-

33.1 Tax Reconciliation Statement

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Accounting Profit/ (Loss) before Tax	1,152,147,342	220,654,663	564,817,723	(13,887,897)
Aggregate Disallowed Items	507,814,461	2,148,055,328	183,838,432	229,697,369
Aggregate Allowable Expenses	(1,233,833,084)	(799,950,692)	(967,030,462)	(536,570,708)
Total Statutory Income/(Losses)	426,128,720	1,568,759,300	(218,374,307)	(320,761,236)
Utilization of tax losses	-	-	-	-
Consolidated Adjustment	891,082,538	68,724,834	-	-
Taxable Income	1,317,211,258	1,637,484,134	-	-
Tax @ 15%	(197,581,690)	(245,622,621)	-	-
Tax @ 30%	-	-	-	-
Income Tax Expense for the Year	(197,581,690)	(245,622,621)	-	-
Deferred taxation charge/(reversal)	-	176,403,630	-	-
Total Tax Expense	(197,581,690)	(69,218,991)	-	-

33. INCOME TAX EXPENSE (contd..)

- 33.1.1 Amana Takaful Maldives PLC is liable for income tax at 15% (2023 – 15%) on the taxable income for the Year of Assessment 2024, and the income tax expense recognised during the year is from Amana Takaful Maldives PLC.
- 33.1.2 Amana Takaful PLC is liable for income tax at 30% (2023 – 30%) on the taxable income for the Year of Assessment 2024.
- 33.1.3 Amana Global Ltd is liable for income tax at 30% (2023 – 30%) on the taxable income for the Year of Assessment 2024.
- 33.1.4 Amana Takaful Life PLC is liable for income tax at 30% (2023 – 30%) on the taxable income for the Year of Assessment 2024.
- 33.1.4.1 Amana Sugurta JSC (Uzbekistan) is liable for income tax at 15% (2023 – 15%) on the taxable income for the Year of Assessment 2024.
- 33.1.5 Income tax assessment relating to years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16, 2016/17 & 2017/18

The Department of Inland Revenue has raised an assessment for the following years of assessment :

- Year of Assessment 2010/11 : assessing the General Insurance business to pay an income tax liability of Rs. 578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12 : an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation
- Year of Assessment 2012/13 : assessing the Life Insurance business to pay an income tax liability of Rs. 188,249/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2013/14 : assessing the Life Insurance business to pay an income tax liability of Rs. 11,070,604/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2014/15 : assessing the Life Insurance business to pay an income tax liability of Rs. 18,544,683/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment From Jan 2015 : assessing the Interest income earned from loans and receivable is considered as 'income earned from financial services' and made liable VAT on FS and NBT on FS , grounds identified by IRD for ATL being liable. No excess taxes stated and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2015/16 : assessing the Life Insurance business to pay an income tax liability of Rs. 39,828,769/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay an income tax liability of Rs. 142,784,785/- inclusive of penalty. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17 : assessing the Life Insurance business to pay an income tax liability of Rs. 63,775,270/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business. However No tax Liability raised, the Tax Losses are reduced from liability assessed. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17: assessing the General Insurance business to pay an Vat liability of Rs. 30,368,243/- . The Company has lodged a valid appeal against the said assessment

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16, 2016/17 & 2017/18. Therefore, the above assessments have no rationale or basis in law

NOTES TO THE FINANCIAL STATEMENTS

33.2 Deferred Tax Asset

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Tax Losses Brought Forward	2,419,090,559	1,988,653,653	1,538,818,370	1,314,472,515
Tax Losses of which Deferred Tax Asset was not recognized	(2,518,433,457)	(2,090,143,242)	(1,538,818,370)	(1,314,472,515)
Defined Benefit Obligation	188,276,178	173,627,119	73,722,720	59,440,598
Defined Benefit Obligation which Deferred Tax Asset was not recognized	(88,933,280)	(72,137,530)	(73,722,720)	(59,440,598)
	-	-	-	-
Deferred Tax Assets @ 15% & 30%	-	-	-	-
	-	-	-	-
Recognised Deferred Tax Asset	-	-	-	-
Deferred Tax Liability				
Property, Plant and Equipment	37,121,393	28,914,463	37,121,393	28,914,463
Property, Plant and Equipment which Deferred Tax Liability was not recognized	(37,121,393)	(28,914,463)	(37,121,393)	(28,914,463)
Revaluation Gain	9,322,175	-	-	-
Revaluation Gain which Deferred Tax Asset was not recognized	(9,322,175)	-	-	-
Fair Value gain/(loss) of Investment Property	1,500,000	450,000	-	-
Fair Value gain/(loss) of Investment Property which Deferred Tax Asset was not recognized	(1,500,000)	(450,000)	-	-
Changes in Share of profit of Equity accounted subsidiaries	-	-	891,082,538	570,533,893
Changes in Share of profit of Equity accounted subsidiaries which Deferred Tax Asset was not recognized	-	-	(891,082,538)	(570,533,893)
Right of use asset	622,681,492	475,855,804	346,310,045	169,820,295
Right of use asset which Deferred Tax Liability was not recognized	(622,681,492)	(475,855,804)	(346,310,045)	(169,820,295)
Intangible Assets	33,776,801	4,838,575	33,776,801	4,838,575
Intangible asset which Deferred Tax Liability was not recognized	(33,776,801)	(4,838,575)	(33,776,801)	(4,838,575)
Net change in Equity Instruments at fair value through OCI	1,844,229,829	842,011,493	-	-
Total Taxable Temporary Differences	1,844,229,829	842,011,493	-	-
Deferred Tax Liability @ 15% & 30%	276,634,474	126,301,724	-	-
	-	-	-	-
Deferred income tax charge/ (reversal)	-	69,218,991	-	-
	-	-	-	-
Net Deferred Tax Liability	276,634,474	195,520,715	-	-

33. INCOME TAX EXPENSE (contd..)

33.3 Movement in Temporary Differences during the year

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Balance at 1st January	195,520,715	15,874,369	-	-
Recognised in Total Comprehensive Income				
Defined Benefit Obligation	81,113,759	179,646,346	-	-
	81,113,759	179,646,346	-	-
Balance at 31st December	276,634,474	195,520,715	-	-

33.4 Deferred tax assets are recognized for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based on the likely timing and the level of future taxable profits together with future tax planning strategies. In year 2024 Company has not recognized deferred tax assets over the brought forward tax loss, Defined Benefit Obligation and Fair Value of Investment Property, since the doubt of recoverability of the deferred tax asset.

33.5 Amana Takaful PLC has recognised tax losses of which Deferred Tax Asset was not recognized amounting to Rs. 1,538,818,370/- (2023 - 1,314,472,515/-), The recognized taxable loss during the financial year 2024 is Rs.218,374,306/- and the remaining accumulated tax loss as at 31 December 2024, is amounting to Rs. 907,075,654/- will be carried forward for five years.

34. EARNINGS PER SHARE

34.1 Basic Earnings Per Share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

34.2 The following reflect the income and share data used in the Basic Earnings Per Share computations.

Amount used as the Numerator:

For the year ended 31st December	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Net Profit attributable to Ordinary Shareholders	480,350,893	(9,988,087)	564,817,723	(13,887,897)

Number of Ordinary Shares used as Denominator:

	Number	Number	Number	Number
Number of Ordinary Shares in Issue	203,630,643	203,630,643	203,630,643	203,630,643
Earnings per share (Rs.)	2.36	(0.06)	2.77	(0.08)

NOTES TO THE FINANCIAL STATEMENTS

- 34.3** Diluted Earnings per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding and dilutive shares during the period.

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Amount used as the Numerator				
Net Profit attributable to Ordinary Shareholders (Rs.)	480,350,893	(9,988,087)	564,817,723	(13,887,897)
Number of shares used as Denominator:				
Ordinary shares - Voting (One vote per Ordinary Share)	203,630,643	203,630,643	203,630,643	203,630,643
Convertible Shares	43,036,154	43,036,154	43,036,154	43,036,154
Total Shares	246,666,797	246,666,797	246,666,797	246,666,797
Diluted Earnings Per Share	1.95	(0.04)	2.29	(0.06)

35. RELATED PARTY DISCLOSURES

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment related transactions as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below :

(A) Transactions and outstanding balances with Related Parties

The following table shows the outstanding balance and transaction with related parties during the year.

Related Parties	Nature of the transaction/Outstanding balance	2024	2023
		Rs.	Rs.
Subsidiaries	Takaful Premium	9,139,655	867,782
	Takaful Premium paid	928,424	771,221
	Claims Paid	4,706,207	3,990,035
	Shared Cost	32,480,884	83,837,099
	Supporting Fee	1,675,632	1,675,632
	Shared Cost Settlement	32,480,884	94,589,129
	Current Account Balance	17,839,639	12,720,878
	Dividend Received	38,612,372	68,724,834
	Subordinated Debt	131,666,250	145,789,785
Other Related	Net Written Contribution (Premium)	324,443,130	244,761,822
	Claims Paid	26,419,332	15,545,356
	Convertible Debenture	143,893,863	143,893,863

The Group carries out transactions with Parent, Subsidiaries and Fellow Subsidiaries in the ordinary course of business on an arms length basis at commercial rates.

(B) Compensation of Key Management Personnel

The total compensation to those individuals classified as key management personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

According to Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosure", Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non - Executive Directors) of the Company and their close family members have been classified as Key Management Personnel of the Company.

35. RELATED PARTY DISCLOSURES (contd..)

The Group carries out transactions with KMPs & their close family members in the ordinary course of business on an arms length basis at commercial rates.

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Salary and Other Short Term Benefits	100,464,420	102,435,347	14,880,000	15,869,800
Contributions made by the Company to Provident Fund and Trust Fund	945,000	1,224,720	945,000	1,224,720
Non Cash Benefits	1,440,000	1,320,000	-	-
	102,849,420	104,980,067	15,825,000	17,094,520

36. PRINCIPAL SUBSIDIARIES

The following disclosure highlights the group composition and the proportion of ownership interests held by NCI.

Company and Country of Incorporation/Operation	Principal Activities	Class of Shares Held	Proportion of class held by the Company	Group Interest (%)	Non-controlling interest (%)
Sri Lanka					
Amana Takaful Life PLC	Life Insurance	Ordinary	76.3%	76.3%	23.7%
Amana Global Limited	Technical Advisor	Ordinary	100%	100%	-
Maldives					
Amana Takaful Maldives PLC	General Takaful Insurance	Ordinary	55%	55%	45%
Uzbekistan					
AMANA SUGURTA" JSC	Awaiting for Insurance License	Sub Subsidiary	79%	79%	21%

36.1 Summary financial information for subsidiaries that have non-controlling interests that are material to the Group.

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra-group eliminations.

31st December 2024	Amana Takaful Life PLC	Amana Takaful Maldives PLC
NCI Percentage	23.7%	45%
Total Assets	4,985,400,668	9,988,766,625
Total Liabilities	(4,347,685,830)	(4,577,461,296)
Net Assets	637,714,838	5,411,305,330
- Attributable to Non-Controlling Interest	151,138,417	2,547,763,813.88
- Attributable to Parent	486,576,422	2,863,541,516
Net Earned Contribution (Premium)	1,236,838,313	4,966,010,731
Profit for the Period	4,578,262	1,055,699,089
- Profit Attributable to Non-Controlling Interest	1,085,048	475,064,590
- Profit Attributable to Parent	3,493,214	580,634,499
Other Comprehensive Income, net of tax	14,193,167	518,891,752
Total Comprehensive Income for the year	18,771,430	1,574,590,841
Cash Flows From/(Used) in Operating Activities	365,717,117	1,159,805,371
Cash Flows From/(Used) in Investment Activities	(290,174,711)	(1,517,249,503)
Cash Flows Used in Financing Activities (Dividends Paid to NCI: Rs. 70,204,313/-)	(11,461,100)	(82,179,946)
Net Increase/(Decrease) in Cash and Cash Equivalents	64,081,306	(439,624,078)

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31st December 2023	Amana Takafu Life PLC	Amana Takaful Maldives PLC
NCI Percentage	17.7%	45%
Total Assets	4,339,641,692	7,851,702,428
Total Liabilities	(3,729,134,393)	(3,808,198,226)
Net assets	610,507,299	4,043,504,202
- Attributable to Non-Controlling Interest	108,059,792	1,750,721,479
- Attributable to Parent	502,447,507	2,292,782,723
Net Earned Contribution (Premium)	1,093,687,260	3,632,400,018
Profit for the Period	50,319,468	348,264,061
- Profit Attributable to Non-Controlling Interest	8,906,546	156,718,828
- Profit Attributable to Parent	41,412,922	191,545,234
Other Comprehensive Income, net of tax	15,553,895	714,229,079
Total Comprehensive Income for the year	65,873,364	1,062,493,141
Cash Flows From Operating Activities	255,722,696	983,678,260
Cash Flows Used in Investment Activities	(19,502,420)	(899,954,860)
Cash Flows Used in Financing Activities	(9,567,600)	(154,056,887)
Net Increase in Cash and Cash Equivalents	226,652,676	(70,333,486)

37. COMMITMENTS AND CONTINGENCIES

37.1 Commitments

The Group does not have significant capital commitments as at the reporting date.

37.2 Contingencies

A contingent liability at a fair value of Rs. 673 million has been determined from four claims where, Amana Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 150 million, if any. The said claims are subject to legal proceeding at the reporting date, the lawyers are of the view that these five cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

38. TRANSFER PRICING

Transfer pricing regulations applicable from 01.04.2018 are given in Extra Ordinary Gazette No. 2104/4 issued on 31st December 2018. Transfer Pricing Regulations apply to International Transactions referred to in Section 76 and to the cases of transactions other than international transactions made between associated enterprises referred to in Section 77 of the Inland Revenue Act, No. 24 of 2017.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have been taken place with parent entity (Associated undertaking). The group is of the view that the transactions with its' related entities have taken place on arm's length price.

As the aggregate value of transactions of each companies with associated undertaking is more than Rs. 50 Million, the group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All Companies are in the process of seeking professional advice from tax consultants to prepare required documentations to comply with Transfer Pricing Regulation.

39. EVENTS OCCURRING AFTER THE REPORTING DATE

Events after the reporting period are those events, favourable and unfavourable that occur between the reporting date and the date when the financial statements are authorised for issue.

All material post reporting date events have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

40. ASSETS PLEDGED

The following assets have been pledged as security for liabilities (Company)

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2024 Rs.	2023 Rs.	
Cash on hold	Bank Guarantee for Garages for their services	4,000,000	4,000,000	Other Assets - General Fund
Repurchase Agreements	Bank Guarantee for a Performance Bond	1,000,000	1,000,000	Financial Assets - Shareholder Fund
Cash on hold	Bank Guarantee for a Government Tender	3,810,511	1,267,883	Other Assets - General Fund

40.1 The following assets have been pledged as security for liabilities of Amana Takaful Life PLC (Group)

Nature of Assets	Nature of Liability	Included Under	Carrying Amount Pledged	
			2024 Rs.	2023 Rs.
Fixed Term Investments/ Mudharaba (Seylan)	Bank Guarantee for Tax Appeal Commission	Financial Investments	1,909,629	1,909,629

NOTES TO THE FINANCIAL STATEMENTS

41. COMPARATIVE INFORMATION

Comparative information has been reclassified where necessary to conform with the current year presentation. Refer note 8

42. RISK MANAGEMENT

42.1 Overview

All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

42.2 Risk Management Framework

The Group's risk management framework forms an integral part of the management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group's risk management framework and thus, their approval is necessary for the Risk management Strategies. The Group's Risk Management Framework categorized into four lines of defense as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defense.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at senior management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance sector. The Financial instruments of the Group are exposed to the following Risks.

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

42.3 Financial Risk

42.3.1 Capital Management

a. Objectives and policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimize capital utilization within the regulatory and Shariah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business

The Group currently has stated capital worth Rs. 1.96 Bn which is well above the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Group are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimize the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic finance principles i.e. the strict adherence of Shariah guidelines in terms of investments, marketing activities and so on, and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Board of Sri Lanka. This primarily helps the Group to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyze the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

42.3.2 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise

1. Premium receivable
2. Re-Insurance receivable
3. Investments in debt securities

The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Re-insurers are selected based on the ratings as required by IRCSL.
- The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The executive committee regularly reviews the credit position of the Group i.e. outstandings and overdue. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

NOTES TO THE FINANCIAL STATEMENTS

42.3.2 Credit Risk (Contd...)

2024 - Industry Analysis	Financial Services	Asset Management	Government	Food & Beverages	Teleco.	Construction, Manufacturing, Power & Chemicals	Others	Total
Assets								
Financial assets at Fair Value through Profit or Loss								
Investments in equity securities	33,767,988	-	-	-	172,025,145	58,340,910	18,449,463	282,583,507
Investments in equity securities - Unit Linked	2,393,650	-	-	-	10,237,500	42,084,121	41,420,100	96,135,371
Investment In Gold	-	-	-	-	-	-	521,743,848	521,743,848
Available-for-Sale Financial Assets								
Investment in Equity Securities	3,468,194,302	-	-	-	-	-	-	3,468,194,302
Unit Trust	-	207,234,215	-	-	-	-	-	207,234,215
Unit Trust - Unit Linked	-	42,866,057	-	-	-	-	-	42,866,057
Unquoted	-	-	-	-	-	525,000	-	525,000
Loans and Receivables								
Repurchase Agreements	-	-	2,294,033,850	-	-	-	-	2,294,033,850
Repurchase Agreements - Unit Linked	-	-	103,799,215	-	-	-	-	103,799,215
Fixed Term Investments	4,045,653,065	-	-	-	-	-	-	4,045,653,065
Mudharaba /Fixed Term Investments - Unit Linked	3,125,757,950	-	-	-	-	-	-	3,125,757,950
Advances to Company Officers	-	-	-	-	-	-	39,551,028	39,551,028
Total Credit Exposure	10,675,766,955	250,100,272	2,397,833,065	-	182,262,645	100,950,031	621,164,439	14,228,077,408

42.3.2 Credit Risk (Contd...)

2023 - Industry Analysis	Financial Services	Asset Management	Government	Food & Beverages	Teleco.	Construction, Manufacturing, Power & Chemicals	Others	Total
Assets								
Financial assets at Fair Value through Profit or Loss								
Investments in equity securities	28,252,217	-	-	-	208,233,187	39,924,798	1,315,222	277,725,423
Investments in equity securities - Unit Linked	1,614,600	-	-	-	9,413,965	41,902,565	12,308,069	65,239,199
Investment In Gold	-	-	-	-	-	-	256,657,500	256,657,500
Available-for-Sale Financial Assets								
Investment in Equity Securities	2,787,829,229	-	-	-	-	-	-	2,787,829,229
Unit Trust	-	187,168,686	-	-	-	-	-	187,168,686
Unit Trust - Unit Linked	-	39,542,958	-	-	-	-	-	39,542,958
Unquoted	-	-	-	-	-	525,000	-	525,000
Loans and Receivables								
Repurchase Agreements	-	-	2,039,187,999	-	-	-	-	2,039,187,999
Repurchase Agreements - Unit Linked	-	-	95,086,651	-	-	-	-	95,086,651
Fixed Term Investments	3,388,070,089	-	-	-	-	-	-	3,388,070,089
Mudharaba /Fixed Term Investments - Unit Linked	2,727,374,466	-	-	-	-	-	-	2,727,374,466
Advances to Company Officers	-	-	-	-	-	-	17,723,121	17,723,121
Total Credit Exposure	8,933,140,601	226,711,644	2,134,274,650	-	217,647,152	82,352,363	288,003,912	11,882,130,322

NOTES TO THE FINANCIAL STATEMENTS

42.3.2.1 Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31 December 2024 and 2023, is the carrying amounts of respective financial instruments.

Credit Exposure – 31st December 2024	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2024 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	585,068,939	-	-	585,068,939
Investment in Equity Securities – Unit Linked	315,393,787	-	-	315,393,787
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	3,468,194,302	-	-	3,468,194,302
Unit Trust – Unit Linked	42,866,057	-	-	42,866,057
Investment in Equity Securities – Unquoted	525,000	-	-	525,000
Loans & Receivables				
Repurchase Agreements	2,294,033,850	-	-	2,294,033,850
Repurchase Agreements – Unit Linked	103,799,215	-	-	103,799,215
Fixed Term Investments	4,045,653,065	-	-	4,045,653,065
Commercial Paper	-	-	-	-
Mudharaba Investments – Unit Linked	3,125,757,950	-	-	3,125,757,950
Advance to Company Officers	39,551,028	-	-	39,551,028
Other Assets Related to Financial Risk				
Retakaful (reinsurance) Receivables	654,755,250	-	-	654,755,250
Contribution (Premium) Receivables	1,863,865,695	-	-	1,863,865,695
Cash and Cash Equivalents	846,063,260	-	-	846,063,260
Total Credit Exposure	17,385,527,398	-	-	17,385,527,398

42.3.2.1 Credit Exposure (Contd..)

Credit Exposure – 31st December 2023	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2023 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	424,354,173	-	-	424,354,173
Investment in Equity Securities – Unit Linked	175,267,949	-	-	175,267,949
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	2,787,829,229	-	-	2,787,829,229
Unit Trust – Unit Linked	39,542,958	-	-	39,542,958
Investment in Equity Securities – Unquoted	525,000	-	-	525,000
Loans & Receivables				
Repurchase Agreements	2,039,187,999	-	-	2,039,187,999
Repurchase Agreements – Unit Linked	95,086,651	-	-	95,086,651
Fixed Term Investments	3,388,070,089	-	-	3,388,070,089
Mudharaba Investments – Unit Linked	2,727,374,466	-	-	2,727,374,466
Advance to Company Officers	17,723,121	-	-	17,723,121
Other Assets Related to Financial Risk				
Retakaful (reinsurance) Receivables	603,709,479	-	-	603,709,479
Contribution (Premium) Receivables	1,548,100,182	-	-	1,548,100,182
Cash and Cash Equivalents	354,830,794	-	-	354,830,794
Total Credit Exposure	14,201,602,090	-	-	14,201,602,090

The following table provided information regarding the credit risk exposure on investments of the Group as at 31st December 2024 as a percentage of respective credit ratings of the investee. AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB- are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

Credit Rating	Exposure	%
A	12	
A(lka)	30	
A-(lka)	13	
BB+(lka)	33	
BBB+ (Stable)	12	

NOTES TO THE FINANCIAL STATEMENTS

42.4 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

42.4.1 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on Government Securities.

Financial Year	Change in interest rate	Effect on Profit before Tax
2024	1%	530,633
		(530,633)

42.4.2 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company have a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in sound fundamental value giving investments to the Group and the Company; providing greater security in its invested equity securities.

Amana Takaful Equity Exposure (Group) - Quoted

Sector	2024		2023	
	Equity Exposure		Equity Exposure	
	Exposure (Rs.)	Sector Weight %	Exposure (Rs.)	Sector Weight %
Financial Services	3,544,991,050	95%	2,847,573,545	93%
Telecommunication	195,084,216	5%	213,956,886	7%
	3,750,777,809	100%	3,065,554,652	100%

Sector	2024		2023	
	Equity Exposure		Equity Exposure	
	Exposure (Rs.)	Sector Weight %	Exposure (Rs.)	Sector Weight %
Construction	23,290,800	24%	27,049,839	41%
Manufacturing	72,844,572	76%	38,189,360	59%
	96,135,371	100%	65,239,199	100%

42.4.2.1 Sensitivity Analysis of Equity Risk-Group

	Type of Classification	2024		2023	
		Rs.	Rs.	Rs.	Rs.
		10% Decline	10% Increase	10% Decline	10% Increase
Financial Assets	FVTPL	(8,043,274)	8,043,274	(5,343,829)	5,343,829
	AFS	(37,188,196)	37,188,196	(30,150,659)	30,150,659
Financial Assets - Unit Linked	FVTPL	(961,354)	961,354	(652,392)	652,392
Net impact on profit before tax	FVTPL	(8,043,274)	8,043,274	(5,343,829)	5,343,829
Net impact on OCI	AFS	(37,188,196)	37,188,196	(30,150,659)	30,150,659

42.4.3 Foreign Currency Risk

Currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

Sri Lanka faced a severe foreign exchange crisis due to economic mismanagement and high debt, led to currency depreciation. Recent improvements in reserves from remittances, exports, and IMF support have stabilised the exchange rate. However, lifting import restrictions may increase demand for foreign currency, posing a risk of renewed depreciation if inflows fall short. The direct exposure to foreign exchange rates of the Group is minimum due to the limited transactions carried out with foreign counter parties and the Group continues to monitor its effects on financial statements under various stressed scenarios

Further, the Sri Lankan Rupee has appreciated from Rs.328.78 to Rs.297.02 per USD as of 31st December 2024 in comparison to the country's dollar exchange rate in 2023.

Group's exposure to foreign exchange risk arises primarily with respect to the US Dollar denominated assets maintained in order to honour liabilities of foreign currency denominated insurance policies, which are sold in the ordinary course of business.

The Board continues to monitor the potential implications of these factors on the groups business activities, profitability, solvency and liquidity position and will take proactive action to meet future obligations and ensure business continuity.

Foreign Currency Sensitivity

The following tables demonstrate the sensitivity to a reasonably possible change in USD exchange rate, with all other variables held constant. The impact on the Company's profit before tax is due to changes in the fair value of monetary assets and liabilities including non-designated foreign currency

Financial Year	Change in USD Rate	Effect on Profit before Tax	Effect on Pre Tax Equity Rs.000
2024	1%	5,648,177	5,648,177
		(5,648,177)	(5,648,177)

NOTES TO THE FINANCIAL STATEMENTS

42.5 Insurance Risk

Being in the Insurance Industry, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- Underwriting Risks
- Claims Risks
- Re-Insurance Risk

In addition to the above Life insurance is specifically subject to the following risks

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected
3. Investment return risk – risk of loss arising from actual returns being different than expected
4. Expense risk – risk of loss arising from expense experience being different than expected
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behavior.

42.5.1 Under-writing Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. Price – The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
- ii. Exposure – The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are re-insured.
- iii. Personnel – The Group ensures that all Underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary, who reviews the Life business closely and guides the management when taking crucial product based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

42.5.2 Claims Risk

The key risk facing insurance companies is the claims risk where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

Claim Development Table

The following tables show the estimate of cumulative incurred claims for each year.

Gross non-life insurance outstanding claims provision for 2024 (LKR '000)

(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2017	2018	2019	2020	2021	2022	2023	2024
1	859,932	1,219,262	1,345,185	861,083	937,522	1,284,356	1,776,730	2,094,154
2	899,992	1,239,751	1,418,704	934,918	962,731	1,553,898	2,138,493	
3	896,273	1,240,098	1,429,043	937,850	957,805	1,563,197		
4	896,648	1,243,632	1,429,451	915,594	959,498			
5	896,885	1,243,592	1,429,496	916,755				
6	899,189	1,245,652	1,430,546					
7	899,189	1,251,602						
8	900,139							

Net non-life insurance outstanding claims provision for 2024 (LKR '000)

(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2017	2018	2019	2020	2021	2022	2023	2024
1	672,032	821,145	1,016,883	661,715	805,359	1,181,018	1,579,153	1,946,848
2	720,444	864,369	1,081,823	720,999	873,972	1,360,104	1,911,323.536	
3	717,641	864,097	1,087,141	716,854	873,468	1,367,228		
4	717,915	866,266	1,087,545	716,563	875,844			
5	718,153	866,226	1,087,590	717,699				
6	720,456	868,286	1,088,640					
7	720,456	874,236						
8	721,406							

Sensitivity analysis on claim handling expenses, loss development factors and provision for adverse deviation

42.5.2 Claims Risk

Table 1: Impact on Undiscounted Net Claim Liability

Description	CE IBNR incl. CHE	CE CL incl. CHE	Profit Impact
Base	246,502	353,621	
ULR +10%	374,427	533,340	(179,719)
ULR -10%	141,474	195,760	157,861
CHE +10%	248,433	355,552	(1,931)
CHE -10%	244,571	351,690	1,931

NOTES TO THE FINANCIAL STATEMENTS

Table 2: Impact on Undiscounted Net Contribution Liability

Description	UCR	CE URR incl. Exp.	PL	Profit Impact
Base	1,241,806	913,942	1,246,505	
ULR +10%	1,241,806	1,089,944	1,285,052	(38,547)
ULR -10%	1,241,806	737,884	1,241,806	4,699
CHE +10%	1,241,806	918,429	1,246,597	(92)
CHE -10%	1,241,806	909,455	1,246,413	92

Table 3: Impact on Undiscounted Gross Claim Liability

Description	CE IBNR incl. CHE	CE CL incl. CHE	Profit Impact
Base	265,769	546,559	
ULR +10%	411,680	815,092	(268,532)
ULR -10%	144,054	300,804	245,755
CHE +10%	267,700	548,491	(1,931)
CHE -10%	263,837	544,628	1,931

Table 4: Impact on Undiscounted Gross Contribution Liability

Description	UCR	CE URR incl. Exp.	PL	Profit Impact
Base	1,738,916	1,006,414	1,738,916	
ULR +10%	1,738,916	1,210,577	1,772,555	(33,638)
ULR -10%	1,738,916	802,271	1,738,916	-
CHE +10%	1,738,916	1,011,354	1,738,916	-
CHE -10%	1,738,916	1,001,473	1,738,916	-

During the sensitivity analysis, the variables were stressed up/down on a multiplicative basis (e.g.: A ULR of 50% stressed up by 10% is 55%)

* A negative value indicates a decrease in the profits and a positive value indicates an increase in the profits

42.5.2.1 Claims Risk Amana Takaful Life PLC (Group)

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions

Impact on Takaful Contract Liabilities				
	Change in Assumptions	Gross	Net	Underwriting Deficit/ Surplus
31st December 2024	%	RS. '000	RS. '000	RS. '000
Mortality/morbidity	+10%	13,335	4,661	4,661
Mortality/morbidity	-10%	(13,360)	(4,670)	(4,670)
Lapse and surrender rates	-10%	5,485	4,085	4,085
Discount rate	-1%	4,558	3,361	3,361
Expenses	+10%	9,228	8,949	8,949
Unit Fund Investment Return	-1%	(931)	(915)	(915)

Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarized in the table below by measurement category

Impact on Operators Fund

	Change in Assumptions	Gross	Net	(Loss)/ Profit Before Taxation
31st December 2024	%	RS. '000	RS. '000	RS. '000
Mortality/morbidity	+10%	-11	-11	-11
Mortality/morbidity	-10%	11	11	11
Lapse and surrender rates	-10%	106	106	106
Discount rate	-1%	368	368	368
Expenses	+10%	1,425	1,425	1,425
Unit Fund Investment Return	-1%	-	-	-

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

NOTES TO THE FINANCIAL STATEMENTS

Statement of Reinsurance Arrangements (General Insurance) Outward Treaty Reinsurance Amana Takaful PLC

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating Credit	Financial Strength	Name of the Rating Agency	Date of rating
Marine	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	18.12.2023
			A	AA-	S&P	05.10.2023
			a+	A+	AM Best	08.09.2023
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A-	A3 (IFSR)	Moody's	08.11.2023
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	25.10.2023
	AmFirst Specialty Insurance Company	USA	A-	A-	AM Best	16.08.2023
	PetroVietnam Insurance	Vietnam	A-	A-	AM Best	27.03.2024
	New India Assurance	India		B++	AM Best	16.10.2022
	Oman Reinsurance Company SAOG	Togo		BBB-	Fitch	06.06.2024
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	29.11.2023
	Misir Insurance Company	Egypt	BBB	B++	AM Best	31.12.2022
	Tunis Re	Tunisia	AA+	AA	Fitch	06.07.2023
	NITF	Sri Lanka				
Fire	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	18.12.2023
			A	AA-	S&P	05.10.2023
			a+	A+	AM Best	08.09.2023
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A-	A3 (IFSR)	Moody's	08.11.2023
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	25.10.2023
	AmFirst Specialty Insurance Company	USA	A-	A-	AM Best	16.08.2023
	PetroVietnam Insurance	Vietnam	A-	A-	AM Best	27.03.2024
	New India Assurance	India		B++	AM Best	16.10.2022
	Oman Reinsurance Company SAOG	Togo		BBB-	Fitch	06.06.2024
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	29.11.2023
	Misir Insurance Company	Egypt	BBB	B++	AM Best	31.12.2022
	Tunis Re	Tunisia	AA+	AA	Fitch	06.07.2023
	NITF	Sri Lanka				

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating Credit	Financial Strength	Name of the Rating Agency	Date of rating
Motor	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	18.12.2023
			A	AA-	S&P	05.10.2023
			a+	A+	AM Best	08.09.2023
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A-	A3 (IFSR)	Moody's	08.11.2023
	AmFirst Specialty Insurance Company	USA	A-	A-	AM Best	16.08.2023
	PetroVietnam Insurance	Vietnam	A-	A-	AM Best	27.03.2024
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	29.11.2023
	New India Assurance	India		B++	AM Best	16.10.2022
	Misr Insurance Company	Egypt	BBB	B++	AM Best	31.12.2022
	Oman Reinsurance Company SAOG	Togo		BBB-	Fitch	06.06.2024
	Tunis Re	Tunisia	AA+	AA	Fitch	06.07.2023
	NITF	Sri Lanka				
Liability	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	18.12.2023
			A	AA-	S&P	05.10.2023
			a+	A+	AM Best	08.09.2023
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A-	A3 (IFSR)	Moody's	08.11.2023
	AmFirst Specialty Insurance Company	USA	A-	A-	AM Best	16.08.2023
	PetroVietnam Insurance	Vietnam	A-	A-	AM Best	27.03.2024
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	29.11.2023
	New India Assurance	India		B++	AM Best	16.10.2022
	Misr Insurance Company	Egypt	BBB	B++	AM Best	31.12.2022
	Oman Reinsurance Company SAOG	Togo		BBB-	Fitch	06.06.2024
	Tunis Re	Tunisia	AA+	AA	Fitch	06.07.2023
	NITF	Sri Lanka				

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Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating Credit	Financial Strength	Name of the Rating Agency	Date of rating
Miscellaneous:	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	18.12.2023
(please specify for each line of business in Miscellaneous Group)			A	AA-	S&P	05.10.2023
* All Risk			a+	A+	AM Best	08.09.2023
* Burglary	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A-	A3 (IFSR)	Moody's	08.11.2023
* Fidelity Guarantee	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	25.10.2023
* Good-In-Transit	AmFirst Specialty Insurance Company	USA	A-	A-	AM Best	16.08.2023
* Money-In-Transit	PetroVietnam Insurance	Vietnam	A-	A-	AM Best	27.03.2024
* Plate Glass	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	29.11.2023
* Shopkeepers Combined	New India Assurance	India		B++	AM Best	16.10.2022
* Leasing Insurance	Misr Insurance Company	Egypt	BBB	B++	AM Best	31.12.2022
* Personal Accident	Oman Reinsurance Company SAOG	Togo		BBB-	Fitch	06.06.2024
	Tunis Re	Tunisia	AA+	AA	Fitch	06.07.2023
	NITF	Sri Lanka				

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating Credit	Financial Strength	Name of the Rating Agency	Date of rating
Travel PA	Labuan Reinsurance (L) Ltd.	Malaysia	A-	A-	AM Best	25.10.2023
	NITF	Sri Lanka				
Engineering	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	18.12.2023
			A	AA-	S&P	05.10.2023
			a+	A+	AM Best	08.09.2023
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A-	A3 (IFSR)	Moody's	08.11.2023
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	25.10.2023
	AmFirst Specialty Insurance Company	USA	A-	A-	AM Best	16.08.2023
	PetroVietnam Insurance	Vietnam	A-	A-	AM Best	27.03.2024
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	29.11.2023
	New India Assurance	India		B++	AM Best	16.10.2022
	Misir Insurance Company	Egypt	BBB	B++	AM Best	31.12.2022
	Oman Reinsurance Company SAOG	Togo		BBB-	Fitch	06.06.2024
	Tunis Re	Tunisia	AA+	AA	Fitch	06.07.2023
	NITF	Sri, Lanka				

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Amana Takaful Life PLC

Class of business	Name of the reinsurer	Reinsurers Country of origin	Name of the regulatory authority which approval obtained to transact reinsurance business	License validity period of the reinsurer	Financial Strength	Rating Credit	Rating Agency	Date of Rating
Life								
1. Long Term Takaful Plans (Endowments)	1 Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA (Stable)	AA (Stable)	S&P	26.07.2024
	2 Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	26.06.2024
Other (specify)								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	26.06.2024
	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	26.06.2024
2. Unit Link Takaful	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA (Stable)	AA (Stable)	S&P	26.07.2024
3. Group Family Takaful	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA (Stable)	AA (Stable)	S&P	26.07.2024
	2. Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	22.07.2024

Amana Takaful (Maldives) PLC

Name of the reinsurer	Financial Strength	Name of the Rating Agency
Swiss Re-insurance	A+ (Superior)	AM Best
Labuan Reinsurance (L) Ltd.	A- (Excellent)	AM Best
General Insurance Corporation of India	B++ (Stable)	AM Best
Saudi Re for Cooperative Reinsurance Company	A- (Excellent)	AM Best
Asian Reinsurance Corporation	B+ (Good)	AM Best
Kenya Re-insurance	B (Fair)	AM Best
Oman Re-insurance	B+ (Good)	AM Best
Kuwait Re-insurance	A- (Excellent)	AM Best
Himalayan Re-insurance	B + (Fair)	AM Best

42.6 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IBSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Group investments based on remaining maturity is given below.

2024 - Maturity Analysis	Within One Month	1-3 Months	3 months to 1 year	1- 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	-	-	2,388,163,409	-	1,362,614,400	3,750,777,809
Unit Trust	-	-	-	-	51,348,019	51,348,019
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	-	2,278,834,503	15,199,347	-	-	2,294,033,850
Investment in Gold	-	-	-	-	302,485,432	302,485,432
Fixed Term Investments	-	-	766,942,781	3,278,710,284	-	4,045,653,065
Other Assets						
- Other Receivables	-	-	338,644,678	-	-	338,644,678
Advances to Company Officers	-	-	39,551,028	-	-	39,551,028
Contribution (Premium) Receivables	-	-	1,863,865,695	-	-	1,863,865,695
Total	-	2,278,834,503	5,412,366,937	3,278,710,284	1,716,972,851	12,686,884,575
Liabilities						
Other Liabilities - Unit Linked	-	-	216,343,252	-	-	216,343,252
Other Liabilities	-	-	2,698,056,226	-	-	2,698,056,226
Short-Term Borrowings	-	-	-	-	-	-
Subordinated Debt	-	-	-	289,724,694	-	289,724,694
Lease Liability	-	-	182,351,746	329,002,647	-	511,354,393
Total	-	-	3,096,751,223	618,727,341	-	3,715,478,565

NOTES TO THE FINANCIAL STATEMENTS

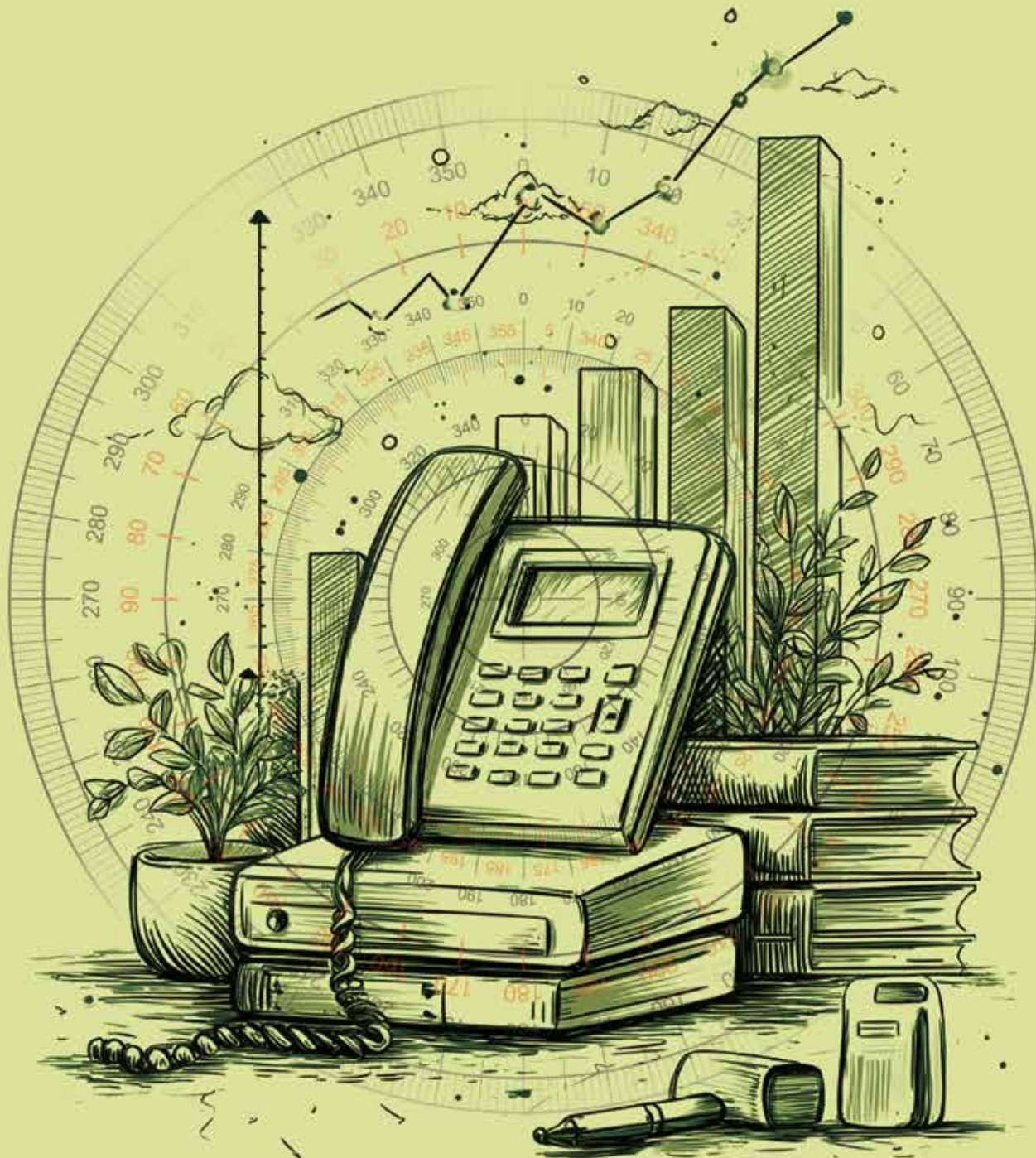
2023 – Maturity Analysis	Within One Month	1-3 Months	3 months to 1 year	1- 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	-	-	1,556,989,052	-	1,508,565,600	3,065,554,652
Unit Trust	-	-	-	-	43,630,051	43,630,051
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	-	-	2,039,187,999	-	-	2,039,187,999
Investment in Gold	-	-	849,090,907	2,538,979,182	-	3,388,070,089
Fixed Term Investments	-	-	-	-	-	-
Other Assets - Other Receivables	-	-	224,328,201	-	-	224,328,201
Advances to Company Officers	-	-	17,723,121	-	-	17,723,121
Contribution (Premium) Receivables	-	-	1,548,100,182	-	-	1,548,100,182
Total	-	-	6,235,419,462	2,538,979,182	1,699,349,401	10,473,748,045
Liabilities						
Other Liabilities - Unit Linked	-	-	186,253,738	-	-	186,253,738
Other Liabilities	-	-	2,253,864,182	-	-	2,253,864,182
Short-Term Borrowings	-	-	-	-	-	-
Subordinated Debt	-	-	-	286,000,089	-	286,000,089
Lease Liability	-	-	82,256,001	228,275,723	-	310,531,723
Total	-	-	2,522,373,921	514,275,812	-	3,036,649,733

43. MATURITY PROFILE OF ASSETS & LIABILITIES

Group	2024		Total	2023		Total
	Within 12 months	After 12 months		Within 12 months	After 12 months	
	Rs.	Rs.		Rs.	Rs.	
Assets						
Cash and Bank Balances	833,456,413	-	833,456,413	343,492,613	-	343,492,613
Cash and Bank Balances – Unit Linked	12,606,847	-	12,606,847	11,338,181	-	11,338,181
Financial Assets	9,277,645,998	1,362,614,400	10,640,260,398	7,336,292,697	1,508,565,600	8,844,858,297
Financial Assets – Unit Linked	3,587,817,009	-	3,587,817,009	3,037,272,024	-	3,037,272,024
Right of use assets	182,351,746	440,329,747	622,681,492	82,256,001	393,599,803	475,855,804
Retakaful (Reinsurance) Receivables	654,755,250	-	654,755,250	603,709,479	-	603,709,479
Contribution (Premium) Receivables	1,863,865,695	-	1,863,865,695	1,548,100,182	-	1,548,100,182
Investment Property	-	152,500,000	152,500,000	-	151,000,000	151,000,000
Property, Plant and Equipment	-	151,402,634	151,402,634	-	133,643,115	133,643,115
Intangible Assets	-	255,306,349	255,306,349	-	188,679,718	188,679,718
Deferred Tax Assets	-	-	-	-	-	-
Other Assets	493,144,087	-	493,144,087	347,045,073	-	347,045,073
Other Assets – Unit Linked	-	-	-	-	-	-
Total Assets	16,905,643,047	2,362,153,130	19,267,796,175	13,309,506,252	2,375,488,236	15,684,994,485
Liabilities						
Bank Overdrafts	-	-	-	-	-	-
Short Term Borrowings	-	-	-	-	-	-
Insurance Contract Liabilities – Non Life	4,496,369,282	-	4,496,369,282	3,831,303,232	-	3,831,303,232
Insurance Contract Liabilities – Family Takaful Fund	-	264,694,774	264,694,774	-	304,351,488	304,351,488
Insurance Contract Liabilities– Family Takaful Unit Linked	-	3,574,638,570	3,574,638,570	-	2,970,343,620	2,970,343,620
Employee Benefits	-	188,276,178	188,276,178	-	173,627,119	173,627,119
Subordinated Debt	-	289,724,694	289,724,694	-	286,000,089	286,000,089
Lease Liability	182,351,746	329,002,647	511,354,393	82,256,001	228,275,723	310,531,723
Deferred Tax Liability		276,634,474	276,634,474		195,520,715	195,520,715
Other Liabilities – Unit Linked	216,343,252	-	216,343,252	186,253,738	-	186,253,738
Other Liabilities	2,698,056,226	-	2,698,056,226	2,253,864,183	-	2,253,864,183
Total Liabilities	7,593,120,505	4,922,971,338	12,516,091,844	6,353,677,154	4,158,118,754	10,511,795,907
Net Balance						
	9,312,522,542	(2,560,818,208)	6,751,704,322	6,955,829,098	(1,782,630,518)	5,173,198,577

NOTES TO THE FINANCIAL STATEMENTS

Company	2024			2023		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and Bank Balances	102,324,123	-	102,324,123	103,452,208	-	103,452,208
Cash and Bank Balances - Unit Linked	-	-	-	-	-	-
Financial Assets	1,447,553,673	194,140,099	1,641,693,772	1,299,184,293	194,140,099	1,493,324,392
Right of use assets	141,243,553	205,066,491	346,310,045	41,243,553	128,576,742	169,820,295
Retakaful (Reinsurance) Receivables	343,617,759	-	343,617,759	410,989,643	-	410,989,643
Contribution (Premium) Receivables	1,597,932,040	-	1,597,932,040	1,268,552,570	-	1,268,552,570
Investments in Subsidiaries	-	3,467,386,441	3,467,386,441	-	2,726,560,589	2,726,560,589
Investment Property	-	-	-	-	-	-
Property, Plant and Equipment	-	53,935,883	53,935,883	-	45,821,268	45,821,268
Intangible Assets	-	61,673,949	61,673,949	-	29,802,943	29,802,943
Deferred Tax Assets	-	-	-	-	-	-
Other Assets	199,009,682	-	199,009,682	140,492,684	-	140,492,684
Total Assets	3,831,680,832	3,982,202,863	7,813,883,692	3,263,914,951	3,124,901,641	6,388,816,590
Liabilities						
Bank Overdrafts	-	-	-	-	-	-
Short Term Borrowings	-	-	-	-	-	-
Insurance Contract Liabilities - Non Life	1,791,360,583	-	1,791,360,583	1,600,280,056	-	1,600,280,056
Employee Benefits	-	73,722,720	73,722,720	-	59,440,598	59,440,598
Subordinated Debt	-	323,624,312	323,624,312	-	339,453,478	339,453,478
Lease Liability	143,347,436	224,077,895	367,425,331	43,347,436	127,602,446	170,949,883
Other Liabilities	1,165,541,931	-	1,165,541,931	960,737,510	-	960,737,510
Total Liabilities	3,100,249,950	621,424,926	3,721,674,877	2,604,365,003	526,496,522	3,130,861,524
Net Balance	731,430,885	3,360,777,936	4,092,208,815	659,549,953	2,598,405,119	3,257,955,065



SUPPLEMENTARY INFORMATION

GROUP VALUE ADDED STATEMENT

1

	2024	2023
	Rs. Mn	Rs. Mn
Net earned contribution (premium)	9,501	7,344
Investment & Other Income	1538	1,556
Net Claims & Benefits	(5,919)	(5,321)
Cost of external services	(3,203)	(2,457)
Total Value added	1,917	1,122
To employees as Salaries and other benefits	1,595	1,367
To the Government as taxes	(197)	(53)
Change in Family Takaful (Long Term Insurance) Fund	(564)	(446)
Retained with the business		
- depreciation	129	102
- in reserves	954	151
Total Value added	1,917	1,122

SHARE INFORMATION

1 ANALYSIS OF THE DISTRIBUTION OF SHAREHOLDERS AS AT 31.12.2024

	Resident			Non-Resident			Total		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 - 1,000	3594	790,947	0%	11	3,475	0.00	3605	794,422	0%
1,001 - 10,000	684	2,152,514	1%	3	18,200	0.00	687	2,170,714	1%
10,001 - 100,000	137	3,932,016	2%	3	43,985	0.00	140	3,976,001	2%
100,001 - 1,000,000	15	3,908,391	2%	0	0	-	15	3,908,391	2%
Over 1,000,000	7	192,781,115	95%	0	0	-	7	192,781,115	95%
	4,437	203,564,983	100%	17	65,660	0.00	4,454	203,630,643	100%

1.1 TOP 25 SHAREHOLDERS AS AT 31ST DECEMBER 2024

	No. of Shares	%
SAMPATH BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	51,924,206	25.50
AMANA BANK PLC/MR.OSMAN KASSIM	44,500,000	21.85
MR.SATTAR KASSIM	30,861,752	15.16
AMANA BANK PLC/MR. SHAFIK KASSIM	30,468,567	14.96
AMANA BANK PLC	27,009,180	13.26
ABERDEEN HOLDINGS (PRIVATE) LIMITED	5,156,108	2.53
FALCON TRADING (PVT) LTD	2,861,302	1.41
MR.OSMAN KASSIM /MRS.K.KASSIM / MR.A.O.KASSIM	901,823	0.44
SEYLAN BANK PLC/JAYANTHA DEWAGE	414,308	0.20
MR.MOHAMED HUSSAIN MOHAMED FAIZER / MRS. F.R. FAIZER	385,248	0.19
MR.MESTIYAGE DON SADDHAMANGALA GOONATILLEKE	299,598	0.15
Mrs.NABEELA HAROON	270,000	0.13
Mr.GAJATH CHRYSANTHA GOONETILLEKE	256,031	0.13
MR.RIYAZ MOHAMED SANGANI	210,000	0.10
MR.DEEPDEEP RAVIDYA PRABATH DESIN RATHNAYAKA	200,300	0.10
MR.BASNAYAKA APPUHAMILAGE AJITH SHYAMILAL BASNAYAKA	200,000	0.10
MR.AMIRALLY LUKMANJEE	168,621	0.08
MR.KALI MUDIYANSELEGEDARA SEYYADU MOHAMED RAZIK	150,292	0.07
MR.WANNIACHCHIGE LAL THILAKASIRI ANANDAWANSA (DECEASED)	121,206	0.06
PEOPLE'S LEASING & FINANCE PLC/MR. R.A.J.S.PERERA	116,603	0.06
COMMERCIAL BANK OF CEYLON PLC/S.A.GULAMHUSEIN	113,757	0.06
MRS.PATTINIDEVA ASOKA SWARNA KANTHIE BERUWALAGE	100,604	0.05
MR.LOKU THAMBUGALA RALALAGE SAJITH LAKSIRI JAYAWARDHANA	100,000	0.05
MR.MOHAMED SAJJAD MAWZOOM	100,000	0.05
MR.ARUNASALAM SITHAMPALAM	99,179	0.05
	196,988,685	96.74
Others	6,641,958	3.26
Total	203,630,643	100

SHARE INFORMATION

1.2 TWENTY FIVE LARGEST SHAREHOLDERS AS AT 31ST DECEMBER 2023

Name of Shareholder	No. of Shares	%
Seylan Bank PLC/Senthilverl Holdings (Pvt) Ltd	53,087,750	26.07
Mr. Sattar Kassim	30,861,752	15.16
Amana Bank PLC/Mr.Osman Kassim	30,500,000	14.98
Amana Bank PLC/Mr. Shafik Kassim	30,468,567	14.96
Amana Bank PLC	27,009,180	13.26
Mr. Osman Kassim / Mrs. K. Kassim	14,901,823	7.32
Aberdeen Holdings (Private) Limited	5,156,108	2.53
Falcon Trading (Pvt) Ltd.	2,861,302	1.41
Seylan Bank PLC/Jayantha Dewage	414,308	0.20
Mrs. Nabeela Haroon	270,000	0.13
Mr. Gajath Chrysantha Goonetilleke	256,031	0.13
Mr. Mohamed Hussain Mohamed Faizer / Mrs. F.R. Faizer	185,248	0.09
Mr. Amirally Lukmanjee	168,621	0.08
Mr. Kali Mudiyanselegedara Seyyadu Mohamed Razik	150,292	0.07
Mr. Wanniachchige Lal Thilakasiri Anandawansa	121,206	0.06
Commercial Bank of Ceylon PLC/s.a.Gulamhusein	113,757	0.06
Mrs. Pattinideva Asoka Swarna Kanthie Beruwalage	100,604	0.05
Mr. Mohamed Sajjad Mawzoon	100,000	0.05
Mr. Arunasalam Sithampalam	99,179	0.05
Mrs. Khairunnissa Kassim	97,920	0.05
Mr. Thevamoorthy Ravi	90,000	0.04
Sampath Bank PLC/Mr. Abishek Sithampalam	78,605	0.04
Mr. Sugathadasa Ruwanpathirana /Mrs. V. Ruwanpathirana	77,824	0.04
Mr. Periyasaami Pillai Thevarajah	77,000	0.04
Mr. Sithambaram Pillai Jayakumar / Ms. P. Meena	75,000	0.04
	197,322,077	96.90
Others	6,308,566	3.10
Total	203,630,643	100

1.3 PUBLIC SHAREHOLDING

	31.12.2024	31.12.2023
Float Adjusted Market Capitalisation (Rs.)*	2,540,336,064	2,322,025,934
Percentage of Shares held by the Public	97.46%	97.46%
Number of Public Shareholders	4452	4561

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of Listing Rules.

*+ Float Adjusted Market Capitalization = Market Capitalization X Public Holding Percentage

2. INVESTOR RATIOS

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Earnings/(Loss) per Share	2.36	(0.06)	2.77	(0.08)
Dividend per Share	-	-	-	-
Dividend Payout Ratio	-	-	-	-
Net Assets per Share	20.12	16.24	20.10	16.00

3. MARKET VALUE OF SHARES

	Company	
	2024	2023
	Rs.	Rs.
Highest Value	13.60	12.90
Lowest Value	10.80	10.50
Year End Value	12.80	11.70

TEN YEAR SUMMERY

GROUP

Statement of Income for the year ended	31.12.2024	31.12.2023	31.12.2022	31.12.2021	31.12.2020	31.12.2019	31.12.2018	31.12.2017	31.12.2016	31.12.2015
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	12,030,239	10,208,348	8,260,079	5,178,592	4,143,674	4,275,776	4,213,900	3,640,635	3,406,904	3,237,609
Net Earned Contribution (Premium)	9,501,113	7,343,599	5,793,250	3,698,734	2,999,477	3,292,601	3,224,809	2,662,652	2,548,797	2,511,374
Income from Investments and Other Income	1,537,682	1,556,455	1,158,543	572,333	522,868	579,351	486,893	452,831	373,319	240,612
Net Claims Incurred	(5,918,918)	(5,321,424)	(3,683,488)	(1,924,002)	(1,632,751)	(2,244,905)	(1,930,906)	(1,479,674)	(1,438,346)	(1,337,090)
Net Commission Incurred	(707,511)	(559,124)	(468,688)	(377,188)	(250,333)	(258,814)	(260,413)	(202,356)	(238,515)	(226,904)
Expenses	(2,694,976)	(2,352,997)	(1,956,521)	(1,472,883)	(1,239,052)	(1,492,769)	(1,424,141)	(1,223,014)	(1,084,447)	(976,552)
Increase in Family Takaful (Long Term Insurance) Fund	(565,242)	(445,854)	(285,948)	(184,031)	(140,186)	(27,284)	36,961	(40,536)	(301,048)	(482,827)
Profit/(Loss) Before Taxation	1,152,147	220,655	557,147	312,963	260,023	(151,819)	133,203	169,904	(140,239)	(271,387)
Income Tax Expenses	(197,582)	(69,219)	(70,047)	(36,807)	(37,597)	(125,351)	(29,012)	(14,900)	(5,919)	(9,113)
Net Profit/(Loss) for the year	954,566	151,436	487,100	276,157	222,426	(277,170)	104,191	155,004	(146,158)	(280,500)
Basic Earnings/(Loss) Per Share (Rs.)	2.36	(0.06)	1.66	0.91	(1.87)	(1.87)	0.33	0.08	(0.09)	(0.18)

GENERAL INSURANCE BUSINESS

Statement of Income for the year ended	31.12.2024	31.12.2023	31.12.2022	31.12.2021	31.12.2020	31.12.2019	31.12.2018	31.12.2017	31.12.2016	31.12.2015
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
GROSS WRITTEN CONTRIBUTION (PREMIUM)	10,735,193	9,057,692	7,199,301	4,248,762	3,377,022	3,424,483	3,385,952	2,848,461	2,586,178	2,309,315
Net Earned Contribution (Premium)	8,264,275	6,249,912	4,790,008	2,817,015	2,257,304	2,472,088	2,418,344	1,897,617	1,742,740	1,603,309
Income from Investments and Other Income	894,897	885,697	708,265	309,619	260,955	259,125	275,669	183,763	150,530	110,409
Net Claims Incurred	(5,399,731)	(4,747,463)	(3,164,719)	(1,496,966)	(1,185,530)	(1,653,010)	(1,387,459)	(1,050,282)	(1,118,164)	(1,129,518)
Net Commission Incurred	(554,368)	(406,814)	(319,406)	(242,166)	(147,201)	(140,916)	(154,588)	(105,094)	(130,278)	(129,582)
Expenses	(2,057,505)	(1,810,995)	(1,511,091)	(1,084,098)	(869,185)	(1,065,189)	(956,187)	(800,711)	(820,759)	(744,069)
Profit/(Loss) Before Taxation	1,147,569	170,335	503,057	303,404	316,343	(127,902)	195,778	125,294	(175,931)	(289,451)

AMANA TAKAFUL LIFE PLC/LONG TERM (FAMILY TAKAFUL) INSURANCE BUSINESS

Statement of Income for the year ended	31.12.2024	31.12.2023	31.12.2022	31.12.2021	31.12.2020	31.12.2019	31.12.2018	31.12.2017	31.12.2016	31.12.2015
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	1,295,046	1,150,656	1,060,778	929,830	767,232	851,293	827,948	792,174	820,726	928,294
Net Earned Contribution (Premium)	1,236,838	1,093,687	1,003,241	881,719	742,753	820,513	806,465	765,036	806,057	908,064
Income from Investments and Other Income	642,785	670,758	450,278	262,714	289,996	320,226	211,224	269,068	222,789	130,203
Net Claims Incurred	(519,188)	(573,961)	(518,769)	(427,036)	(447,220)	(591,895)	(543,446)	(423,475)	(320,181)	(207,572)
Net Commission Incurred	(153,143)	(152,310)	(149,282)	(135,022)	(103,132)	(117,898)	(105,825)	(97,198)	(108,237)	(97,322)
Expenses	(637,471)	(542,002)	(445,430)	(388,785)	(376,923)	(427,580)	(467,954)	(422,303)	(263,688)	(232,484)
Increase in Family Takaful (Long Term Insurance) Fund	(565,242)	(445,854)	(285,948)	(184,031)	(140,186)	(27,284)	36,961	(40,536)	(301,048)	(482,827)
Profit/(Loss) Before Taxation	4,578	50,319	54,090	9,559	(34,712)	(23,917)	(62,574)	50,592	35,691	18,064

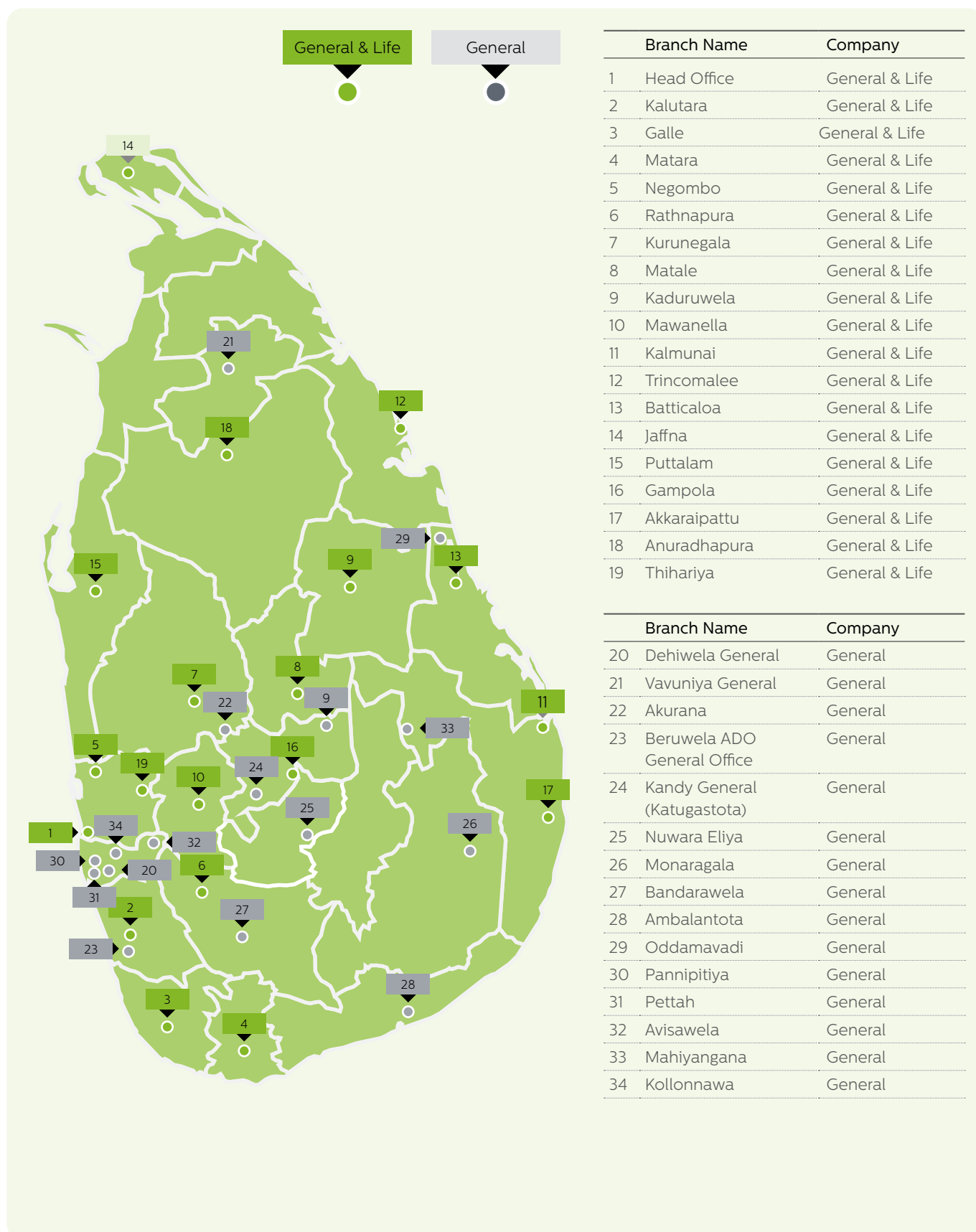
GROUP

Statement of Financial Position as at		31.12.2024	31.12.2023	31.12.2022	31.12.2021	31.12.2020	31.12.2019	31.12.2018	31.12.2017	31.12.2016	31.12.2015
		Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets											
Financial Assets		10,640,260	8,844,858	7,056,733	3,934,918	3,177,241	2,831,688	2,835,181	2,727,923	2,305,095	2,448,385
Investments Property		152,500	151,000	150,550	196,100	194,000	194,000	220,429	79,925	78,500	73,500
Financial Assets - Unit Linked		3,587,817	3,037,272	2,425,247	2,121,645	1,907,620	1,716,210	1,621,208	1,526,679	1,441,276	1,054,183
Intangible Assets		255,306	188,680	174,990	120,835	109,312	114,455	86,943	31,812	36,658	24,703
Property, Plant and Equipment		151,403	133,643	90,586	88,131	68,651	86,386	96,024	76,726	101,870	123,231
Cash and Bank & Other Assets		4,467,903	3,318,203	2,793,464	2,096,379	1,651,815	1,652,759	1,722,151	1,485,573	1,450,105	937,383
Cash and Bank - Unit Linked		12,607	11,338	15,841	9,583	2,244	38,198	8,155	7,370	104,248	84,611
Total Assets		19,267,796	15,684,995	12,707,411	8,567,591	7,110,883	6,633,695	6,590,091	5,936,008	5,517,752	4,745,995
Liabilities											
Insurance Provision-Non Life (General Takaful Fund)		4,496,369	3,831,303	2,555,353	1,636,433	1,260,984	1,070,778	1,394,787	1,015,130	917,870	742,618
Insurance Provision -Long Term (Family Takaful Fund)		264,695	304,351	356,693	397,381	445,782	471,280	534,967	580,710	559,914	574,711
Insurance Provision -Long Term (Family Takaful Fund)-Unit Linked		3,574,639	2,970,344	2,473,580	2,149,698	1,913,107	1,747,560	1,660,124	1,525,136	1,504,145	1,191,795
Subordinated Debt		289,725	286,000	413,765	379,157	214,528	226,250	46,600	-	-	-
Other Liabilities		3,674,321	2,933,544	2,559,148	1,534,066	1,106,357	1,241,471	925,210	992,898	845,154	687,939
Other Liabilities -Unit Linked		216,343	186,254	118,930	80,208	74,379	50,987	51,286	51,845	50,316	39,437
Total liabilities		12,516,092	10,511,796	8,477,469	6,176,943	5,015,136	4,808,326	4,612,974	4,165,719	3,877,398	3,236,500
Shareholders' Equity											
Equity Attributable to Equity Holders of the Parent											
Stated Capital		1,966,339	1,966,339	1,860,001	1,860,001	1,860,001	1,860,001	1,860,001	1,860,001	1,860,001	1,650,001
Other Reserves		520,214	681,971	882,594	214,964	153,197	141,525	140,956	83,090	85,869	80,105
Revenue Reserves		1,609,913	658,415	50,080	(361,635)	(487,950)	(637,893)	(377,686)	(455,559)	(567,430)	(426,506)
		4,096,466	3,306,725	2,792,675	1,713,331	1,525,248	1,363,633	1,623,271	1,487,533	1,378,441	1,303,601
Minority Interest		2,655,239	1,866,474	1,437,268	677,319	570,499	461,737	353,846	282,755	261,913	205,894
Total Equity		6,751,704	5,173,199	4,229,942	2,390,649	2,095,747	1,825,370	1,977,117	1,770,288	1,640,354	1,509,494
Total Equity and Liabilities		19,267,796	15,684,995	12,707,411	8,567,591	7,110,883	6,633,695	6,590,091	5,936,008	5,517,752	4,745,995

AMANA TAKAFUL LIFE PLC/LONG TERM (FAMILY TAKAFUL) INSURANCE BUSINESS

Statement of Financial Position as at		31.12.2024	31.12.2023	31.12.2022	31.12.2021	31.12.2020	31.12.2019	31.12.2018	31.12.2017	31.12.2016	31.12.2015
		Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets											
Financial Assets		884,302	924,185	1,052,176	881,849	857,600	816,350	875,165	1,040,576	1,018,398	1,089,313
Investment Property		152,500	151,000	150,550	147,500	147,500	147,500	144,929	-	-	-
Financial Assets - Unit Linked		3,587,817	3,037,272	2,425,247	2,121,645	1,907,730	1,716,210	1,621,208	1,526,679	1,441,276	1,054,183
Intangible Assets		17,859	19,049	20,456	17,420	18,363	19,659	20,955	22,250	23,549	18,408
Property, Plant and Equipment		45,440	19,374	21,318	25,769	15,347	20,110	28,704	21,165	17,467	14,932
Right Of Use Asset		35,619	12,391	11,954	13,251	19,839	16,064	-	-	-	-
Cash and Bank & Other Assets		249,256	165,032	123,198	133,236	123,744	150,398	178,459	191,588	102,661	84,611
Cash and Bank - Unit Linked		12,607	11,338	15,841	9,583	2,244	38,198	8,155	7,370	104,248	142,504
Total Assets		4,985,401	4,339,642	3,820,740	3,350,253	3,092,367	2,924,488	2,877,575	2,809,627	2,707,599	2,403,951
Liabilities											
Family Takaful Fund Balance (Insurance Provision - Long Term)		264,695	304,351	356,693	397,381	446,995	471,280	534,967	580,710	559,914	574,711
Family Takaful Fund (Insurance Provision - Long Term)- Unit Linked		3,574,639	2,970,344	2,473,580	2,149,698	1,913,217	1,747,560	1,660,124	1,525,136	1,504,145	1,191,795
Subordinated Debt		98,044	108,532	122,612	88,005	81,417	81,417	32,051	-	-	-
Other Liabilities		193,965	159,653	205,109	151,205	115,968	85,392	83,420	78,149	69,708	82,414
Other Liabilities - Unit Linked		216,343	186,254	118,930	80,208	74,379	50,987	51,286	51,845	50,316	39,437
Total Liabilities		4,347,686	3,729,134	3,276,925	2,866,497	2,631,976	2,436,635	2,361,849	2,235,839	2,184,082	1,888,357
Shareholders' Equity											
Equity Attributable to Equity Holders of the Parent											
Stated Capital		500,000	500,000	500,000	500,000	500,000	500,000	500,000	500,000	500,000	500,000
Other Reserves		70,558	47,043	31,489	26,398	11,545	6,710	3,431	(1,545)	(2,669)	2,169
Revenue Reserves		67,156	63,464	12,326	(42,641)	(51,154)	(18,857)	12,295	75,333	26,186	13,424
Total Equity		637,715	610,507	543,815	483,757	460,391	487,853	515,726	573,788	523,517	515,594
Total Equity and Liabilities		4,985,401	4,339,642	3,820,740	3,350,253	3,092,367	2,924,488	2,877,575	2,809,627	2,707,599	2,403,951

GEOGRAPHIC LOCATIONS



GLOSSARY OF FINANCIAL TERMS

ACQUISITION EXPENSES – GENERAL TAKAFUL (INSURANCE)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

ACQUISITION EXPENSES – FAMILY TAKAFUL (LIFE)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

ACTUARY

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

CLAIMS INCURRED BUT NOT REPORTED (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

CLAIM OUTSTANDING – GENERAL TAKAFUL (INSURANCE) BUSINESS

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

COMMISSIONS

A payment made to intermediaries in return for selling and servicing an insurer's products.

EARNED PREMIUM

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

GENERAL INSURANCE BUSINESS (GENERAL TAKAFUL)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

INSURANCE PROVISION – FAMILY TAKAFUL (LONG TERM)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

INSURANCE PROVISION – GENERAL TAKAFUL (INSURANCE)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

LIFE INSURANCE BUSINESS (FAMILY TAKAFUL)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

MUDHARABA

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project.

Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

PREMIUM (CONTRIBUTION)

The consideration payable by the insured for an insurance contract.

RETAKAFUL (REINSURANCE)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

RISK-BASED CAPITAL

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

GLOSSARY OF FINANCIAL TERMS

SHARI'AH

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad – Peace be upon him).

SHARI'AH ADVISORY COUNCIL (SAC)

This comprises of Shari'ah Scholars or/ and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the

Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

SOLVENCY MARGIN – FAMILY TAKAFUL (LIFE)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per

Solvency Margin (Long-Term Insurance) Rules, 2002.

SOLVENCY MARGIN – GENERAL TAKAFUL (INSURANCE)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

SURRENDER

The act of cancelling of an insurance contract before it reaches its date of maturity.

TAKAFUL

Is an Arabic word, which means “guaranteeing each other”. It is a system of risk management based on the principle of mutual

assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

UNDERWRITING

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

UNEARNED PREMIUM/UNEARNED PREMIUM RESERVE

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

WRITTEN PREMIUM

Total premium received or due from all insurance contracts during a period.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 26th Annual General Meeting of Amana Takaful PLC will be held on 27 June 2025 at 9.30 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM) for the following purposes:

1. Receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2024 and the Report of the Auditors thereon.
2. Re-elect the following Directors by Rotation in terms of Article 82 of Articles of Association of the Company
 - a. Mr. Padmesh Sajjeewa Wijesinghe
 - b. Mr. Abdullah Osman Kassim
3. Re-appoint the retiring Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize the Directors to determine their remuneration.

By Order of the Board,
AMANA TAKAFUL PLC



MANAGERS & SECRETARIES (PRIVATE) LTD.

Secretaries

16 May 2025
Colombo

Notes:

1. A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATL are entitled to take part at the AGM of ATL.
2. A Pre-registration form is enclosed for this purpose to be completed by ATL Shareholders only.
3. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
4. A form of proxy is enclosed for this purpose.
5. The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, or e-mailed to “agm.atplc@ takaful.lk” not less than forty eight hours prior to the time appointed for holding the meeting.

NOTES

FORM OF PROXY

I/We the undersigned bearing NIC No....., of..... being a member/members of Amana Takaful PLC, hereby appoint

Full name of proxy -
NIC of Proxy -
Address of Proxy -
Contact Numbers - Land Mobile
Email address -

Failing him
Mr. M. Z. M. Ghouse of Colombo or failing him
Ms. E. D. Wickramasuriya of Colombo or failing her
Mr. M. H. S. Kassim of Colombo or failing him
Mr. S. R. Hussain of Pakistan or failing him
Mr. T. M. Wijesinghe of Colombo or failing him
Mr. P. S. Weerasekera of Colombo or failing him
Mr. A. O. Kassim of Colombo

as my/our proxy to represent me/us and * to vote for me/us on my/our behalf at the Annual General Meeting to be held on 27 June 2025 at 9.30 a.m. via Audio/Video (Virtual AGM) and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with “X”.

Ordinary Resolution	For	Against	Abstained
1. Re-election of Directors			
(i) Mr. Padmesh Sajjeewa Wijesinghe as a Director of the Company.			
(ii) Mr. Abdullah Osman Kassim as a Director of the Company.			
2. Re-appointment of the retiring Auditors M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize Directors to determine their remuneration.			

As witness my/our hands this day of 2025.

..... Signature

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC No. and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road Colombo 3, or e-mailed to “agm.atplc@takaful.lk” not later than 48 hours prior to the time appointed for holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company or email as above noted.

CORPORATE INFORMATION

NAME OF THE COMPANY

Amana Takaful PLC

LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act No. 07 of 2007 on 27th June 2007.

COMPANY REGISTRATION NUMBER

PQ 23

TAX PAYER IDENTIFICATION NUMBER (TIN)

134007958

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27th November 2006. Stock Exchange Code for Amana Takaful PLC shares is 'ATL'.

DIRECTORS

M. Z. M. Ghouse – Chairman
M. H. S. Kassim – Managing Director
E. D. Wickramasuriya
S. Rizwan Hussain
T. M. Wijesinghe
A. O. Kassim
P. S. Weerasekera

SHARI'AH ADVISORY COUNCIL

Mufti M.I.M. Rizwe – Chairman
Mufti Shafique Ahmed Jakhura – Member
Ash-Sheikh M. Murshid – Secretary
Ash-Sheikh Huzaifal Hussain – Member

CHIEF EXECUTIVE OFFICER –

Amana Takaful PLC

Ahamed Shehan Feisal – Resigned
w.e.f.31st March 2024
Siva Karthigun – Appointed w.e.f 1st of April 2024

Amana Takaful Life PLC

Gehan Shivantha Rajapakse

Amana Takaful (Maldives) PLC

Hareez Sulaiman

REGISTERED OFFICE

No. 660-1/1, Galle Road, Colombo 03,
Sri Lanka

SUBSIDIARIES

Amana Takaful Life PLC

No. 660 – 1/1, Galle Road, Colombo 03,
Sri Lanka

Amana Global Ltd.

No. 660 – 1/1, Galle Road, Colombo 03,
Sri Lanka

Amana Takaful (Maldives) PLC

H. Mialani, Sosun Mogu, Male, Republic
of Maldives

AUDITORS

Messrs Ernst & Young
Chartered Accountants

CONSULTANT ACTUARIES –

General Insurance
Actsure Lab (Pvt) Ltd.
No. 11/2, 1st Lane Pagoda Road,
Nugegoda, Sri Lanka.

CONSULTANT ACTUARIES –

Long-Term Insurance
Actuarial Partners Consulting Sdn Bhd
Suite 17.02, Kenanga
International Jalan Sultan Ismail 50250
Kuala Lumpur, Malaysia

REINSURANCE PANEL

Swiss Reinsurance Company Ltd
Labuan Reinsurance (L) Ltd, Labuan,
Malaysia
Ocean Re
Asian Re
GIC Retakaful
Tunis Re
Hannover Re
Munich Re
Score Re

SECRETARIES

Managers & Secretaries (Pvt) Ltd.

PRINCIPAL BANKERS

Amana Bank PLC/Pan Asia Bank/NDB
Bank/ Bank of Ceylon/Commercial
Bank/Sampath Bank/HNB/Nations
Trust Bank/Seylan Bank/ MCB Bank

